BrokerCheck Report

MSI FINANCIAL SERVICES, INC.

CRD# 14251

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Please contact FINRA with any concerns.

About BrokerCheck®

BrokerCheck offers information on all current, and many former, registered securities brokers, and all current and former registered securities firms. FINRA strongly encourages investors to use BrokerCheck to check the background of securities brokers and brokerage firms before deciding to conduct, or continue to conduct, business with them.

- **What is included in a BrokerCheck report?**
- BrokerCheck reports for individual brokers include information such as employment history, professional qualifications, disciplinary actions, criminal convictions, civil judgments and arbitration awards. BrokerCheck reports for brokerage firms include information on a firm's profile, history, and operations, as well as many of the same disclosure events mentioned above.
- Please note that the information contained in a BrokerCheck report may include pending actions or allegations that may be contested, unresolved or unproven. In the end, these actions or allegations may be resolved in favor of the broker or brokerage firm, or concluded through a negotiated settlement with no admission or finding of wrongdoing.
- **Where did this information come from?**
- The information contained in BrokerCheck comes from FINRA's Central Registration Depository, or CRD® and is a combination of:
  - information FINRA and/or the Securities and Exchange Commission (SEC) require brokers and brokerage firms to submit as part of the registration and licensing process, and
  - information that regulators report regarding disciplinary actions or allegations against firms or brokers.
- **How current is this information?**
- Generally, active brokerage firms and brokers are required to update their professional and disciplinary information in CRD within 30 days. Under most circumstances, information reported by brokerage firms, brokers and regulators is available in BrokerCheck the next business day.
- **What if I want to check the background of an investment adviser firm or investment adviser representative?**
- To check the background of an investment adviser firm or representative, you can search for the firm or individual in BrokerCheck. If your search is successful, click on the link provided to view the available licensing and registration information in the SEC's Investment Adviser Public Disclosure (IAPD) website at https://www.adviserinfo.sec.gov. In the alternative, you may search the IAPD website directly or contact your state securities regulator at http://www.finra.org/Investors/ToolsCalculators/BrokerCheck/P455414.
- **Are there other resources I can use to check the background of investment professionals?**
- FINRA recommends that you learn as much as possible about an investment professional before deciding to work with them. Your state securities regulator can help you research brokers and investment adviser representatives doing business in your state.
-

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For additional information about the contents of this report, please refer to the User Guidance or www.finra.org/brokercheck. It provides a glossary of terms and a list of frequently asked questions, as well as additional resources. For more information about FINRA, visit www.finra.org.

MSI FINANCIAL SERVICES, INC.

CRD# 14251

SEC# 8-30447

Main Office Location

1295 STATE STREET
SPRINGFIELD, MA 01111-0001

Mailing Address

1295 STATE STREET
SPRINGFIELD, MA 01111

Business Telephone Number

413-737-8400

This firm is a brokerage firm and an investment adviser firm. For more information about investment adviser firms, visit the SEC's Investment Adviser Public Disclosure website at:

https://www.adviserinfo.sec.gov

Report Summary for this Firm

This report summary provides an overview of the brokerage firm. Additional information for this firm can be found in the detailed report.

Firm Profile

This firm is classified as a corporation.

This firm was formed in Delaware on 08/15/1983.

Its fiscal year ends in December.

Firm History

Information relating to the brokerage firm's history such as other business names and successions (e.g., mergers, acquisitions) can be found in the detailed report.

Firm Operations

This brokerage firm is no longer registered with FINRA or a national securities exchange.

Disclosure Events

Brokerage firms are required to disclose certain criminal matters, regulatory actions, civil judicial proceedings and financial matters in which the firm or one of its control affiliates has been involved.

Are there events disclosed about this firm?	**Yes**

The following types of disclosures have been reported:

Type	Count
Regulatory Event	41
Civil Event	1
Arbitration	13
Bond	2

The number of disclosures from non-registered control affiliates is 34

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Registration Withdrawal Information

This section provides information relating to the date the brokerage firm ceased doing business and the firm's financial obligations to customers or other brokerage firms.

Date firm ceased business:	05/04/2017
Does this brokerage firm owe any money or securities to any customer or brokerage firm?	No

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Firm Profile

This firm is classified as a corporation.

This firm was formed in Delaware on 08/15/1983.

Its fiscal year ends in December.

Firm Names and Locations

This section provides the brokerage firm's full legal name, "Doing Business As" name, business and mailing addresses, telephone number, and any alternate name by which the firm conducts business and where such name is used.

MSI FINANCIAL SERVICES, INC.

Doing business as MSI FINANCIAL SERVICES, INC.

CRD# 14251

SEC# 8-30447

Main Office Location

1295 STATE STREET
SPRINGFIELD, MA 01111-0001

Mailing Address

1295 STATE STREET
SPRINGFIELD, MA 01111

Business Telephone Number

413-737-8400

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Firm Profile

This section provides information relating to all direct owners and executive officers of the brokerage firm.

Direct Owners and Executive Officers

Legal Name & CRD# (if any):	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Is this a domestic or foreign entity or an individual?	Domestic Entity
Position	DIRECT OWNER
Position Start Date	07/2016
Percentage of Ownership	75% or more
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	Yes

Legal Name & CRD# (if any):	BENSON, WENDY ANN 2140720
Is this a domestic or foreign entity or an individual?	Individual
Position	CHIEF EXECUTIVE OFFICER AND DIRECTOR
Position Start Date	07/2016
Percentage of Ownership	Less than 5%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	CHICARES, ELIZABETH WARD 2194754
Is this a domestic or foreign entity or an individual?	Individual
Position	DIRECTOR
Position Start Date	07/2016

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Firm Profile

Direct Owners and Executive Officers (continued)

Percentage of Ownership	Less than 5%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	FANNING, MICHAEL ROBERT 1620072
Is this a domestic or foreign entity or an individual?	Individual
Position	DIRECTOR
Position Start Date	07/2016
Percentage of Ownership	Less than 5%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	FRANCELLA, AMY 1881552
Is this a domestic or foreign entity or an individual?	Individual
Position	SECRETARY AND CHIEF LEGAL OFFICER
Position Start Date	11/2015
Percentage of Ownership	Less than 5%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	FREDERICK, CHRISTINE SPENCER

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Firm Profile

Direct Owners and Executive Officers (continued)

	2641636
Is this a domestic or foreign entity or an individual?	Individual
Position	CHIEF COMPLIANCE OFFICER
Position Start Date	04/2017
Percentage of Ownership	Less than 5%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

Legal Name & CRD# (if any):	HOLTZER, DAVID MICHAEL
	4345697
Is this a domestic or foreign entity or an individual?	Individual
Position	PRESIDENT
Position Start Date	11/2016
Percentage of Ownership	Less than 5%
Does this owner direct the management or policies of the firm?	Yes
Is this a public reporting company?	No

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Firm Profile

This section provides information relating to any indirect owners of the brokerage firm.

Indirect Owners

No information reported.

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Firm History

This section provides information relating to any successions (e.g., mergers, acquisitions) involving the firm.

No information reported.

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Firm Operations

Registrations

This section provides information about the regulators (Securities and Exchange Commission (SEC), self-regulatory organizations (SROs), and U.S. states and territories) with which the brokerage firm is currently registered and licensed, the date the license became effective, and certain information about the firm's SEC registration.

This firm is no longer registered.

The firm's registration was from 03/20/1984 to 07/17/2017.

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Firm Operations

Types of Business

This section provides the types of business, including non-securities business, the brokerage firm is engaged in or expects to be engaged in.

This firm currently conducts 20 types of businesses.

Types of Business

Broker or dealer retailing corporate equity securities over-the-counter
Broker or dealer selling corporate debt securities
Mutual fund underwriter or sponsor
Mutual fund retailer
U S. government securities dealer
U S. government securities broker
Municipal securities dealer
Municipal securities broker
Broker or dealer selling variable life insurance or annuities
Solicitor of time deposits in a financial institution
Broker or dealer selling oil and gas interests
Put and call broker or dealer or option writer
Investment advisory services
Broker or dealer selling tax shelters or limited partnerships in primary distributions
Broker or dealer selling tax shelters or limited partnerships in the secondary market
Non-exchange member arranging for transactions in listed securities by exchange member
Private placements of securities
Broker or dealer involved in a networking, kiosk or similar arrangment with a: bank, savings bank or association, or credit union
Broker or dealer involved in a networking, kiosk or similar arrangment with a: insurance company or agency
Other - THE APPLICANT WILL ENGAGE AS BROKER OR DEALER SELLING REAL ESTATE INVESTMENT TRUSTS ("REITS") AND ENGAGE IN THE SALES OF PRIVATELY PLACED VARIABLE PRODUCTS.

Other Types of Business

This firm does not effect transactions in commodities, commodity futures, or commodity options.
This firm does not engage in other non-securities business.

Non-Securities Business Description:

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Firm Operations

Clearing Arrangements

This firm does not hold or maintain funds or securities or provide clearing services for other broker-dealer(s).

Introducing Arrangements

This firm does refer or introduce customers to other brokers and dealers.

Name:	NATIONAL FINANCIAL SERVICES LLC
CRD #:	13041
Business Address:	200 SEAPORT BOULEVARD, BOSTON, MA 02210
Effective Date:	10/14/2015
Description:	ITEM 7: MSI HAS ENTERED INTO A FULLY DISCLOSED CLEARING AGREEMENT WITH NATIONAL FINANCIAL SERVICES LLC ("NFS"), A REGISTERED BROKER/DEALER AND CLEARING FIRM. UNDER THIS AGREEMENT, NFS WILL PROVIDE CLEARANCE AND EXECUTION SERVICES FOR MSI'S BROKERAGE CUSTOMERS.

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Firm Operations

Industry Arrangements

This firm does have books or records maintained by a third party.

Name:	METROPOLITAN LIFE INSURANCE COMPANY
CRD #:	4095
Business Address:	200 PARK AVENUE NEW YORK, NY 10166
Effective Date:	10/01/1986
Description:	METROPOLITAN LIFE INSURANCE COMPANY ("METLIFE") HAS ENTERED INTO A SERVICE AGREEMENT UNDER WHICH METLIFE PROVIDES VARIOUS PERSONNEL, SYSTEMS AND FACILITIES TO MSI IN ORDER TO FACILITATE MSI'S BUSINESS OPERATIONS.

This firm does have accounts, funds, or securities maintained by a third party.

Name:	NATIONAL FINANCIAL SERVICES LLC
CRD #:	13041
Business Address:	200 SEAPORT BOULEVARD, BOSTON, MA 02210
Effective Date:	10/14/2015
Description:	ITEM 8B: PURSUANT TO ITS FULLY DISCLOSED CLEARING AGREEMENT WITH NATIONAL FINANCIAL SERVICES LLC, MSI HAS FUNDS ON DEPOSIT TO FACILITATE CORRECTIONS OF ERRORS IN MSI ACCOUNTS.

This firm does have customer accounts, funds, or securities maintained by a third party.

Name:	NATIONAL FINANCIAL SERVICES LLC
CRD #:	13041
Business Address:	200 SEAPORT BOULEVARD, BOSTON, MA 02210
Effective Date:	10/14/2015
Description:	ITEM 8C: PURSUANT TO A FULLY DISCLOSED CLEARING AGREEMENT WITH NATIONAL FINANCIAL SERVICES LLC ("NFS"), NFS HOLDS CUSTOMER ACCOUNTS OF MSI.

Control Persons/Financing

This firm does not have individuals who control its management or policies through agreement.

This firm does not have individuals who wholly or partly finance the firm's business.

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Firm Operations

Industry Arrangements (continued)

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Firm Operations

Organization Affiliates

This section provides information on control relationships the firm has with other firms in the securities, investment advisory, or banking business.

This firm is, directly or indirectly:

- **in control of**
- **controlled by**
- **or under common control with**

the following partnerships, corporations, or other organizations engaged in the securities or investment advisory business.

MASSMUTUAL HOLDING LLC is under common control with the firm.

Business Address:	1295 STATE STREET SPRINGFIELD, MA 01111
Effective Date:	07/02/2016
Foreign Entity:	No
Country:	
Securities Activities:	No
Investment Advisory Activities:	No
Description:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY OWNS MASSMUTUAL HOLDING LLC.

MML DISTRIBUTORS, LLC is under common control with the firm.

CRD #:	38030
Business Address:	100 BRIGHT MEADOW BLVD. ENFIELD, CT 06082
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	Yes
Investment Advisory Activities:	No
Description:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY IS THE PRINCIPAL OWNER OF MML DISTRIBUTORS, LLC, A REGISTERED BROKER-DEALER AND UNDERWRITER OF MASSMUTUAL VARIABLE INSURANCE PRODUCTS.

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Firm Operations

Organization Affiliates (continued)

OPPENHEIMER FUNDS INC ("OFI") is under common control with the firm.

Business Address:	2 WORLD FINANCIAL CENTER, 225 LIBERTY STREET 11TH FLOOR NEW YORK, NY 10080
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	MASSMUTUAL HOLDING LLC IS THE PRINCIPAL STOCKHOLDER OF OPPENHEIMER ACQUISITION CORP., AND THROUGH IT HAS VOTING CONTROL OF OPPENHEIMERFUNDS, INC. OFI IS AN INVESTMENT ADVISER.

MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY controls the firm.

Business Address:	1295 STATE STREET SPRINGFIELD, MA 01111
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	Yes
Investment Advisory Activities:	No
Description:	MASSMUTUAL IS THE REGISTRANT'S PRINCIPAL OWNER AND SERVES AS A DEPOSITOR OF VARIOUS SEPARATE ACCOUNTS WHICH ARE REGISTERED AS INVESTMENT COMPANIES.

TRINITY INVESTMENT MANAGEMENT CORPORATION ("TRINITY") is under common control with the firm.

Business Address:	301 NORTH SPRING STREET BELLEFONTE, PA 16823
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	

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Firm Operations

Organization Affiliates (continued)

Securities Activities: No

Investment Advisory Activities: No

Description: TRINITY IS A WHOLLY-OWNED SUBSIDIARY OF OPPENHEIMER ACQUISITION CORP.

HAVEN LIFE INSURANCE AGENCY, LLC is under common control with the firm.

Business Address:
205 EAST 42ND STREET
20TH FLOOR
NEW YORK, NY 10017

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

Investment Advisory Activities: No

Description: HAVEN LIFE INSURANCE AGENCY, LLC IS LICENSED AS AN INSURANCE AGENCY AND IS OWNED BY MASSMUTUAL HOLDING LLC. HAVEN LIFE INSURANCE AGENCY, LLC WAS PREVIOUSLY KNOWN AS HAVEN LIFE INSURANCE AGENCY, INC.

JEFFERIES FINANCE LLC is under common control with the firm.

CRD #: 162264

Business Address:
520 MADISON AVENUE
19TH FLOOR
NEW YORK, NY 10022

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

Investment Advisory Activities: Yes

Description: JEFFERIES FINANCE LLC IS A FINANCE COMPANY AND REGISTERED INVESTMENT ADVISER CO-OWNED BY JEFFRIES GROUP, LLC, MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY AND BABSON

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Firm Operations

Organization Affiliates (continued)

CAPITAL MANAGEMENT, LLC. MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY OWNS MML INVESTORS SERVICES, LLC. BABSON IS AN AFFILIATE OF MML INVESTORS SERVICES, LLC.

BARING NORTH AMERICA LLC is under common control with the firm.

Business Address: INDEPENDENCE WHARF
470 ATLANTIC AVENUE
BOSTON, MA 02210-2208

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

Investment Advisory Activities: No

Description: BARING ASSET MANAGEMENT, INC., IS 100% OWNED BY BARING ASSET MANAGEMENT HOLDINGS, INC., WHICH IS 100% OWNED BY MASSMUTUAL HOLDING, LLC.

MML INVESTORS SERVICES, LLC is under common control with the firm.

CRD #: 10409

Business Address: 1295 STATE STREET
SPRINGFIELD, MA 01111

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: Yes

Investment Advisory Activities: Yes

Description: MASSMUTAL HOLDING LLC IS THE PRINCIPAL STOCKHOLDER OF MML INVESTORS SERVICES, LLC ("MMLISI"). MMLISI IS A REGISTERED BROKER-DEALER AND FEDERALLY COVERED INVESTMENT ADVISER.

THE MASSMUTUAL TRUST COMPANY, FSB ("MMTC") is under common control with the firm.

Business Address: 100 BRIGHT MEADOW BLVD
ENFIELD, CT 06082

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Firm Operations

Organization Affiliates (continued)

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

Investment Advisory Activities: Yes

Description: MMTC, A WHOLLY-OWNED SUBSIDIARY OF MASSMUTUAL, IS A FEDERALLY CHARTERED SAVINGS BANNK WHICH PROVIDES TRUST SERVICES.

OFI GLOBAL INSTITUTIONAL, INC. is under common control with the firm.

CRD #: 110363

Business Address: 225 LIBERTY STREET
11TH FLOOR
NEW YORK, NY 10080

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

Investment Advisory Activities: Yes

Description: OFI GLOBAL INSTITUTIONAL, INC.IS A SUBSIDIARY OF OPPENHEIMER FUNDS, INC.

OFI PRIVATE INVESTMENTS INC is under common control with the firm.

CRD #: 107807

Business Address: 225 LIBERTY STREET
11TH FLOOR
NEW YORK, NY 10080

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

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Firm Operations

Organization Affiliates (continued)

Investment Advisory Activities:	Yes
Description:	OFI PRIVATE INVESTMENTS INC IS A SUBSIDIARY OF OPPENHEIMER FUNDS, INC.

OPPENHEIMERFUNDS INTERNATIONAL LTD is under common control with the firm.

Business Address:	DAVID VANDESSEL, SIMMONS COURT HOUSE SIMMONS COURT ROAD DUBLIN, IRELAND
Effective Date:	07/01/2016
Foreign Entity:	Yes
Country:	IRELAND
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	OPPENHEIMERFUNDS INTERNATIONAL LTD, AN INVESTMENT MANAGER AUTHORIZED BY THE IRISH CENTER BANK, IS A WHOLLY-OWNED SUBSIDIARY OF OPPENHEIMERFUNDS, INC.

MMLISI FINANCIAL ALLIANCES, LLC is under common control with the firm.

CRD #:	119003
Business Address:	1295 STATE STREET SPRINGFIELD, MA 01111
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	MML INVESTORS SERVICES, LLC CONTROLS 51% OWNERSHIP INTEREST IN MMLISI FINANCIAL ALLIANCES, LLC.

BARING INVESTMENT SERVICES, INC. is under common control with the firm.

CRD #:	29645

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Firm Operations

Organization Affiliates (continued)

Business Address: INDEPENDENCE WHARF
470 ATLANTIC AVENUE
BOSTON, MA 02210

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: Yes

Investment Advisory Activities: No

Description: BARING INVESTMENT SERVICES, INC IS 100% OWNED BY BARING ASSET MANAGEMENT HOLDINGS, INC., WHICH IS 100% OWNED BY MASSMUTUAL HOLDING LLC., WHICH IS OWNED BY MASSMUTAL LIFE INSURANCE COMPANY.

BARING ASSET MANAGEMENT (AUSTRALIA) PTY LIMITED is under common control with the firm.

Business Address: 1 ALFRED STREET, CIRCULAR QUAY
NSW 2000
SYDNEY, AUSTRALIA

Effective Date: 07/01/2016

Foreign Entity: Yes

Country: AUSTRALIA

Securities Activities: No

Investment Advisory Activities: Yes

Description: BARING ASSET MANAGEMENT (AUSTRALIA) PTY LIMITED IS 100% OWNED BY BARING ASSET MANAGEMENT UK HOLDINGS LIMITED.

BARING ASSET MANAGEMENT (ASIA) LIMITED is under common control with the firm.

CRD #: 108513

Business Address: 19F EDINBURGH TOWER
15 QUEEN'S ROAD, THE LANDMARK
HONG KONG, CHINA

Effective Date: 07/01/2016

Foreign Entity: Yes

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Firm Operations

Organization Affiliates (continued)

Country:	CHINA
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	BARING ASSET MANAGEMENT (ASIA) LIMITED IS 100% OWNED BY BARING ASSET MANAGEMENT LIMITED.

BARING INTERNATIONAL INVESTMENT LTD is under common control with the firm.

CRD #:	105724
Business Address:	155 BISHOPS GATE LONDON ENGLAND, UNITED KINGDOM EC2M 3XY
Effective Date:	07/01/2016
Foreign Entity:	Yes
Country:	UNITED KINGDOM
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	BARING INTERNATIONAL INVESTMENT LTD IS 100% OWNED BY BARING ASSET MANAGEMENT LIMITED, WHICH IS 100% OWNED BY MASSMUTUAL HOLDINGS (BERMUDA) LTD., WHICH IS 100% OWNED BY MASSMUTUAL HOLDING LLC.

CORNERSTONE REAL ESTATE ADVISERS EUROPE SECURITIES B.V. is under common control with the firm.

Business Address:	WTC H-TOWER, ZUIDPLEIN 36, 1077 XV AMSTERDAM, NETHERLANDS
Effective Date:	07/01/2016
Foreign Entity:	Yes
Country:	NETHERLANDS
Securities Activities:	Yes
Investment Advisory Activities:	Yes
Description:	WHOLLY OWNED BY CORNERSTONE REAL ESTATE ADVISERS LLC.

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Firm Operations

Organization Affiliates (continued)

INVICTA ADVISORS LLC is under common control with the firm.

Business Address:	340 MADISON AVENUE, 18TH FLOOR NEW YORK, NY 10017
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	INVICTA HOLDING LLC IS SOLE MEMBER OF INVICTA ADVISORS LLC, AND MASSMUTUAL HAS A 45% OWNERSHIP INTEREST IN INVICTA HOLDING LLC.

TREMONT GROUP HOLDINGS, INC. is under common control with the firm.

Business Address:	555 THEODORE FREMD AVENUE SUITE C-200 RYE, NY 10590
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	Yes
Investment Advisory Activities:	No
Description:	TREMONT GROUP HOLDINGS, INC. IS OWNED BY OPPENHEIMER ACQUISITION CORP , WHICH IS A SUBSIDIARY OF MASSMUTUAL

BARINGS (U.K.) LIMITED is under common control with the firm.

CRD #:	158277
Business Address:	61 ALMACK LONDON, UK SW1 Y6XA
Effective Date:	07/01/2016
Foreign Entity:	Yes
Country:	UNITED KINGDOM

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Firm Operations

Organization Affiliates (continued)

Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	WHOLLY OWNED BY BABSON CAPITAL GUERNSEY LIMITED, WHICH IS WHOLLY OWNED BY BABSON CAPITAL MANAGEMENT, LLC. BABSON CAPITAL MANAGEMENT (UK) LIMITED HAS BEEN CHANGED TO BARINGS (U.K.) LIMITED.

BABSON CAPITAL JAPAN KK is under common control with the firm.

Business Address:	MORI TOWER, ATAGO 2-5-1 MINATO-KU TOKYO, JAPAN 105-6224
Effective Date:	07/01/2016
Foreign Entity:	Yes
Country:	JAPAN
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	BABSON CAPITAL JAPAN KK IS WHOLLY OWNED BY BABSON CAPITAL MANAGEMENT, LLC.

BABSON CAPITAL ASIA LIMITED is under common control with the firm.

Business Address:	SUITE 1906, 1/F EDINGBURGH TOWER 15 QUEEN'S ROAD HONG KONG, CHINA
Effective Date:	07/01/2016
Foreign Entity:	Yes
Country:	CHINA
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	WHOLLY OWNED SUBSIDIARY OF BABSON CAPITAL MANAGEMENT, LLC.

CORNERSTONE REAL ESTATE ADVISERS ("CORNERSTONE") is under common control with the firm.

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Firm Operations

Organization Affiliates (continued)

Business Address: ONE FINANCIAL PLAZA
SUITE 1700
HARTFORD, CT 06103

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

Investment Advisory Activities: Yes

Description: MASSMUTUAL HOLDING LLC OWNS ALL OF THE OUTSTANDING SHARES OF CORNERSTONE, A REGISTERED INVESTMENT ADVISER.

BARINGS SECURITIES LLC is under common control with the firm.

CRD #: 36929

Business Address: INDEPENDENCE WHARF
470 ATLANTIC AVENUE
BOSTON, MA 02210

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: Yes

Investment Advisory Activities: No

Description: BABSON OWNS 100% OF THE STOCK OF BABSON CAPITAL SECURITIES LLC, A REGISTERED BROKER-DEALER. BABSON CAPITAL SECURITIES LLC HAS BEEN CHANGED TO BARINGS SECURITIES LLC.

HARBOURVIEW ASSET MANAGEMENT CORPORATION ("HARBOURVIEW") is under common control with the firm.

Business Address: 2 WORLD FINANCIAL CENTER 11TH FLOOR
225 LIBERTY STREET
NEW YORK CITY, NY 10036

Effective Date: 07/01/2016

Foreign Entity: No

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Firm Operations

Organization Affiliates (continued)

Country:

Securities Activities: No

Investment Advisory Activities: Yes

Description: HARBOURVIEW ASSET MANAGEMENT CORPORATION IS A WHOLLY-OWNED SUBSIDIARY OF OPPENHEIMERFUNDS, INC. HARBOURVIEW ACTS AS A SUB-ADVISER TO MASSMUTUAL INSTITUTIONAL FUNDS.

MASSMUTUAL ASIA LIMITED is under common control with the firm.

Business Address:
12/F MASSMUTUAL TOWER
38 GLOUCESTER ROAD
WHANCHAI, HONG KONG

Effective Date: 07/01/2016

Foreign Entity: Yes

Country: HONG KONG

Securities Activities: No

Investment Advisory Activities: Yes

Description: MASSMUTUAL ASIA LIMITED, A CORPORATION ORGANIZED IN HONG KONG, OPERATES AS A LIFE INSURANCE COMPANY AND IS OWNED / 01% BY MASSMUTUAL HOLDING LLC (99.9% BY MASSMUTUAL INTERNATIONAL LLC).

BARING ASSET MANAGEMENT (JAPAN) LIMITED is under common control with the firm.

Business Address:
12/F SANNO PARK TOWER, 2-11-1 NAGATA-CHO
CHRYODA-KU
TOKYO, JAPAN

Effective Date: 07/01/2016

Foreign Entity: Yes

Country: JAPAN

Securities Activities: No

Investment Advisory Activities: Yes

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Firm Operations

Organization Affiliates (continued)

Activities:

Description: BARING ASSET MANAGEMENT (JAPAN) LIMITED IS 100% OWNED BY BARING ASSET MANAGEMENT UK HOLDINGS LIMITED.

BARING ASSET MANAGEMENT LIMITED is under common control with the firm.

Business Address: 155 BISHOPS GATE
LONDON, ENGLAND EC2M 3XY

Effective Date: 07/01/2016

Foreign Entity: Yes

Country: UNITED KINGDOM

Securities Activities: No

Investment Advisory Activities: Yes

Description: BARING ASSET MANAGEMENT IS 100% OWNED BY MASSMUTUAL HOLDINGS (BERMUDA) LTD., WHICH IS 100% OWNED BY MASSMUTUAL HOLDING LLC, WHICH IS OWNED BY MASSMUTUAL LIFE INSURANCE COMPANY

OPPENHEIMERFUNDS DISTRIBUTOR, INC. is under common control with the firm.

CRD #: 7834

Business Address: 225 LIBERTY STREET, 11TH FLR
NEW YORK, NY 10080

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: Yes

Investment Advisory Activities: No

Description: OPPENHEIMERFUNDS DISTRIBUTOR, INC. ("OFDI") IS A WHOLLY OWNED SUBSIDIARY OF OPPENHEIMERFUNDS, INC. OFDI IS REGISTERED AS A BROKER-DEALER AND ENGAGES IN THE DISTRIBUTION OF MUTUAL FUND SECURITIES.

MML INSURANCE AGENCY, LLC ("MMLIAI") is under common control with the firm.

Business Address: 1295 STATE STREET

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Firm Operations

Organization Affiliates (continued)

	SPRINGFIELD, MA 01111-0001
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	Yes
Investment Advisory Activities:	No
Description:	MML INVESTORS SERVICES, LLC OWNS ALL OF THE SHARES OF MMLIAI. THIS COMPANY HAS THE AUTHORITY TO SELL LIFE, HEALTH, AND VARIABLE INSURANCE PRODUCTS.

BARINGS LLC is under common control with the firm.

Business Address:	INDEPENDENCE WHARF 470 ATLANTIC AVE. BOSTON, MA 02210
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	MASSMUTUAL HOLDING LLC OWNS 100% OF THE OUTSTANDING SHARES OF BABSON CAPITAL MANAGEMENT LLC. BABSON CAPITAL MANAGEMENT LLC HAS CHANGED ITS NAME TO BARINGS LLC.

BABSON CAPITAL AUSTRALIA PTY LTD. is under common control with the firm.

Business Address:	STE 3401, LEVEL 34, 1 MACQUARIE PL. NWS 2000 SYDNEY, AUSTRALIA
Effective Date:	07/01/2016
Foreign Entity:	Yes
Country:	AUSTRALIA
Securities Activities:	Yes
Investment Advisory Activities:	Yes

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Firm Operations

Organization Affiliates (continued)

Description: WHOLLY OWNED SUBSIDIARY OF BABSON CAPITAL MANAGEMENT

BRAEMAR CAPITAL MANAGEMENT LLC is under common control with the firm.

Business Address: 340 MADISON AVENUE
18TH FLR
NEW YORK, NY 10173

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

Investment Advisory Activities: Yes

Description: BRAEMAR IS OWNED BY BRAEMAR ENERGY CENTURES AND MASSMUTUAL. MASSMUTUAL HAS MADE INVESTMENTS IN TWO BRAEMAR VENTURE FUNDS.

ROSEMOUNT CAPITAL MANAGEMENT, LLC is under common control with the firm.

Business Address: 410 PARK AVENUE
SUITE 810
NEW YORK, NY 10022

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: No

Investment Advisory Activities: Yes

Description: ROSEMOUNT IS MAJORITY OWNED BY WOOD CREEK VENTURE FUND, LLC, WHO IS WHOLLY OWNED BY BABSON CAPITAL MANAGEMENT LLC AND MASSMUTUAL, WHO IS THE PARENT OF BABSON CAPITAL MANAGEMENT LLC.

BARINGS INVESTMENT ADVISERS (HONG KONG) LIMITED is under common control with the firm.

Business Address: 15 QUEENS ROAD
19/F EDINBURGH TOWER, SUITE 1907
CENTRAL HONG KONG, S.A.R.

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Firm Operations

Organization Affiliates (continued)

Effective Date: 07/01/2016

Foreign Entity: Yes

Country: HONG KONG

Securities Activities: Yes

Investment Advisory Activities: Yes

Description: THE PARENT OF BABSON CAPITAL CORNERSTONE ASIA LIMITED IS CORNERSTONE REAL ESTATE ADVISERS LLC. BABSON CAPITAL CORNERSTONE ASIA LIMITED NAME HAS BEEN CHANGED TO BARINGS INVESTMENT ADVISERS (HONG KONG) LIMITED.

BARINGS REAL ESTATE ADVISERS EUROPE FINANCE LLP is under common control with the firm.

Business Address: 11A REGENT STREET
LONDON, ENGLAND SW18 4LR

Effective Date: 07/01/2016

Foreign Entity: Yes

Country: ENGLAND

Securities Activities: Yes

Investment Advisory Activities: Yes

Description: WHOLLY OWNED BY CORNERSTONE REAL ESTATE UK HOLDINGS LTD, WHICH IS A DIRECT SUBSIDIARY OF CORNERSTONE REAL ESTATE ADVISORS LLC. CORNERSTONE REAL ESTATE ADVISERS EUROPE FINANCE LLP HAS BEEN CHANGED TO BARINGS REAL ESTATE ADVISERS EUROPE FINANCE LLP

MML STRATEGIC DISTRIBUTORS, LLC is under common control with the firm.

CRD #: 168638

Business Address: 1295 STATE STREET
SPRINGFIELD, MA 01111-0001

Effective Date: 07/01/2016

Foreign Entity: No

Country:

Securities Activities: Yes

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Firm Operations

Organization Affiliates (continued)

Investment Advisory Activities:	No
Description:	ALSO OWNED BY MASSMUTUAL.

MML INVESTMENT ADVISERS, LLC is under common control with the firm.

CRD #:	169568
Business Address:	100 BRIGHT MEADOW BOULEVARD ENFIELD, CT 06082
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	MML INVESTMENT ADVISERS, LLC IS A DIRECT SUBSIDIARY OF MASSMUTUAL.

SOCIETY OF GROWNUPS, LLC is under common control with the firm.

CRD #:	171855
Business Address:	1295 STATE STREET SPRINGFIELD, MA 01111-0001
Effective Date:	07/01/2016
Foreign Entity:	No
Country:	
Securities Activities:	No
Investment Advisory Activities:	Yes
Description:	SOCIETY OF GROWNUPS LLC, IS A FEDERALLY COVERED INVESTMENT ADVISER AND IS OWNED BY MASSMUTUAL HOLDING, LLC.

This firm is not directly or indirectly, controlled by the following:

- **bank holding company**
- **national bank**

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Firm Operations

Organization Affiliates (continued)

- **state member bank of the Federal Reserve System**
- **state non-member bank**
- **savings bank or association**
- **credit union**
- **or foreign bank**

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Disclosure Events

All firms registered to sell securities or provide investment advice are required to disclose regulatory actions, criminal or civil judicial proceedings, and certain financial matters in which the firm or one of its control affiliates has been involved. For your convenience, below is a matrix of the number and status of disclosure events involving this brokerage firm or one of its control affiliates. Further information regarding these events can be found in the subsequent pages of this report.

	Pending	Final	On Appeal
Regulatory Event	1	40	0
Civil Event	0	1	0
Arbitration	N/A	13	N/A
Bond	N/A	2	N/A

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Disclosure Event Details

What you should know about reported disclosure events:

1. **BrokerCheck provides details for any disclosure event that was reported in CRD. It also includes summary information regarding FINRA arbitration awards in cases where the brokerage firm was named as a respondent.**
2. **Certain thresholds must be met before an event is reported to CRD, for example:**
   - A law enforcement agency must file formal charges before a brokerage firm is required to disclose a particular criminal event.
3. **Disclosure events in BrokerCheck reports come from different sources:**
   - Disclosure events for this brokerage firm were reported by the firm and/or regulators. When the firm and a regulator report information for the same event, both versions of the event will appear in the BrokerCheck report. The different versions will be separated by a solid line with the reporting source labeled.
4. **There are different statuses and dispositions for disclosure events:**
   - A disclosure event may have a status of *pending, on appeal,* or *final.*
     - A "pending" event involves allegations that have not been proven or formally adjudicated.
     - An event that is "on appeal" involves allegations that have been adjudicated but are currently being appealed.
     - A "final" event has been concluded and its resolution is not subject to change.
   - A final event generally has a disposition of *adjudicated, settled* or *otherwise resolved.*
     - An "adjudicated" matter includes a disposition by (1) a court of law in a criminal or civil matter, or (2) an administrative panel in an action brought by a regulator that is contested by the party charged with some alleged wrongdoing.
     - A "settled" matter generally involves an agreement by the parties to resolve the matter. Please note that firms may choose to settle customer disputes or regulatory matters for business or other reasons.
     - A "resolved" matter usually involves no payment to the customer and no finding of wrongdoing on the part of the individual broker. Such matters generally involve customer disputes.
5. **You may wish to contact the brokerage firm to obtain further information regarding any of the disclosure events contained in this BrokerCheck report.**

Regulatory - Final

This type of disclosure event involves (1) a final, formal proceeding initiated by a regulatory authority (e.g., a state securities agency, self-regulatory organization, federal regulator such as the U.S. Securities and Exchange Commission, foreign financial regulatory body) for a violation of investment-related rules or regulations; or (2) a revocation or suspension of the authority of a brokerage firm or its control affiliate to act as an attorney, accountant or federal contractor.

Disclosure 1 of 40

Reporting Source:	Regulator
Current Status:	Final

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Allegations:	N/A
Initiated By:	FLORIDA OFFICE OF FINANCIAL REGULATION
Date Initiated:	06/05/2018
Docket/Case Number:	70498-S
URL for Regulatory Action:	
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	CEASE AND DESIST
Resolution:	Order
Resolution Date:	06/05/2018
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Monetary/Fine $95,000.00 Cease and Desist/Injunction
Other Sanctions Ordered:	
Sanction Details:	ADMINISTRATIVE FINE OF $95,000.00 PAID IN FULL 6/5/2018
Regulator Statement	ON JUNE 5, 2018, THE OFFICE OF FINANCIAL REGULATION ENTERED A FINAL ORDER ADOPTING THE STIPULATION AND CONSENT AGREEMENT IN THE MATTER OF MSI FINANCIAL SERVICES, INC. MSI FINANCIAL SERVICES, INC. NEITHER ADMITTED NOR DENIED THE FINDINGS BUT CONSENTED TO THE ENTRY OF FINDINGS BY THE OFFICE. THE OFFICE FOUND THAT MSI FINANCIAL SERVICES, INC. FAILED TO ENFORCE WRITTEN PROCEDURES TO SUPERVISE THE ACTIVITIES OF ITS ASSOCIATED PERSONS. PURSUANT TO THE FINAL ORDER, MSI FINANCIAL SERVICES, INC. AGREED TO CEASE AND DESIST FROM ALL PRESENT AND FUTURE VIOLATIONS OF CHAPTER 517, F. S. AND THE ADMINISTRATIVE RULES THEREUNDER; AND TO PAY AN ADMINISTRATIVE FINE IN THE AMOUNT OF $95,000.

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Disclosure 2 of 40

Reporting Source: Regulator

Current Status: Final

Allegations: WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE SANCTIONS AND TO THE ENTRY OF FINDINGS THAT IT DISADVANTAGED CERTAIN RETIREMENT PLAN AND CHARITABLE ORGANIZATION CUSTOMERS THAT WERE ELIGIBLE TO PURCHASE CLASS A SHARES IN CERTAIN MUTUAL FUNDS WITHOUT A FRONT-END SALES CHARGE (ELIGIBLE CUSTOMERS). THE FINDINGS STATED THAT MANY MUTUAL FUNDS WAIVE THE UP-FRONT SALES CHARGES ASSOCIATED WITH CLASS A SHARES FOR CERTAIN RETIREMENT PLANS AND/OR CHARITABLE ORGANIZATIONS. SOME OF THE MUTUAL FUNDS AVAILABLE ON THE FIRM'S RETAIL PLATFORM OFFERED SUCH WAIVERS AND DISCLOSED THOSE WAIVERS IN THEIR PROSPECTUSES. NOTWITHSTANDING THE AVAILABILITY OF THE WAIVERS, THE FIRM FAILED TO APPLY THE WAIVERS TO MUTUAL FUND PURCHASES MADE BY ELIGIBLE CUSTOMERS AND INSTEAD SOLD THE CUSTOMERS CLASS A SHARES WITH A FRONT-END SALES CHARGE OR CLASS B OR C SHARES WITH BACK-END SALES CHARGES AND HIGHER ONGOING FEES AND EXPENSES. THESE SALES DISADVANTAGED ELIGIBLE CUSTOMERS BY CAUSING SUCH CUSTOMERS TO PAY HIGHER FEES THAN THEY WERE ACTUALLY REQUIRED TO PAY. THE DIFFERENT SALES CHARGES, BREAKPOINTS, WAIVERS AND FEES ASSOCIATED WITH DIFFERENT SHARE CLASSES AFFECT MUTUAL FUND INVESTORS' RETURNS. IF AN INVESTOR QUALIFIES FOR A CLASS A SALES CHARGE WAIVER AND PURCHASED CLASS A SHARES, THE INVESTOR WILL NOT PAY A FRONT-END SALES LOAD. IN CONTRAST, A PURCHASE OF CLASS B OR C SHARES OF THE SAME FUND WILL BE SUBJECT TO HIGHER ONGOING FEES, AS WELL AS A POTENTIAL APPLICATION OF A CONTINGENT DEFERRED SALES CHARGE. THEREFORE, IF AN INVESTOR QUALIFIES FOR A CLASS A SALES CHARGE WAIVER, THERE WOULD BE NO REASON FOR THE INVESTOR TO PURCHASE ANY OTHER CLASS OF SHARES THAT HAS A SALES LOAD AND/OR HIGHER ANNUAL EXPENSES. THE FINDINGS ALSO STATED THAT THE FIRM FAILED TO REASONABLY SUPERVISE MUTUAL FUND SALES TO ENSURE THAT ELIGIBLE CUSTOMERS WHO PURCHASED MUTUAL FUND SHARES RECEIVED THE BENEFIT OF APPLICABLE SALES CHARGE WAIVERS. THE FIRM RELIED ON ITS FINANCIAL ADVISORS TO DETERMINE THE APPLICABILITY OF SALES CHARGE WAIVERS BUT FAILED TO MAINTAIN ADEQUATE WRITTEN POLICIES OR PROCEDURES TO ASSIST FINANCIAL ADVISORS IN MAKING THIS DETERMINATION. FOR INSTANCE, THE FIRM FAILED TO ESTABLISH AND MAINTAIN WRITTEN PROCEDURES TO IDENTIFY APPLICABLE SALES CHARGE WAIVERS IN FUND'S PROSPECTUSES FOR ELIGIBLE CUSTOMERS. IN ADDITION, THE FIRM FAILED TO ADEQUATELY NOTIFY AND TRAIN ITS FINANCIAL ADVISORS

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	REGARDING THE AVAILABILITY OF MUTUAL FUND SALES CHARGE WAIVERS FOR ELIGIBLE CUSTOMERS. FINALLY, THE FIRM FAILED TO ADOPT ADEQUATE CONTROLS TO DETECT INSTANCES IN WHICH THEY DID NOT PROVIDE SALES CHARGE WAIVERS TO ELIGIBLE CUSTOMERS IN CONNECTION WITH THEIR MUTUAL FUND PURCHASES. THE FINDINGS ALSO INCLUDED THAT THE FIRM BEGAN A REVIEW TO DETERMINE WHETHER IT PROVIDED AVAILABLE SALES CHARGE WAIVERS TO ELIGIBLE CUSTOMERS. BASED ON THIS REVIEW, THE FIRM SELF-REPORTED TO FINRA THAT ELIGIBLE CUSTOMERS MAY NOT HAVE RECEIVED AVAILABLE SALES CHARGE WAIVERS. THE FIRM ESTIMATED THAT APPROXIMATELY 4,100 CUSTOMER ACCOUNTS PURCHASED MUTUAL FUND SHARES FOR WHICH AN AVAILABLE SALES CHARGE WAIVER WAS NOT APPLIED. AS A RESULT OF THE FAILURE OF THE FIRM TO APPLY AVAILABLE SALES CHARGE WAIVERS, IT ESTIMATED THAT ELIGIBLE CUSTOMERS WERE OVERCHARGED BY AT LEAST $1,900,000 FOR THE MUTUAL FUND PURCHASES MADE.
Initiated By:	FINRA
Date Initiated:	05/12/2017
Docket/Case Number:	2016052332801
Principal Product Type:	Mutual Fund(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	
Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	05/12/2017
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Disgorgement/Restitution
Other Sanctions Ordered:	UNDERTAKINGS
Sanction Details:	THE FIRM WAS CENSURED, REQUIRED TO PAY AN ESTIMATED TOTAL OF $2,200,000, INCLUSIVE OF INTEREST, IN RESTITUTION TO ELIGIBLE

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CUSTOMERS, AND WILL ALSO ENSURE THAT RETIREMENT AND CHARITABLE WAIVERS ARE APPROPRIATELY APPLIED TO ALL FUTURE TRANSACTIONS, AND REQUIRED TO PROVIDE REMEDIATION TO ELIGIBLE CUSTOMERS WHO, FROM JULY 1, 2009, QUALIFIED FOR, BUT DID NOT RECEIVE, THE APPLICABLE MUTUAL FUND SALES CHARGE WAIVERS WHEN THE FIRM FAILED TO IDENTIFY AND APPLY AVAILABLE SALES CHARGE WAIVERS TO ELIGIBLE RETIREMENT ACCOUNTS AND CHARITABLE ORGANIZATIONS. THE FIRM WILL PROVIDE TO FINRA A DETAILED PLAN TO REMEDIATE ELIGIBLE CUSTOMERS BASED ON SPECIFIC CRITERIA THAT ARE NOT UNACCEPTABLE TO FINRA. THE FIRM WILL ALSO ADDRESS RESTITUTION FOR EACH RETIREMENT PLAN CUSTOMER THAT, WHILE NOT ELIGIBLE TO PURCHASE CLASS A SHARES WITHOUT A FRONT-END SALES CHARGE, WAS ELIGIBLE TO PURCHASE AN ALTERNATIVE SHARE CLASS (INCLUDING, BUT NOT LIMITED TO, R SHARES) WITHOUT A FRONT-END SALES CHARGE AND WITH ONGOING FEES SUBSTANTIALLY SIMILAR TO THOSE OF THE CLASS A SHARE. THE FIRM WILL SUBMIT TO FINRA A SCHEDULE OF ELIGIBLE CUSTOMERS IDENTIFIED FOR REMEDIATION AND INCLUDE THE DETAILS OF THE QUALIFYING PURCHASES AND TOTAL DOLLAR AMOUNTS OF RESTITUTION THAT WILL BE PROVIDED TO EACH CUSTOMER.

Regulator Statement

IN RESOLVING THIS MATTER, FINRA HAS RECOGNIZED THE EXTRAORDINARY COOPERATION OF THE FIRM FOR HAVING: INITIATED, PRIOR TO DETECTION OR INTERVENTION BY A REGULATOR, AN INVESTIGATION TO IDENTIFY WHETHER ELIGIBLE CUSTOMERS RECEIVED SALES CHARGE WAIVERS DURING THE RELEVANT PERIOD; PROMPTLY ESTABLISHED A PLAN OF REMEDIATION FOR ELIGIBLE CUSTOMERS WHO DID NOT RECEIVE APPROPRIATE SALES CHARGE WAIVERS; PROMPTLY SELF-REPORTED TO FINRA; PROMPTLY TAKEN ACTION AND REMEDIAL STEPS TO CORRECT THE VIOLATIVE CONDUCT; AND EMPLOYED SUBSEQUENT CORRECTIVE MEASURES, PRIOR TO DETECTION OR INTERVENTION BY A REGULATOR, TO REVISE ITS PROCEDURES TO AVOID RECURRENCE OF THE MISCONDUCT.

Reporting Source: Firm

Current Status: Final

Allegations:

BETWEEN JULY 1, 2009 TO PRESENT, IT IS ALLEGED THAT MSI DISADVANTAGED CERTAIN RETIREMENT PLAN AND CHARITABLE ORGANIZATION CUSTOMERS THAT WERE ELIGIBLE TO PURCHASE CLASS A SHARES IN CERTAIN MUTUAL FUNDS WITHOUT A FRONT-END SALES CHARGES. THE ELIGIBLE CUSTOMERS WERE INSTEAD SOLD CLASS A SHARES WITH A FRONT-END SALES CHARGE OR CLASS B OR C SHARES WITH BACK-END SALES CHARGES AND HIGHER ONGOING FEES AND

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	EXPENSES. IT IS ALLEGED THAT MSI FAILED TO ESTABLISH AND MAINTAIN A SUPERVISORY SYSTEM AND PROCEDURES REASONABLY DESIGNED TO ENSURE THAT ELIGIBLE CUSTOMERS WHO PURCHASED MUTUAL FUND SHARES RECEIVED THE BENEFIT OF APPLICABLE SALES CHARGE WAIVERS IN VIOLATION OF NASD CONDUCT RULE 3010 (FOR MISCONDUCT BEFORE DECEMBER 1, 2014), FINRA RULE 3110 (FOR MISCONDUCT ON OR AFTER DECEMBER 1, 2014), AND FINRA RULE 2010.
Initiated By:	FEDERAL INDUSTRY REGULATORY AUTHORITY ("FINRA")
Date Initiated:	04/24/2017
Docket/Case Number:	20160523328
Principal Product Type:	Mutual Fund(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	REMEDIATION/UNDERTAKING PLUS INTEREST ON THE RESTITUTION
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	05/12/2017
Sanctions Ordered:	Censure Disgorgement/Restitution
Other Sanctions Ordered:	MSI AGREES TO PAY RESTITUTION TO ELIGIBLE CUSTOMERS WHICH IS ESTIMATED TO TOTAL $2,200,000 WHICH IS THE AMOUNT ELIGIBLE CUSTOMERS WERE OVERCHARGED INCLUSIVE OF INTEREST.
Sanction Details:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE SANCTIONS AND TO THE ENTRY OF THE FINDINGS THAT IT DISADVANTAGED CERTAIN RETIREMENT PLAN AND CHARITABLE ORGANIZATION CUSTOMERS THAT WERE ELIGIBLE TO PURCHASE CLASS A SHARES IN CERTAIN MUTUAL FUNDS WITH A FRONT-END SALES CHARGE (ELIGIBLE CUSTOMERS). THE FINDING STATES THAT THESE ELIGIBLE CUSTOMERS WERE INSTEAD SOLD CLASS A SHARES WITH A FRONT-END SALES CHARGE OR CLASS B OR C SHARES WITH BACK-END SALES CHARGES AND HIGH ONGOING FEES AND EXPENSES. THE DIFFERENT SALES CHARGES, BREAKPOINTS, WAIVERS AND FEES ASSOCIATED WITH DIFFERENT SHARE CLASSES AFFECT MUTUAL FUND INVESTORS' RETURNS.
Firm Statement	MSI DID A REVIEW TO DETERMINE WHETHER IT PROVIDED AVAILABLE SALES CHARGE WAIVERS TO ELIGIBLE CUSTOMERS. BASED ON THE REVIEW, THE FIRM SELF-REPORTED TO FINRA THAT ELIGIBLE

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CUSTOMERS HAD NOT RECEIVED AVAILABLE SALES CHARGE WAIVERS. THE FIRM ESTIMATED THAT APPROXIMATELY 4,100 FIRM CUSTOMERS PURCHASED MUTUAL FUND SHARES FOR WHICH AN AVAILABLE SALES CHARGE WAIVER WAS NOT APPLIED. THE FIRM ESTIMATED THAT ELIGIBLE CUSTOMERS WERE OVERCHARGED BY APPROXIMATELY $1,900,000 FOR MUTUAL FUND PURCHASES MADE. AS PART OF THE SETTLEMENT, THE FIRM AGREES TO PAY RESTITUTION TO ELIGIBLE CUSTOMERS ON CERTAIN TERMS, WHICH IS ESTIMATED TO TOTAL $2,200,000 (I.E., THE AMOUNT ELIGIBLE CUSTOMERS WERE OVERCHARGED, INCLUSIVE OF INTEREST). THE FIRM ALSO WILL ENSURE THAT RETIREMENT AND CHARITABLE WAIVERS ARE APPROPRIATELY APPLIED TO ALL FUTURE TRANSACTIONS. IN RESOLVING THE MATTER, FINRA RECOGNIZED THE EXTRAORDINARY COOPERATION OF THE FIRM FOR HAVING INITIATED, PRIOR TO THE DETECTION OR INTERVENTION BY A REGULATOR, AN INVESTIGATION TO IDENTIFY WHETHER ELIGIBLE CUSTOMERS RECEIVED SALES CHARGE WAIVERS DURING THE RELEVANT PERIOD; PROMPTLY ESTABLISHED A PLAN OF REMEDIATION FOR ELIGIBLE CUSTOMERS WHO DID NOT RECEIVE APPROPRIATE SALES CHARGE WAIVERS; PROMPTLY SELF-REPORTED TO FINRA; PROMPTLY TAKEN ACTION AND REMEDIAL STEPS TO CORRECT THE CONDUCT AND EMPLOYED SUBSEQUENT CORRECTIVE MEASURES, PRIOR TO DETECTION OR INTERVENTION BY A REGULATOR, TO REVISE ITS PROCEDURES TO AVOID RECURRENCE OF THE MISCONDUCT.

Disclosure 3 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE STATE OF OKLAHOMA INSURANCE COMMISSIONER ALLEGED THAT THE APPLICANT DID NOT DISCLOSE AN ACCEPTANCE, WAIVER AND CONSENT FROM FINRA WITHIN THE REQUIRED TIMEFRAME.
Initiated By:	STATE OF OKLAHOMA INSURANCE COMMISSIONER
Date Initiated:	07/01/2016
Docket/Case Number:	16-0644-DEN
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	FINE OF $500.00

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Resolution:	Order
Resolution Date:	07/01/2016
Sanctions Ordered:	Censure Monetary/Fine $500.00
Other Sanctions Ordered:	
Sanction Details:	THE APPLICANT WAS CENSURED AND FINED $500. MSI CONSENTED TO THE ORDER AND PAID THE $500 FINE WITHIN THE REQUIRED 30 DAYS.
Firm Statement	THE STATE OF OKLAHOMA INSURANCE COMMISSIONER ALLEGED THAT THE APPLICANT DID NOT DISCLOSE AN ACCEPTANCE, WAIVER AND CONSENT FROM FINRA WITHIN THE REQUIRED TIMEFRAME. THE APPLICANT WAS CENSURED AND FINED $500.MSI CONSENTED TO THE ORDER AND PAID THE $500 FINE ON WITHIN THE REQUIRED 30 DAYS

Disclosure 4 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE COMMONWEALTH OF PENNSYLVANIA, ACTING THROUGH THE DEPARTMENT OF BANKING AND SECURITIES ("DEPARTMENT"), BUREAU OF SECURITIES LICENSING, COMPLIANCE AND EXAMINATIONS ("BUREAU") CONDUCTED AN INVESTIGATION OF THE SECURITIES ACTIVITIES OF MML INVESTORS SERVICES, LLC (THE "FIRM") PURSUANT TO THE PENNSYLVANIA SECURITIES ACT OF 1972, 70 P.S. §1-101, ET. SEQ, ("1972 ACT"). THE FIRM, NEITHER ADMITTING NOR DENYING THE ALLEGATIONS, AND INTENDING TO BE LEGALLY BOUND, AGREED TO THE TERMS OF A CONSENT AGREEMENT AND ORDER ("ORDER") EFFECTIVE JULY 6, 2015. THE MATTER AROSE OUT OF THE CONDUCT OF 1\ DECEASED FORMER REPRESENTATIVE OF THE FIRM. THE REPRESENTATIVE OPERATED AN UNAPPROVED OUTSIDE BUSINESS ACTIVITY THROUGH WHICH HE ISSUED, OFFERED AND SOLD UNREGISTERED PROMISSORY NOTES TO CERTAIN PENNSYLVANIA RESIDENTS. THE ISSUANCE AND/OR OFFERS AND SALES OF THE NOTES BY THE REPRESENTATIVE WERE NOT APPROVED BY THE FIRM. THE BUREAU RECEIVED FIVE COMPLAINTS AND WAS AWARE OF TWELVE NOTES TOTALING APPROXIMATELY $385,000.00.
Initiated By:	THE COMMONWEALTH OF PENNSYLVANIA, THE DEPT OF BANKING AND SECURITIES, BUREAU OF SECURITIES LICENSING, COMPLIANCE & EXAMINATIONS.
Date Initiated:	04/10/2014
Docket/Case Number:	150020 (SEC-CAO)

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Principal Product Type:	Other
Other Product Type(s):	UNREGISTERED PROMISSORY NOTES
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	SANCTION, ADMINISTRATIVE ASSESSMENT AND LEGAL AND INVESTIGATIVE COSTS.
Resolution:	Order
Resolution Date:	07/06/2015
Sanctions Ordered:	Monetary/Fine $125,000.00 Disgorgement/Restitution
Other Sanctions Ordered:	THE FIRM WAS ALSO ORDERED TO COMPLY WITH THE PENNSYLVANIA SECURITIES ACT OF 1972 AND ITS REGULATIONS AS ADOPTED BY THE DEPARTMENT, 70 P.S. §1-101, ET. SEQ.
Sanction Details:	PAYMENT TO THE DEPARTMENT FOR MONETARY SANCTIONS IN THE AMOUNT OF $125,000 AND PAYMENT TO CERTAIN PENNSYLVANIA RESIDENTS IN THE AMOUNT OF $150,840.62 WAS MADE ON JUNE 30, 2015.
Firm Statement	THE FIRM, NEITHER ADMITTING NOR DENYING THE ALLEGATIONS, AND INTENDING TO BE LEGALLY BOUND, AGREED TO THE TERMS OF A CONSENT AGREEMENT AND ORDER ("ORDER") EFFECTIVE JULY 6, 2015. THE MATTER AROSE OUT OF THE CONDUCT OF A DECEASED FORMER REPRESENTATIVE OF THE FIRM. THE REPRESENTATIVE OPERATED AN UNAPPROVED OUTSIDE BUSINESS ACTIVITY THROUGH WHICH HE ISSUED, OFFERED AND SOLD UNREGISTERED PROMISSORY NOTES TO CERTAIN PENNSYLVANIA RESIDENTS. THE ISSUANCE AND/OR OFFERS AND SALES OF THE NOTES BY THE REPRESENTATIVE WERE NOT APPROVED BY THE FIRM. THE BUREAU RECEIVED FIVE COMPLAINTS AND WAS AWARE OF TWELVE NOTES TOTALING APPROXIMATELY $385,000.00. THE FIRM WAS SUBJECT TO A SANCTION UNDER SECTION 305(A)(VII) OF THE 1972 ACT, 70 P.S. §1-305(A)(VII) FOR A FAILURE TO REASONABLY SUPERVISE AN AGENT OF THE FIRM. THE ORDER DIRECTED THE FIRM TO I) PAY AN ADMINISTRATIVE ASSESSMENT IN THE AMOUNT OF $100,000.00; II) PAY LEGAL AND INVESTIGATIVE COSTS IN THE AMOUNT OF $25,000.00; III) COMPLY WITH THE 1972 ACT, AND ITS REGULATIONS AS ADOPTED BY THE DEPARTMENT, 70 P.S. §1-101, ET. SEQ; AND IV) REPRESENT TO THE DEPARTMENT THAT IT HAD MADE CERTAIN PAYMENTS TO CERTAIN PENNSYLVANIA RESIDENTS RELATED TO THE SECURITIES ACTIVITIES OF THE REPRESENTATIVE AND HIS OUTSIDE BUSINESS.

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Disclosure 5 of 40

Reporting Source: Firm

Current Status: Final

Allegations: NASD RULES 2110, 3010(A)-IT WAS ALLEGED THAT MML INVESTORS SERVICES, LLC FAILED TO REASONABLY SUPERVISE ITS REGISTERED REPRESENTATIVES IN CONNECTION WITH THEIR UNAPPROVED SALE OF CERTAIN PRIVATE SECURITIES AWAY FROM THE FIRM. MML INVESTORS SERVICES, LLC'S WRITIEN SUPERVISORY PROCEDURES STATED THAT REPRESENTATIVES WERE PROHIBITED FROM PARTICIPATING IN PRIVATE SECURITIES TRANSACTIONS WITHOUT PRIOR WRITIEN APPROVAL OF THE CCO OR HIS/HER DELEGATE. IT WAS ALLEGED THAT REGISTERED REPRESENTATIVES, DESPITE THE PROHIBITION, WERE ENGAGED IN SELLING AWAY. IT WAS ALLEGED THAT THE FIRM DID NOT REASONABLY MONITOR FOR OR REVIEW INDICATIONS TO DETERMINE WHETHER THESE UNAPPROVED PRIVATE SECURITIES TRANSACTIONS WERE OCCURRING. IT WAS ALLEGED THAT CERTAIN REGISTERED REPRESENTATIVES RECOMMENDED UNAPPROVED PROMISSORY NOTES TO INVESTORS AND TWO OF THE REGISTERED REPRESENTATIVES SOLD UNAPPROVED PROMISSORY NOTES TO SEVEN INVESTORS WHO SUSTAINED LOSSES UP TO $760,000.00 WHEN THE ISSUERS OF THE PROMISSORY NOTES DISCONTINUED INTEREST PAYMENTS. THE FIRM CONDUCTED PERIODIC SUPERVISORY REVIEWS AND AUDITS AND IT WAS ALLEGED THAT IT FAILED TO UNCOVER THE SALE OF UNAPPROVED PROMISSORY NOTES. THE FIRM INITIATED AN INTERNAL REVIEW AFTER WARNINGS FROM THE AGENCY SUPERVISORY OFFICER. DURING THE INVESTIGATION, THE FIRM NOTIFIED FINRA THAT THE EMPLOYMENT OF THE REGISTERED REPRESENTATIVES HAD BEEN TERMINATED IN CONNECTION WITH THEIR UNAPPROVED REFERRALS TO AN OUTSIDE ENTITY. THE FIRM INVESTIGATED THE CONCERNS THAT THE ASO RAISED, HOWEVER IT WAS ALLEGED THAT THE FIRM'S INVESTIGATION DID NOT UNCOVER ITS REGISTERED REPRESENTATIVES' IMPROPER SALES OF PROMISSORY NOTES FROM ITS OFFICES AND THAT CERTAIN REGISTERED REPRESENTATIVES CONTINUED TO REFER CLIENTS TO OUTSIDE ENTITIES OFFERING PROMISSORY NOTES AND AT LEAST ONE ADDITIONAL SALE OF UNAPPROVED PROMISSORY NOTES WENT UNDETECTED. AT A CERTAIN POINT, ALL INVESTORS STOPPED RECEIVING PAYMENTS FROM THE ISSUER.

Initiated By: FINRA

Date Initiated: 08/21/2013

Docket/Case Number:

Principal Product Type: Other

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Other Product Type(s):	PROMISSORY NOTES
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	08/21/2013
Sanctions Ordered:	Monetary/Fine $125,000.00 Disgorgement/Restitution
Other Sanctions Ordered:	
Sanction Details:	WITHOUT ADMITIING OR DENYING THE FINDINGS, MML INVESTORS SERVICES, LLC (THE FIRM) CONSENTED TO A CENSURED, A FINE OF $125,000.00 AND AGREED TO PAY RESTITUTION TOTALING $787,847.70 TO INVESTORS. THE FIRM WILL PROVIDE PROOF THAT IT MADE RESTITUTION TO FINRA NO LATER THAN SIX MONTHS AFTER ACCEPTANCE OF THE AWC.
Firm Statement	WITHOUT ADMITIING OR DENYING THE FINDINGS, MML INVESTORS SERVICES, LLC (THE FIRM) CONSENTED TO A CENSURED, A FINE OF $125,000.00 AND AGREED TO PAY RESTITUTION TOTALING $787,847.70 TO INVESTORS. THE FIRM WILL PROVIDE PROOF THAT IT MADE RESTITUTION TO FINRA NO LATER THAN SIX MONTHS AFTER ACCEPTANCE OF THE AWC.

Disclosure 6 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE STATE OF RHODE ISLAND ALLEGED THAT MML INVESTORS SERVICES, LLC FAILED REASONABLY TO ENFORCE POLICIES, PROCEDURES AND SYSTEMS REASONABLY DESIGNED TO PREVENT, DETECT AND ADDRESS VIOLATIONS BY A FORMER REGISTER REPRESENTATIVE AND FAILED REASONABLY TO SUPERVISE ACTIVITIES AT ITS OSJ AND DETACHED BRANCH OFFICE CONSTITUTING A VIOLATION OF R.I. GEN. LAWS§ 7-11-212(B)(11).
Initiated By:	STATE OF RHODE ISLAND AND PROVIDENCE PLANTATIONS, DEPARTMENT OF BUSINESS REGULATION.
Date Initiated:	03/28/2011
Docket/Case Number:	DBR NO. 11-S-0114
Principal Product Type:	No Product

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Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Cease and Desist
Other Sanction(s)/Relief Sought:	A CIVIL PENALTY IN THE AMOUNT OF $250,000.
Resolution:	Consent
Resolution Date:	12/06/2012
Sanctions Ordered:	Monetary/Fine $250,000.00 Cease and Desist/Injunction
Other Sanctions Ordered:	MML INVESTORS SERVICES LLC MUST RETAIN AN INDEPENDENT CONSULTANT TO CONDUCT A COMPREHENSIVE REVIEW OF ITS RHODE ISLAND DETACHED BRANCH OFFICES AND REGISTERED REPRESENTATIVES IN SUCH LOCATIONS AND ISSUE A WRITTEN REPORT TO BE FILED WITH THE DIRECTOR OF THE RHODE ISLAND DEPARTMENT OF BUSINESS REGULATION.
Sanction Details:	WITHOUT ADMITTING OR DENYING THE ALLEGATIONS, MML INVESTORS SERVICES, LLC AGREED TO THE ENTRY OF THE ORDER AND PAID A FINE IN THE AMOUNT OF $250,000. IN CONSIDERATION, THE DEPARTMENT OF BUSINESS REGULATION AGREED NOT TO PURSUE ANY FURTHER ACTION AGAINST MML INVESTORS SERVICES, LLC OTHER THAN AS SET FORTH IN THE ORDER.
Firm Statement	THE DIRECTOR OF THE RHODE ISLAND DEPARTMENT OF BUSINESS REGULATION (THE "DIRECTOR") ENTERED INTO A CONSENT ORDER MAKING FINDINGS AND IMPOSING REMEDIAL SANCTIONS (THE "ORDER") FOR THE RESOLUTION OF A MATTER INVOLVING MML INVESTORS SERVICES ON DECEMBER 6, 2012. THE MATTER WAS RESOLVED PRIOR TO INSTITUTING ADMINISTRATIVE PROCEEDINGS. MML INVESTORS SERVICES NEITHER ADMITTED, NOR DENIED THE FINDINGS. THE MATTER AROSE OUT OF THE CONDUCT OF TWO FORMER REPRESENTATIVES OF MML INVESTORS SERVICES WHO HAVE BEEN BARRED FROM ENGAGING IN ANY SECURITIES BUSINESS IN THE STATE OF RHODE ISLAND AS A RESULT OF THEIR CONDUCT. ON MARCH 28, 2011, MML INVESTORS SERVICES ADVISED THE SECURITIES DIVISION THAT ONE OF THESE REPRESENTATIVES HAD EMBEZZLED MONEY FROM ONE OF HIS CLIENTS OVER THE COURSE OF TEN YEARS BY INDUCING THE CLIENT TO INVEST IN FRAUDULENT AND NON-EXISTENT PROMISSORY NOTES SOLD THROUGH THE REPRESENTATIVE'S OUTSIDE BUSINESS ACTIVITY. THE DIRECTOR ALLEGED THAT MML INVESTORS SERVICES FAILED TO REASONABLY SUPERVISE THESE REPRESENTATIVES IN VIOLATION OF R.I. GEN. LAWS SECTION 7-11-212(B)(L1). THE ORDER DIRECTS MML INVESTORS SERVICES TO: (I) IMMEDIATELY CEASE AND DESIST FROM

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	ANY FURTHER VIOLATIONS OF THE RHODE ISLAND UNIFORM SECURITIES ACT OF 1990 AND THE RULES PROMULGATED THEREUNDER; (II) PAY A PENALTY IN THE AMOUNT OF $250,000 TO THE RHODE ISLAND DEPARTMENT OF BUSINESS REGULATION; (III) CONFIRM IN WRITING THAT IT HAS REIMBURSED THE CLIENT FOR LOSSES ACCORDING TO THE TERMS OF A SETTLEMENT NEGOTIATED AMONGST THE PARTIES; AND, (IV) RETAIN AN INDEPENDENT CONSULTANT TO CONDUCT A COMPREHENSIVE REVIEW OF ITS RHODE ISLAND DETACHED BRANCH OFFICES AND REGISTERED REPRESENTATIVES IN SUCH LOCATIONS AND ISSUE A WRITTEN REPORT TO BE FILED WITH THE DIRECTOR.

Disclosure 7 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE SECURITIES DIVISION OF THE STATE OF NEVADA ALLEGED THAT DURING THE PERIOD OF JULY 3, 2009 THROUGH APRIL 21, 2010, MML INVESTORS SERVICES, LLC OPERATED A BRANCH OFFICE IN THE STATE OF NEVADA OTHER THAN THE PRINCIPAL OFFICE, WITHOUT THE BENEFIT OF BEING LICENSED PURSUANT NRS 90.360(2)AND(3).
Initiated By:	STATE OF NEVADA, OFFICE OF THE SECRETARY OF STATE, SECURITIES DIVISION
Date Initiated:	01/05/2012
Docket/Case Number:	FILE NO. CI10-237-JH
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	01/05/2012
Sanctions Ordered:	Monetary/Fine $1,000.00
Other Sanctions Ordered:	
Sanction Details:	MML INVESTORS SERVICES, LLC PAID A FINE IN THE AMOUNT OF $1,000.00.
Firm Statement	MML INVESTORS SERVICES, LLC CONSENTED TO THE ENTRY OF THE

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ORDER AND PAID A FINE IN THE AMOUNT OF $1,000.00. IN CONSIDERATION, THE SECURITIES DIVISION AGREED NOT TO PURSUE ANY FURTHER ACTION AGAINST MML INVESTORS SERVICES, LLC OTHER THAN AS SET FORTH IN THE ORDER IN CONNECTION WITH THE SUBJECT MATIER OF THE ORDER.

Disclosure 8 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	NASD CONDUCT RULE 2110 (FOR CONDUCT PRIOR TO DECEMBER 15, 2008) AND 3010 AND FINRA RULE 2010 (FOR CONDUCT AFTER DECEMBER 14, 2008).
Initiated By:	FINRA
Date Initiated:	11/16/2011
Docket/Case Number:	2010020873501
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/16/2011
Sanctions Ordered:	Censure Monetary/Fine $300,000.00
Other Sanctions Ordered:	
Sanction Details:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS; THEREFORE IT IS CENSURED, FINED $300,000 AND AGREES TO COMPLY WITH THE FOLLOWING UNDERTAKINGS: THE FIRM WILL REVIEW ITS SUPERVISORY SYSTEMS AND WRITTEN SUPERVISORY PROCEDURES FOR COMPLIANCE WITH ITS REPORTING OBLIGATIONS CONCERNING THE TIMELY FILING OF FORM U-4 DISCLOSURE AMENDMENTS PURSUANT TO ARTICLE V. SECTION 2(C) OF FINRA'S BY-LAWS AND THE TIMELY FILING OF FORMS US AND FORMS US AMENDMENTS PURSUANT TO ARTICLE V, SECTION 3(A) AND 3(B). WITHIN

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	90 DAYS OF THE ISSUANCE OF THE AWC, AN OFFICER OF THE FIRM WILL CERTIFY TO FINRA IN WRITING THAT THE FIRM CURRENTLY HAS IN PLACE SYSTEMS AND PROCEDURES REASONABLY DESIGNED TO ACHIEVE COMPLAINCE WITH ITS REPORTING OBLIGATIONS UNDER FINRA'S BY-LAWS, ARTICLE V, SECTIONS 2(C), 2(A) AND 3(B) WITH RESPECT TO THE TIMELY FILING OF REQUIRED FORMS U4 AND US, AND AMENDMENTS THERETO. IN ADDITION, WITHIN 1S DAYS FOLLOWING THE END OF EACH QUARTER IN CALENDAR YEAR 2012, THE FIRM WILL SUBMIT A REPORT DETAILING ANY FORM US FILINGS OR DISCLOSURE AMENDMENTS TO FORMS U4 AND US THAT WERE NOT TIMELY FILED WITH FINRA THAT QUARTER. AT THE SAME TIME, AN OFFICER WILL CERTIFY TO FINRA IN WRITING THAT THE SUBMITTED REPORT IS ACCURATE.
Firm Statement	THE ALLEGED RULE VIOLATIONS RELATED TO THE FIRM'S COMPLIANCE WITH FINRA RULES APPLICABLE TO FILING FORMS US AND AMENDMENTS TO FORMS U4 AND US. FROM APPROXIMATELY MAY 13, 2008 THROUGH OCTOBER 10, 2010, THE FIRM FAILED TO FILE IN A TIMELY MANNER, AT LEAST 98 FILINGS, INCLUDING S FORM US FILINGS AND 93 AMENDMENTS TO FORMS U4 AND US. FINRA ALSO FOUND THAT THE FIRM FAILED TO ESTABLISH AND MAINTAIN A SUPERVISORY SYSTEM AND ESTABLISH, MAINTAIN AND ENFORCE SUPERVISORY PROCEDURES THAT WERE REASONABLY DESIGNED TO ACHIEVE COMPLIANCE WITH THE REPORTING REQUIREMENTS SET FORTH IN ARTICLE V OF FINRA'S BY-LAWS.

Disclosure 9 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE ALLEGATIONS INCLUDED VIOLATIONS OF FINRA RULE 2010, NASD RULES 2110, 2440, 3010 AND THAT MML INVESTORS SERVICES, LLC PURCHASED OR SOLD 14 TRADE REPORTING AND COMPLIANCE ENGINE (TRACE) ELIGIBLE SECURITIES AS AN AGENT FOR A CUSTOMER IN OVER-THE-COUNTER TRANSACTIONS FOR A COMMISSION OR SERVICE CHARGE THAT WAS IN EXCESS OF A FAIR AMOUNT, TAKING INTO CONSIDERATION ALL RELEVANT CIRCUMSTANCES, INCLUDING MARKET CONDITIONS WITH RESPECT TO SUCH SECURITY AT THE TIME OF THE TRANSACTION, THE EXPENSE OR EXECUTING THE ORDER AND THE VALUE OF ANY SERVICE RENDERED BY REASON OF EXPERIENCE IN AND KNOWLEDGE OF SUCH SECURITY AND THE MARKET. THEREFORE, IT WAS ALLEGED THAT THE FIRM FAILED TO ENFORCE ITS WRITIEN SUPERVISORY PROCEDURES BY CHARGING COMMISSIONS IN EXCESS OF THE PROCEDURE'S LIMITS, WHICH SPECIFY THAT NO COMMISSION SHALL EXCEED 2.25 PERCENT OF THE PRINCIPAL AMOUNT OF THE TRANSACTION BEYOND A MINIMUM $65.00 CHARGE.

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Initiated By:	FINANCIAL INDUSTRY REGULATORY AUTHORITY (FINRA)
Date Initiated:	06/17/2011
Docket/Case Number:	2009019499901
Principal Product Type:	Other
Other Product Type(s):	TRACE-ELIGIBLE SECURITIES
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	06/17/2011
Sanctions Ordered:	Monetary/Fine $32,500.00
Other Sanctions Ordered:	
Sanction Details:	WITHOUT ADMITIING OR DENYING THE FINDINGS, MML INVESTORS SERVICES, LLC CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS. THE FIRM WAS CENSURED AND FINED $32,500.00.

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Reporting Source:	Firm
Current Status:	Final
Allegations:	DURING THE PERIOD BETWEEN JANUARY 1, 2001 AND DECEMBER 31, 2006, ELEVEN AGENTS SOLD TEN VARIABLE ANNUITY CONTRACTS TO VERMONT RESIDENTS WITHOUT BEING REGISTERED WITH THE VERMONT SECURITIES DIVISION, IN VIOLATION OF 9 V.S.A § 4213(A) AND 9 V.S.A. § 5402(A) OF THE VERMONT SECURITIES ACT.
Initiated By:	STATE OF VERMONT, DEPARTMENT OF BANKING, INSURANCE, SECURITIES AND HEALTH CARE ADMINISTRATION
Date Initiated:	01/03/2007
Docket/Case Number:	DOCKET NUMBER 07-030-S
Principal Product Type:	Other
Other Product Type(s):	VARIABLE ANNUITY CONTRACTS
Principal Sanction(s)/Relief Sought:	Other

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Other Sanction(s)/Relief Sought:	ADMINISTRATIVE SANCTIONS
Resolution:	Consent
Resolution Date:	05/05/2008
Sanctions Ordered:	Monetary/Fine $45,064.00 Disgorgement/Restitution Cease and Desist/Injunction
Other Sanctions Ordered:	MML INVESTORS SERVICES, INC. AGREED TO CEASE FROM FURTHER VIOLATIONS OF THE UNIFORM SECURITIES ACT. MML INVESTORS SERVICES, INC. AGREED TO PAY A TOTAL OF $45,064.00 IN ADMINISTRATIVE PENALTIES, BACK REGISTRATION FEES, INVESTIGATION COSTS AND DISGORGEMENT OF COMMISSIONS, FEES, SERVICES CHARGES OR SIMILAR ITEMS ASSOCIATED WITH THE CONSENT ORDER. MML INVESTORS SERVICES, INC. WILL PROVIDE THE VERMONT SECURITIES DIVISION WITH A REPORT WITHIN 90 DAYS DEMONSTRATING THAT IT HAS TAKEN THE NECESSARY STEPS TO ENSURE THAT A SIMILAR OCCURRENCE WILL NOT HAPPEN IN THE FUTURE.
Sanction Details:	MML INVESTORS SERVICES, INC. AGREED TO PAY A TOTAL OF $45,064.00 IN ADMINISTRATIVE PENALTIES, BACK REGISTRATION FEES, INVESTIGATION COSTS AND DISGORGEMENT OF COMMISSIONS, FEES, SERVICES CHARGES OR SIMILAR ITEMS ASSOCIATED WITH THE CONSENT ORDER.
Firm Statement	MML INVESTORS SERVICES, INC. AGREED TO CEASE FROM FURTHER VIOLATIONS OF THE UNIFORM SECURITIES ACT. MML INVESTORS SERVICES, INC. AGREED TO PAY A TOTAL OF $45,064.00 IN ADMINISTRATIVE PENALTIES, BACK REGISTRATION FEES, INVESTIGATION COSTS AND DISGORGEMENT OF COMMISSIONS, FEES, SERVICES CHARGES OR SIMILAR ITEMS ASSOCIATED WITH THE CONSENT ORDER. MML INVESTORS SERVICES, INC. WILL PROVIDE THE VERMONT SECURITIES DIVISION WITH A REPORT WITHIN 90 DAYS DEMONSTRATING THAT IT HAS TAKEN THE NECESSARY STEPS TO ENSURE THAT A SIMILAR OCCURRENCE WILL NOT HAPPEN IN THE FUTURE.

Disclosure 11 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE SECURITIES DIVISION OF THE STATE OF NEVADA ALLEGED THAT THE APPLICANT VIOLATED N.A.C. 90.327(1)(D)(1).
Initiated By:	STATE OF NEVADA, OFFICE OF THE SECRETARY OF STATE, SECURITIES

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	DIVISION
Date Initiated:	02/06/2009
Docket/Case Number:	FILE NO.: CIOB-109
Principal Product Type:	Other
Other Product Type(s):	OPERATING BUSINESS WITHIN A FINANCIAL INSTITUTION (SOUTHWESTERN USA BANK) PRIOR TO ENTERING INTO A NETWORKING AGREEMENT.
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	CONSENT AGREEMENT AND PAYMENT OF FINE.
Resolution:	Consent
Resolution Date:	03/27/2009
Sanctions Ordered:	Monetary/Fine $2,000.00
Other Sanctions Ordered:	
Sanction Details:	WITHOUT ADMITIING OR DENYING THE ALLEGATIONS, THE APPLICANT ENTERED INTO A CONSENT AGREEMENT WITH THE NEVADA SECRETARY OF STATE, SECURITIES DIVISION.
Firm Statement	THE SECURITIES DIVISION OF THE STATE OF NEVADA ALLEGED THAT DURING THE PERIOD OF MAY 9, 2006 THROUGH MAY 21, 2008, THE APPLICANT CONDUCTED BUSINESS OUT OF A FINANCIAL INSTUTION WITHOUT FIRST ENTERING INTO A NETWORKING AGREEMENT.

Disclosure 12 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	NASD RULES 2110, 2310 AND 3010: MML INVESTORS SERVICES,INC.(THE "FIRM") MADE UNSUITABLE RECOMMENDATIONS OF CLASS B SHARES OF MUTUAL FUNDS AND FAILED TO ESTABLISH, MAINTAIN AND ENFORCE SYSTEMS AND PROCEDURES DESIGNED TO ENSURE THAT ITS CLIENTS RECEIVED THE OPPOTUNITY TO PURCHASE CLASS A SHARES IN CERTAIN MUTUAL FUNDS AT THE NET ASSSET VALUE ("NAV"). WITHIN THE REVIEW PERIOD (JAN. 1, 2003 AND JULY 31, 2004) THE FIRM EFFECTED TRANSACTIONS WERE IT MADE RECOMMENDATIONS TO CLIENTS TO PURCHASE CLASS B SHARES THROUGH ITS REGISTERED REPRESENTATIVES. IN CONNECTION WITH ITS RECOMMENDATIONS, THE

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	FIRM DID NOT CONSIDER ON A CONSISTENT BASIS THAT AN EQUAL INVESTMENT IN CLASS A SHARES WOULD GENERALLY HAVE BEEN MORE ADVANTAGEOUS FOR CERTAIN CLIENTS. THE FIRM DID NOT CONSISTENTLY CONSIDER THAT LARGE INVESTMENTS IN CLASS A SHARES OF MUTUAL FUNDS ENTITLE CLIENTS TO BREAKPOINT DISCOUNTS ON SALES CHARGES, GENERALLY BEGINNING AT THE $50,000 INVESTMENT LEVEL, WHICH IS NOT AVAILABLE FOR INVESTMENT IN CLASS B SHARES. CLIENTS MAY BE ENTITLED TO BREAKPOINTS BASED UPON A SINGLE MUTUAL FUND PURCHASE, MULTIPLE PURCHASES IN THE SAME "FAMILY OF FUND" AND/OR MUTUAL FUND INVESTMENTS HELD AT THE TIME OF THE NEW PURCHASE, BY MEMBERS OF THE CLIENT'S HOUSEHOLDS. THAT TERM IS DEFINED IN THE PROSPECTUS OF THE FUND IN WHICH THE SHARES ARE BEING PURCHASED. UNLIKE CLASS A SHARES, CLASS B SHARES ARE SUBJECT TO CONTINGENT DEFERRED SALES CHARGES ("CDSCS") FOR A PERIOD OF TIME, GENERALLY SIX YEARS, AS WELL AS HIGH OINGOING RULE 12B-1 FEES FOR AS LONG AS THE CLASS B SHARES ARE HELD. THE CDSCS AND THE HIGHER ONGOING RULE 12B-1 FEES SIGNIFICANTLY AFFECT THE RETURN ON CLIENTS' MUTUAL FUND INVESTMENTS. (ALLEGATIONS CONTINUED IN COMMENTS SECTION)
Initiated By:	NATIONAL ASSOCIATION OF SECURITIES DEALERS
Date Initiated:	06/28/2007
Docket/Case Number:	EAF040L340002
Principal Product Type:	Mutual Fund(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	06/28/2007
Sanctions Ordered:	Monetary/Fine $473,000.00
Other Sanctions Ordered:	(SANCTION DETAILS CONTINUED) FOR EACH CLIENT WHO PAID AN INITIAL SALES CHARGE, THE FIRM WILL REFUND THE SALES CHARGE PAID, PLUS INTEREST. FOR EACH CLIENT WHO PURCHASED A CLASS OF SHARES OTHER THAN CLASS A, THE FIRM WILL MAKE A CASH PAYMENT TO THE CLIENT SUFFICIENT TO PLACE THE CLIENT IN A SUBSTANTIALLY EQUIVALENT FINANCIAL POSITION SUCH CLIENT WOULD HAVE BEEN IN WITH RESPECT TO THE QUALIFYING NAV PURCHASE HAD THE INVESTOR

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PURCHASED CLASS A SHARES AT NAV. THE FIRM PROVIDED OR WILL PROVIDE REMEDIATION IN ACCORDANCE WITH A METHODOLOGY NOT UNACCEPTABLE TO NASD. WITH 60 DAYS FROM THE EFFECTIVE DATE OF THIS AWC, AND PRIOR TO ANY REMEDIATION PAYMENT, THE FIRM MUST SUBMIT TO NASD FOR REVIEW A SAMPLE LEDER TO CLIENTS OF B SHARE OR NAV REMEDIATION PAYMENTS, NOT UNACCEPTABE TO NASD. WITHIN 60 DAYS FROM THE NOTICE OF ACCPETANCE OF THIS AWC, THE FIRM MUST DESIGNATE AND TRAIN STAFF (THE "RESPONSE TEAM") TO FIELD AND REPOND TO CLIENT INQUIRIES IN CONNECTION WITH THIS AWC AND THE REMEDIATION PROCESS PURSUANT TO THIS AWC. THE FIRM MUST COMPLETE THE REMEDIATION PROCESS WITHIN 270 DAYS FROM THE EFFECTIVE DATE OF THIS AWC. WITHIN 330 DAYS FOLLOWING THE EFFECTIVE DATE OF THIS AWC, THE FIRM MUST FILE A REPORT (THE "INITIAL REPORT") WITH NASD, AND SIMULTANEOUSLY WITH THE THIRD PARTY EXAMINER. THE FIRM'S INITIAL REPORT MUST BE SUBMITIED TO NASD, CERTIFIED TO, BY AN OFFICER OF THE FIRM WHO IS REGISTERED WITH NASD AT THE TIME OF THE CERTIFICATION. IN ADDITION, WITHIN 60 DAYS FOLLOWING THE EFFETIVE DATE OF THIS AWC, THE FIRM MUST RETAIN A THIRD PARTY EXAMINER, WHO SHALL NOT BE UNACCEPTABLE TO NASD TO EXAMINE THE FIRM'S PERFORMANCE OF ITS OBLIGATIONS UNDER THE TERMS OF THIS AWC AS REFLECTED INT HE FIRM'S INITIAL REPORT. AT THE CONCLUSION OF THE EXAMINATION, BUT NO LATER THAN 420 DAYS FOLLOWING THE EFFECTIVE DATE OF THIS AWC, THE FIRM MUST REQUIRE THE THIRD PARTY EXAMINER TO SUBMIT A WRITIEN FINAL REPORT TO THE FIRM AND TO NASD.

Sanction Details:

WITHOUT ADMITIING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS; THEREFORE THE FIRM IS CENSURED, FINED
$473,000 AND AGREES TO THE FOLLOWING UNDERTAKINGS: THE FIRM MUST CREATE A LIST OF CLIENTS WHO PURCHASED $50,000 OR MORE OF CLASS B SHARES, IN ANY SINGLE FUND FAMILY, WHICH SHALL BE AGGREGATED BY HOUSEHOLD AND FUND FAMILY IN DETERMINING IF THE $50,000 THRESHOLD WAS MET. WITHIN 270 DAYS FROM THE EFFECTIVE DATE OF THIS AWC, THE FIRM MUST MAKE A CASH PAYMENT TO EACH CLIENT WHO MADE A QUALIFYING SHARE PURCHASE(S) AND HELD ALL OR ANY PORTION OF HIS OR HER CLASS B SHARES AS OF THE EFFECTIVE DATE OF THIS AWC, INCLUDING REINVESTMENT SHARES, SO THAT SUCH CLIENT IS PUT INTO SUBSTANTIALLY THE SAME FINANCIAL POSITION IN WHICH HE OR SHE WOULD HAVE BEEN WITH RESPECT TO THE HELD QUALIFYING SHARE PURCHASES HAD THE CLIENT PURCHASED CLASS A SHARES INSTEAD OF CLASS B SHARES. WITHIN 270 DAYS FROM THE EFFECTIVE DATE OF THIS AWC, THE FIRM MUST MAKE A CASH PAYMENT TO EACH CLIENT WHO MADE A QUALIFYING SHARE PURCHASE(S) AND SOLD SOME OR ALL OF HIS OR HER CLASS B SHARES COMPRISING THE QUALIFYING PURCHASE(S) OF THE DIFFERENCE, IF ANY BETWEEN THE

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	VALUE OF THE CLASS B SHARES REDEEMED, AS OF THE DATE OF REDEMPTION, AND THE VALUE BASED ON ACTUAL FUND PERFORMANCE, OF CLASS A SHARES HAD THEY BEEN PURCHASED INSTEAD. CLIENTS WILL BE ENTITLED TO BREAKPOINTS CALCULATED BASED ON THE TOTAL OF ALL OPENING CLASS B BALANCES, AGGREGATED BY HOUSEHOLD AND FUND FAMILY, PLUS THE TOTAL OF ALL RESPECTIVE CLASS B SHARE PURCHASES AGGREGATED BY HOUSEHOLD AND FUND FAMILY DURING THE RELEVANT TIME PERIOD. THE FIRM HAS PROVIDED OR WILL PROVIDE REMEDIATION TO CERTAIN CLIENTS WHO PURCHASED SHARES OF MUTUAL FUNDS DURING THE PERIOD, AS APPLICABLE, AND QUALIFIED FOR, BUT DID NOT RECEIVE, THE BENEFIT OF AN NAV TRANSFER PROGAM. (SANCTION DETAIL CONTINUED IN OTHER SANCTIONS ORDERED SECTION)
Firm Statement	(ALLEGATIONS CONTINUED) THE FIRM'S SUPERVISORY AND COMPLIANCE POLICIES AND PROCEDURES DURING THE REVIEW PERIOD WERE NOT REASONABLY ESTABLISHED, MAINTAINED AND/OR ENFORCE SO THAT THE FIRM, AT THE POINT OF EACH SALE, PROVIDED CONSIDERATION TO, ON A CONSISTENT BASIS, THE BENEFITS OF VARIOUS MUTUTAL FUND SHARE CLASSES AS THEY APPLIED TO CLIENTS. WITH REGARD TO THE SALE OF MUTUAL FUNDS THAT OFFERED NAV PROGRAMS, FROM JANUARY 1, 2001 THROUGH JUNE 30, 2004, THE FIRM FAILED TO EXERCISE REASONABLE DUE DILIGENCE TO IDENTIFY THE ESSENTIAL TERMS AND CONDITIONS OF THE NAV TRANSFER PROGRAMS OF CERTAIN MUTUAL FUNDS, AND FAILED TO ESTABLISH, MAINTAIN AND ENFORCE SYSTEMS AND PROCEDURES TO ENSURE IT CLIENTS RECEIVED NAV PRICING WHEN THEY QUALIFIED. PRIOR TO NASD'S INVESTIGATION, (1) THE FIRM INITIATED A SELF-REVIEW UPON ITS DISCOVERY OF VIOLATIONS RELATING TO NAV TRANSFER PROGRAMS, (2) AFTER CONDUCTING AN EXTENSIVE AND THOROUGH REVIEW, THE FIRM IDENTIFIED THE CAUSES OF THE VIOLATIONS AND CORRECTED ITS SYSTEMS TO PREVENT FUTURE VIOLATIONS, AND (3) THE FIRM ACTED PROMPTLY AND IN GOOD FAITH TO MAKE CUSTOMERS WHOLE. AS A RESULT, NASD CONCLUDED THAT IT WOULD NOT BE APPROPRIATE IN THIS CASE TO IMPOSE A FINE FOR THE SUPERVISORY VIOLATIONS BY THE FIRM DESCRIBED ABOVE WITH RESPECT TO NAV TRANSFER PROGRAMS.

Disclosure 13 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE COMMISSIONER ALLEGED THAT THE FIRM FAILED TO PROPERLY REGISTER ONE REPRESENTATIVE IN THE STATE AND SUBSEQUENTLY

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	ALLOWED THE UNREGISTERED REPRESENTATIVE TO TRANSACT BUSINESS WITH CLIENTS.
Initiated By:	STATE OF VERMONT, DEPARTMENT OF BANKING, INSURANCE, SECURITIES AND HEALTH CARE ADMINISTRATION, SECURITIES DIVISION.
Date Initiated:	10/13/2006
Docket/Case Number:	DOCKET NO. 06-091-S
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	FINE DISGORGEMENT OF FEES/COMMISSIONS PAID BY VERMONT CUSTOMERS.
Resolution:	Consent
Resolution Date:	01/03/2007
Sanctions Ordered:	Monetary/Fine $10,000.00 Disgorgement/Restitution
Other Sanctions Ordered:	FINE- $10,000.00 DISGORGEMENT- $11,375.50
Sanction Details:	FINE 1/4/2007- $10,000 DISGORGEMENT 1/31/2007- $11,375.50
Firm Statement	THE ORDER WAS FINALIZED BASED ON THE STATE'S DETERMINATION THAT THE FIRM DID NOT HAVE A SYSTEM WHICH ASSURED THE PROPER REGISTRATION OF ITS REPRESENTATIVE AND THAT, AS A RESULT, THE UNREGISTERED REPRESENTATIVE WAS ALLOWED TO TRANSACT BUSINESS WITH CUSTOMERS.

Disclosure 14 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE MARYLAND SECURITIES COMMISSIONER ALLEGED THAT THE FIRM FAILED TO RENEW THE INVESTMENT ADVISER REGISTRATION OF A REPRESENTATIVE AND SUBSEQUENTLY ALLOWED THE UNREGISTERED INVESTMENT ADVISER REPRESENTATIVE TO RECEIVE COMPENSATION FOR SOLICITING CLIENTS FROM DECEMBER 2004 UNTIL NOVEMBER 2005.
Initiated By:	MARYLAND SECURITIES COMMISSIONER
Date Initiated:	12/05/2005

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Docket/Case Number:	DOCKET NO. 2005-0668
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	01/04/2006
Sanctions Ordered:	Monetary/Fine $500.00
Other Sanctions Ordered:	
Sanction Details:	MML INVESTORS SERVICES, INC., ENTERED INTO A CONSENT ORDER AND PAID A FINE IN THE AMOUNT OF $500 ON DECEMBER 28, 2005. THE FIRM AGREED TO REVIEW ITS BOOKS AND RECORDS ON AN ANNUAL BASIS TO ENSURE ITS REPRESENTATIVES THAT ARE REQUIRED TO BE REGISTERED WITH THE STATE OF MARYLAND ARE SO REGISTERED. ADDITIONALLY, THE FIRM AGREED TO COMPLY WITH THE ACT AND THE RULES AND REGULATIONS PROMULGATED THEREUNDER.
Firm Statement	THE CONSENT ORDER WAS DEEMED IN THE PUBLIC INTEREST DUE TO THE FIRM'S FAILURE TO RENEW A REPRESENTATIVE'S REGISTRATION IN 2001 AND 2002 COMBINED WITH THE REPRESENTATIVE'S RECEIPT OF COMPENSATION FOR SOLICITING CLIENTS FROM DECEMBER 2004 THROUGH NOVEMBER 2005. THE FIRM CONSENTED TO THE ORDER ON DECEMBER 27, 2005 AND THE MARYLAND SECURITIES COMMISSIONER SIGNED THE ORDER ON JANUARY 4, 2006.

Disclosure 15 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	ARTICLE V, SECTIONS 2(C) AND 3(B) OF NASD'S BY-LAWS, NASD RULES 2110, 3010- MML INVESTORS SERVICES, INC. FILED AT LEAST 220 LATE AMENDMENTS TO FORMS U4 AND US, REPRESENTING APPROXIMATELY 69% OF THE REQUIRED AMENDMENTS RELATING TO REPORTABLE CUSTOMER COMPLAINTS, TERMINATIONS, REGULATORY ACTIONS, AND CRIMINAL DISCLOSURES. THE FIRM'S SUPERVISORY SYSTEM AND PROCEDURES WERE NOT REASONABLY DESIGNED TO ACHIEVE COMPLIANCE WITH ITS ARTICLE V REPORTING OBLIGATIONS.

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Initiated By:	NASD
Date Initiated:	11/30/2004
Docket/Case Number:	CAF040098
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/30/2004
Sanctions Ordered:	Censure Monetary/Fine $250,000.00
Other Sanctions Ordered:	UNDERTAKINGS
Sanction Details:	WITHOUT ADMITIING OR DENYING THE ALLEGATIONS, THE FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS, THEREFORE, THE FIRM IS CENSURED, FINED $250,000 WHICH SHALL BE PAID WITHIN 10 DAYS OF NOTICE OF ACCEPTANCE OF THIS AWC. PROMPTLY FOLLOWING NOTICE OF ACCEPTANCE OF THIS AWC, THE FIRM'S INTERNAL AUDIT DEPT. OR PERSONNEL NOT DIRECTLY RESPONSIBLE FOR THE FIRM'S ARTICLE V REPORTING OBLIGATIONS AND THEIR IMMEDIATE SUPERVISORS SHALL CONDUCT AN AUDIT FOR THE PERIOD JANUARY 1, 2004 THROUGH SEPTEMBER 30, 2004 TO ASSESS THE EFFECTIVENESS OF ITS SYSTEM AND PROCEDURES FOR ENSURING TIMELY FILING OF FORM U4 AND US AMENDMENTS AND SHALL PREPARE A WRITTEN REPORT SUMMARIZING FINDINGS AND RECOMMENDATIONS AND SHALL FOR THE NEXT FOUR CALENDAR QUARTERS BEGINNING FOURTH QUARTER 2004, CONDUCT A SIMILAR AUDIT AND PREPARE A SIMILAR WRITTEN AUDIT REPORT. NO LATER THAN 90 DAYS AFTER NOTICE OF ACCEPTANCE OF THIS AWC, AN OFFICER OF THE FIRM SHALL CERTIFY IN WRITING TO NASD THAT AN AUDIT WAS CONDUCTED AND THE OFFICER HAS REVIEWED THE CURRENT AUDIT REPORT. NO LATER THAN 60 DAYS AFTER THE DATE OF THE REPORT, AN OFFICER SHALL CERTIFY IN WRITING TO NASD THAT THE FIRM HAS IMPLEMENTED, OR HAS BEGUN TO IMPLEMENT, ANY RECOMMENDATIONS WITHIN A SPECIFIED TIME PERIOD. NO LATER THAN 60 DAYS AFTER THE LAST DAY OF THE NEXT FOUR QUARTERS, AN OFFICER SHALL CERTIFY IN WRITING TO NASD THAT AN AUDIT WAS CONDUCTED, THE CURRENT AUDIT REPORT WAS REVIEWED, AND

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	RECOMMENDATIONS IMPLEMENTED, OR BEGUN TO BE IMPLEMENTED. NO LATER THAN SIX MONTHS AFTER NOTICE OF ACCEPTANCE OF THIS AWC, AN OFFICER SHALL CERTIFY IN WRITING TO NASD THAT THE FIRM HAS REVIEWED ITS SYSTEM AND PROCEDURES FOR COMPLYING WITH ITS ARTICLE V REPORTING OBLIGATIONS AND HAS ESTABLISHED A SYSTEM AND PROCEDURES REASONABLY DESIGNED TO ACHIEVE COMPLIANCE WITH REPORTING REQUIREMENTS SET FORTH THEREIN.

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Reporting Source:	Firm
Current Status:	Final
Allegations:	THE ACTION ALLEGED THAT MML INVESTORS SERVICES, INC. ALLOWED A FLORIDA BUSINESS LOCATION TO OPERATE FOR 6 WEEKS BEFORE FILING A STATE BRANCH OFFICE REGISTRATION APPLICATION. THE ACTION FURTHER ALLEGED THAT THE DELAY IN REGISTRATION CONSTITUTED A FAILURE TO MAINTAIN A REASONABLE SUPERVISORY SYSTEM ON THE PART OF MICHAEL L. KERLEY AND MML INVESTORS SERVICES, INC.
Initiated By:	FLORIDA DEPARTMENT OF BANKING AND FINANCE DIVISION OF SECURITIES
Date Initiated:	02/21/2000
Docket/Case Number:	2922-S-2/00
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	04/12/2000
Sanctions Ordered:	Monetary/Fine $3,000.00
Other Sanctions Ordered:	CEASE AND DESIST
Sanction Details:	APPLICANT AGREED TO CEASE AND DESIST FROM ANY AND ALL VIOLATIONS OF CHAPTER 517 FLORIDA STATUTES AND THE RULES PROMULGATED THEREUNDER AND AN ADMINISTRATIVE FINE IN THE AMOUNT OF $3000.00
Firm Statement	THE ADMINISTRATIVE COMPLAINT FILED AGAINST MICHAEL L. KERLEY

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WAS DISMISSED WITHOUT PREJUDICE.

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Reporting Source: Regulator

Current Status: Final

Allegations: WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE SANCTIONS AND TO THE ENTRY OF FINDINGS THAT IT NEGLIGENTLY MISREPRESENTED OR OMITTED MATERIAL FACTS CONCERNING THE COSTS AND GUARANTEES ASSOCIATED WITH CUSTOMERS' EXISTING VARIABLE ANNUITIES IN APPLICATIONS RELATING TO THE REPLACEMENT OF ONE DEFERRED VARIABLE ANNUITY FOR ANOTHER (VA REPLACEMENTS). THE FINDINGS STATED THAT SEVENTY-TWO PERCENT OF THE AT LEAST 35,500 APPLICATIONS FOR VA REPLACEMENTS CONTAINED ONE OR MORE MATERIAL MISREPRESENTATION OR OMISSION OF MATERIAL FACT. IN EVERY INSTANCE, THE ERROR UNDERSTATED THE VALUE OF THE EXISTING VARIABLE ANNUITY CONTRACT, LEADING THE CUSTOMER TO BELIEVE THE PROPOSED CONTRACT WAS MORE FAVORABLE THAN THE CUSTOMER'S EXISTING CONTRACT. THE FINDINGS ALSO STATED THAT THE FIRM DID NOT IMPLEMENT REASONABLE SUPERVISORY SYSTEMS, WRITTEN SUPERVISORY PROCEDURES (WSPS), OR TRAINING TO ENSURE THE FIRM AND ITS REGISTERED REPRESENTATIVES OBTAINED AND ASSESSED ACCURATE INFORMATION REGARDING COSTS AND GUARANTEES ON VA REPLACEMENT APPLICATIONS. IN ADDITION, THE FIRM DID NOT IMPLEMENT REASONABLE SUPERVISORY SYSTEMS, PROCEDURES, OR TRAINING REGARDING ITS PRINCIPAL REVIEW OF THE SUITABILITY OF THE PROPOSED REPLACEMENT. THE FIRM RELIED ON AN AUTOMATED SYSTEM TO FLAG SUITABILITY ISSUES IN VA REPLACEMENTS. HOWEVER, THIS SYSTEM WAS NOT SUFFICIENTLY PROGRAMMED TO IDENTIFY ISSUES RELATED TO THE REQUIRED COMPARATIVE ANALYSIS OF THE FEATURES OF THE VARIABLE ANNUITIES INVOLVED IN SUCH TRANSACTIONS. MOREOVER, THE FIRM'S PRINCIPALS DID NOT CONSIDER THAT INFORMATION IN ASSESSING WHETHER A REPLACEMENT WAS SUITABLE FOR EACH CUSTOMER. THE FIRM ALSO FAILED TO REASONABLY SUPERVISE VA REPLACEMENTS SUBJECT TO NEW YORK STATE'S REG. 60. THE FIRM DID NOT ENSURE THAT THE REG. 60 CALCULATORS WERE TESTED, IMPLEMENT A SUPERVISORY SYSTEM OR PROCEDURES TO ENSURE THAT DISCLOSURE STATEMENTS WERE ACCURATE, AND IMPLEMENT PROCEDURES OR TRAINING TO INSTRUCT REGISTERED REPRESENTATIVES ON HOW THEY SHOULD INTERPRET AND EXPLAIN HYPOTHETICAL ILLUSTRATIONS TO CUSTOMERS. THE FINDINGS ALSO INCLUDED THAT QUARTERLY ACCOUNT STATEMENTS SENT TO FIRM CUSTOMERS HAVE NEGLIGENTLY MISREPRESENTED THE COSTS OF

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	VARIABLE ANNUITIES. THE QUARTERLY ACCOUNT STATEMENTS FOR CERTAIN VARIABLE ANNUITY PRODUCTS CONTAIN LINE ITEMS FOR "TOTAL CHARGES AND FEES" INCURRED BY THE CUSTOMER DURING THE RESPECTIVE STATEMENT PERIOD SINCE INCEPTION DATE OF THE CONTRACT. THESE LINE ITEMS, HOWEVER, DO NOT ACTUALLY REFLECT ALL OF THE CHARGES AND FEES APPLIED TO THE CONTRACT DURING THE STATEMENT PERIOD OR SINCE THE INCEPTION OF THE CONTRACT. INSTEAD, THESE LINE ITEMS INCLUDE SOME CHARGES AND FEES, SUCH AS SURRENDER OR WITHDRAWAL CHARGES, BUT EXCLUDE OTHER CHARGES AND FEES, SUCH AS MORTALITY AND EXPENSE FEES, ADMINISTRATION FEES, AND SUBACCOUNT CHARGE. THE EXCLUDED CHARGES AND FEES REPRESENT A SIGNIFICANT COST TO THE CUSTOMER - TYPICALLY COSTING THE CUSTOMER, AT MINIMUM, 2.5 PERCENT ANNUALLY.
Initiated By:	FINRA
Date Initiated:	05/03/2016
Docket/Case Number:	2014040870001
Principal Product Type:	Annuity(ies) - Variable
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	N/A
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	05/03/2016
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Monetary/Fine $20,000,000.00 Disgorgement/Restitution
Other Sanctions Ordered:	UNDERTAKINGS
Sanction Details:	THE FIRM WAS CENSURED, FINED $20 MILLION, AGREES TO, WITHIN 120 DAYS, PROVIDE COMPENSATION FOR VARIABLE CONTRACTS HELD BY CURRENT FIRM CUSTOMERS AND ESTABLISHED BY A FIRM REGISTERED

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REPRESENTATIVE THROUGH A VA REPLACEMENT DURING THE RELEVANT PERIOD, ACCORDING TO A PLAN NOT UNACCEPTABLE TO FINRA, AND TOTALING UP TO $5 MILLION IN THE AGGREGATE, AND THE FIRM SHALL REVIEW AND REVISE, AS NECESSARY, ITS SYSTEMS, POLICIES AND PROCEDURES (WRITTEN AND OTHERWISE) AND TRAINING WITH RESPECT TO THE AREAS IDENTIFIED IN THIS AWC.
FINE PAID IN FULL ON MAY 19, 2016.

Regulator Statement FINE PAID IN FULL ON MAY 19, 2016.

Reporting Source: Firm

Current Status: Final

Allegations: FROM 2009 THROUGH 2014, MSI MADE NEGLIGENT REPRESENTATIONS AND OMISSIONS OF MATERIAL FACT ON APPLICATIONS FOR VA REPLACEMENTS IN THAT MSI OVERSTATED THE COST OF THE CUSTOMER'S EXISTING VA CONTRACT, FAILED TO DISCLOSE FORFEITED GUARANTEES, AND MISREPRESENTED THE GUARANTEED DEATH BENEFIT VALUE ON STATE REQUIRED DISCLOSURE STATEMENTS. MSI FAILED TO SUPERVISE VA REPLACEMENTS AND SALES OF THE GUARANTEED MINIMUM INCOME BENEFIT RIDER. THERE WERE NEGLIGENT MISREPRESENTATIONS ON QUARTERLY VA ACCOUNT STATEMENTS THAT WERE SENT TO MSI CUSTOMERS.

Initiated By: FINANCIAL INDUSTRY REGULATORY AGENCY ("FINRA")

Date Initiated: 05/03/2016

Docket/Case Number: 2014040870001

Principal Product Type: Annuity(ies) - Variable

Other Product Type(s):

Principal Sanction(s)/Relief Sought: Censure

Other Sanction(s)/Relief Sought: $20 MILLION FINE AND $5 MILLION TO BE USED FOR REMEDIATION OF CUSTOMER PAYMENTS FOR VA REPLACEMENT CONTRACTS.

Resolution: Acceptance, Waiver & Consent(AWC)

Resolution Date: 05/03/2016

Sanctions Ordered: Censure
Monetary/Fine $20,000,000.00
Disgorgement/Restitution

Other Sanctions Ordered:

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Sanction Details:	CENSURE, A $20 MILLION FINE, AND CUSTOMER PAYMENTS FOR VA REPLACEMENT CONTRACTS UP TO $5 MILLION. WITHIN 60 DAYS, MSI SHALL REVIEW AND REVISE AS NECESSARY, THE FIRM'S SYSTEMS, POLICIES AND PROCEDURES (WRITTEN AND OTHERWISE)TO REASONABLY ACHIEVE COMPLIANCE WITH APPLICABLE FINRA AND NASD RULES, AND TRAINING WITH RESPECT TO AREAS DESCRIBED IN THE AWC. THE FINE WAS PAID IN FULL ON 05/18/2016.
Firm Statement	FINRA ISSUED THE AWC ON MAY 3, 2016.

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE SANCTIONS AND TO THE ENTRY OF FINDINGS THAT IT AND ITS PREDECESSOR FAILED TO IDENTIFY AND APPLY SALES CHARGE DISCOUNTS TO CERTAIN CUSTOMERS' ELIGIBLE PURCHASES OF UNIT INVESTMENT TRUSTS (UITS) RESULTING IN THE PREDECESSOR'S CUSTOMERS PAYING EXCESSIVE SALES CHARGES OF $285,752.70 AND THE FIRM'S CUSTOMERS PAYING EXCESSIVE SALES CHARGES OF $63,996.22. THE FINDINGS STATED THAT THE FIRM HAS PAID RESTITUTION TO ALL AFFECTED CUSTOMERS OF THE FIRM AND ITS PREDECESSOR. THE FINDINGS ALSO STATED THAT FIRM AND ITS PREDECESSOR FAILED TO ESTABLISH, MAINTAIN AND ENFORCE A SUPERVISORY SYSTEM AND WRITTEN SUPERVISORY PROCEDURES (WSPS) REASONABLY DESIGNED TO ENSURE THAT CUSTOMERS RECEIVED SALES CHARGE DISCOUNTS ON ALL ELIGIBLE UIT PURCHASES. NEITHER THE FIRM NOR ITS PREDECESSOR'S WSPS ADEQUATELY ADDRESSED UIT SALES CHARGE DISCOUNTS. IN ADDITION, BOTH THE FIRM AND ITS PREDECESSOR RELIED PRIMARILY ON THEIR REGISTERED REPRESENTATIVES TO ENSURE THAT CUSTOMERS RECEIVED APPROPRIATE UIT SALES CHARGE DISCOUNTS, BUT DID NOT EFFECTIVELY INFORM AND TRAIN THEIR REPRESENTATIVES AND SUPERVISORS TO IDENTIFY AND APPLY SUCH SALES CHARGE DISCOUNTS.
Initiated By:	FINRA
Date Initiated:	10/19/2015
Docket/Case Number:	2015044101901
Principal Product Type:	Unit Investment Trust(s)
Other Product Type(s):	

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Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	N/A
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	10/19/2015
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Monetary/Fine $300,000.00 Disgorgement/Restitution
Other Sanctions Ordered:	
Sanction Details:	THE FIRM IS CENSURED, FINED $300,000, AND PAID RESTITUTION OF $349,748.92 TO CUSTOMERS OF ITSELF AND ITS PREDECESSOR. FINE PAID IN FULL ON DECEMBER 7, 2015.

Reporting Source:	Firm
Current Status:	Final
Allegations:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE SANCTIONS AND TO THE ENTRY OF FINDINGS THAT IT AND ITS PREDECESSOR FAILED TO IDENTIFY AND APPLY SALES CHARGE DISCOUNTS TO CERTAIN CUSTOMERS' ELIGIBLE PURCHASES OF UNIT INVESTMENT TRUSTS (UITS) RESULTING IN THE PREDECESSOR'S CUSTOMERS PAYING EXCESSIVE SALES CHARGES OF $285,752.70 AND THE FIRM'S CUSTOMERS PAYING EXCESSIVE SALES CHARGES OF $63,996.22. THE FINDINGS STATED THAT THE FIRM HAS PAID RESTITUTION TO ALL AFFECTED CUSTOMERS OF THE FIRM AND ITS PREDECESSOR. THE FINDINGS ALSO STATED THAT FIRM AND ITS PREDECESSOR FAILED TO ESTABLISH, MAINTAIN AND ENFORCE A SUPERVISORY SYSTEM AND WRITTEN SUPERVISORY PROCEDURES (WSPS) REASONABLY DESIGNED TO ENSURE THAT CUSTOMERS RECEIVED SALES CHARGE DISCOUNTS ON ALL ELIGIBLE UIT PURCHASES. NEITHER THE FIRM NOR ITS PREDECESSOR'S WSPS ADEQUATELY ADDRESSED UIT SALES CHARGE DISCOUNTS. IN ADDITION, BOTH THE FIRM AND ITS PREDECESSOR RELIED PRIMARILY ON THEIR REGISTERED

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	REPRESENTATIVES TO ENSURE THAT CUSTOMERS RECEIVED APPROPRIATE UIT SALES CHARGE DISCOUNTS, BUT DID NOT EFFECTIVELY INFORM AND TRAIN THEIR REPRESENTATIVES AND SUPERVISORS TO IDENTIFY AND APPLY SUCH SALES CHARGE DISCOUNTS.
Initiated By:	FINRA
Date Initiated:	10/19/2015
Docket/Case Number:	2015044101901
Principal Product Type:	Unit Investment Trust(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	N/A
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	10/19/2015
Sanctions Ordered:	Censure Monetary/Fine $300,000.00 Disgorgement/Restitution
Other Sanctions Ordered:	
Sanction Details:	THE FIRM IS CENSURED, FINED $300,000, AND PAID RESTITUTION OF $349,748.92 TO CUSTOMERS OF ITSELF AND ITS PREDECESSOR.
Firm Statement	?IN OCTOBER 2015, MSI REACHED A SETTLEMENT WITH FINRA ON ALLEGATIONS OF FAILURE TO APPLY SALES CHARGE DISCOUNTS TO CERTAIN CUSTOMERS' ELIGIBLE PURCHASES OF UNIT INVESTMENT TRUSTS ("UITS"), AND FOR FAILURE TO ESTABLISH, MAINTAIN AND ENFORCE A SUPERVISORY SYSTEM AND WRITTEN SUPERVISORY PROCEDURES REASONABLY DESIGNED TO ENSURE THAT CUSTOMERS RECEIVED SALES CHARGE DISCOUNTS ON ALL ELIGIBLE UIT PURCHASES. UNDER THE TERMS OF THE AGREEMENT, MSI REVISED THEIR PROCEDURES TO ENSURE THAT CUSTOMERS RECEIVE THE APPROPRIATE SALES CHARGE DISCOUNTS AND AGREED TO PAY A FINE OF $300,000 AND RESTITUTION OF $349,748.92

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Reporting Source:	Firm

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Current Status:	Final
Allegations:	THE NASD ALLEGED THAT NEW ENGLAND SECURITIES CORP. PERMITTED CERTAIN REGISTERED PERSONS TO CONTINUE TO PERFORM DUTIES AS REGISTERED PERSONS AT A TIME THEIR REGISTRATION STATUS WITH THE NASD WAS INACTIVE DUE TO THEIR FAILURE TO COMPLETE THE REGULATORY ELEMENT OF THE NASD'S CONTINUING EDUCATION RULE IN VIOLATION OF NASD CONDUCT RULE 2110 AND NASD MEMBERSHIP AND REGISTRATION RULE 1120.
Initiated By:	NASD
Date Initiated:	04/26/2002
Docket/Case Number:	C11020020
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	FINE AND CENSURE
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	04/26/2002
Sanctions Ordered:	Censure Monetary/Fine $50,000.00
Other Sanctions Ordered:	
Sanction Details:	NEW ENGLAND SECURITIES CORP. AND ONE OF ITS REGISTERED PERSONS ENTERED INTO AN ACCEPTANCE, WAIVER AND CONSENT WITH THE NASD PURSUANT TO WHICH THE COMPANY AND ONE OF ITS REGISTERED PERSONS WERE CENSURED AND FINED $50,000 JOINTLY AND SEVERALLY. THE COMPANY PAID THE FULL AMOUNT ON MAY 24, 2002.
Firm Statement	SEE RESPONSE 12.C. ABOVE. NEW ENGLAND SECURITIES, CORP. MERGED WITH METLIFE SECURITIES, INC. ON 01/01/2015

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Reporting Source:	Firm

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Current Status:	Final
Allegations:	IT WAS ALLEGED THAT NES FAILED TO FILE CERTAIN AMENDMENTS TO DISCLOSURE QUESTIONS ON FORM U4 AND FORM U5 IN A TIMELY MANNER.
Initiated By:	NATIONAL ASSOCIATION OF SECURITIES DEALERS
Date Initiated:	07/01/2004
Docket/Case Number:	C11040041
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	EW ENGLAND SECURITIES ("NES")WAS REQUIRED TO PAY A FINE OF $200,000 TO THE NASD WITHIN THE TIME PERIOD SPECIFIED IN THE AWC. IN ADDITION, FOR A ONE YEAR PERIOD, NES WILL (I) CONDUCT REQUIRED AUDITS OF SYSTEMS AND PROCEDURES FOR ENSURING THE TIMELY FILING OF AMENDMENTS TO FORM U4 AND FORM U5, (2) PREPARE WRITTEN REPORTS SUMMARIZING THE FINDINGS AND RECOMMENDATIONS, AND (3) NOTIFY THE NASD THAT SUCH AUDITS HAVE BEEN CONDUCTED AND ANY RECOMMENDATIONS IMPLEMENTED.
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/30/2004
Sanctions Ordered:	Censure Monetary/Fine $200,000.00
Other Sanctions Ordered:	NES WAS REQUIRED TO PAY A FINE OF $200,000 TO THE NASD WITHIN THE TIME PERIOD SPECIFIED IN THE AWC. IN ADDITION, FOR A ONE YEAR PERIOD, NES WILL (I) CONDUCT REQUIRED AUDITS OF SYSTEMS AND PROCEDURES FOR ENSURING THE TIMELY FILING OF AMENDMENTS TO FORM U4 AND FORM U5, (2) PREPARE WRITTEN REPORTS SUMMARIZING THE FINDINGS AND RECOMMENDATIONS, AND(3) NOTIFY THE NASD THAT SUCH AUDITS HAVE BEEN CONDUCTED AND ANY RECOMMENDATIONS IMPLEMENTED.
Sanction Details:	NES PAID A $200,000 FINE. IN ADDITION, NES MUST UNDERGO INTERNAL AUDITS AND PREPARE REQUIRED REPORTS IN ACCORDANCE WITH THE TERMS OF THE AWC.
Firm Statement	NES EXECUTED A LETTER OF ACCEPTANCE, WAIVER, AND CONSENT DATED 1/16/2004, WITHOUT ADMITTING OR DENYING THE ALLEGATIONS CONTAINED THEREIN, IN CONNECTION WITH THE

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NASD'S INVESTIGATION OF NES' LATE FILINGS OF CERTAIN AMENDMENTS TO FORM U4 AND FORM U5. THE NASD ACCEPTED THE AWC ON 11/30/2004.

NEW ENGLAND SECURITIES, CORP. MERGED WITH METLIFE SECURITIES, INC. ON 01/01/2015

Disclosure 21 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	APPLICANT PROMISED INVESTMENT MANAGER PROGRAM ("IM PROGRAM") CLIENTS THAT IT WOULD REGULARLY SCREEN THEIR ACCOUNTS AND IDENTIFY WHETHER THEIR ASSET ALLOCATION PERCENTAGES REMAINED WITHIN CERTAIN PREDETERMINED RANGES. IF THE PERCENTAGES DRIFTED FROM THOSE RANGES, APPLICANT PROMISED TO NOTIFY THE CLIENTS AND REBALANCE THEIR PORTFOLIOS UPON REQUEST. FROM 1995 THROUGH 2002, APPLICANT FAILED TO PROVIDE SUCH REBALANCING SERVICES TO A LARGE NUMBER OF ITS IM PROGRAM CLIENTS.
Initiated By:	SECURITIES AND EXCHANGE COMMISSION
Date Initiated:	03/01/2003
Docket/Case Number:	FILE NO. 3-12214
Principal Product Type:	Investment Contract(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Cease and Desist
Other Sanction(s)/Relief Sought:	CENSURE; DISGORGEMENT TO AFFECTED CLIENTS; RETAIN INDEPENDENT CONSULTANT
Resolution:	Order
Resolution Date:	02/21/2006
Sanctions Ordered:	Censure Disgorgement/Restitution Cease and Desist/Injunction
Other Sanctions Ordered:	APPLICANT MUST RETAIN AN INDEPENDENT CONSULTANT TO CONDUCT MANDATED REVIEWS AND/OR REPORTS.
Sanction Details:	APPLICANT MUST PAY FORMER IM PROGRAM CLIENTS DISGORGEMENT

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	AMOUNTING TO $2,614,865, PROPORTIONALLY TO THE IM PROGRAM ADVISORY FEES PAID BY SUCH CLIENT BETWEEN 1995 AND 2002.
Firm Statement	APPLICANT ENTERED INTO ORDER, AND IN ADDITION TO VOLUNTARY REMEDIAL EFFORTS MADE PRIOR TO THE ORDER, AGREED TO CEASE AND DESIST FROM FURTHER VIOLATIONS OF SECTION 206(2) OF THE ADVISERS ACT, RETAIN AN INDEPENDENT CONSULTANT, AND DISTRIBUTE DISGORGEMENT AS DESCRIBED IN THE ORDER. NEW ENGLAND SECURITIES, CORP. MERGED WITH METLIFE SECURITIES, INC. ON 01/01/2015

Disclosure 22 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE ALLEGATIONS INCLUDED BREAKPOINT SELF ASSESSMENT VIOLATIONS, ANTI-MONEY LAUNDERING VIOLATIONS, REPORTING AND SUPERVISORY VIOLATIONS, AND RECORDKEEPING VIOLATIONS.
Initiated By:	FINRA
Date Initiated:	02/15/2008
Docket/Case Number:	E112005019301
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	CENSURE
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	03/23/2009
Sanctions Ordered:	Censure Monetary/Fine $500,000.00
Other Sanctions Ordered:	
Sanction Details:	THE $500,000 FINE WAS PAID ON APRIL 1, 2009.
Firm Statement	NES EXECUTED A LETTER OF ACCEPTANCE, WAIVER AND CONSENT DATED MAY 19, 2008, WITHOUT ADMITTING OR DENYING THE FINDINGS, WHICH INCLUDED BREAKPOINT SELF ASSESSMENT

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VIOLATIONS, ANTI-MONEY LAUNDERING VIOLATIONS, REPORTING AND SUPERVISORY VIOLATIONS, AND RECORDKEEPING VIOLATIONS. FINRA ACCEPTED THE AWC ON MARCH 23, 2009. THE $500,000 FINE WAS PAID ON APRIL 1, 2009.

NEW ENGLAND SECURITIES, CORP. MERGED WITH METLIFE SECURITIES, INC. ON 01/01/2015

Disclosure 23 of 40

Reporting Source:	Firm
Current Status:	Final
Allegations:	ALLEGED THAT APPLICANT DID NOT HAVE ADEQUATE SUPERVISORY POLICIES AND PROCEDURES TO DETECT AND DETER SELLING AWAY BY FOUR REGISTERED REPRESENTATIVES.
Initiated By:	MASSACHUSETTS SECURITIES DIVISION
Date Initiated:	01/08/2010
Docket/Case Number:	E-2010-0022
Principal Product Type:	Other
Other Product Type(s):	PROMISSORY NOTES
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	03/24/2010
Sanctions Ordered:	
Other Sanctions Ordered:	
Sanction Details:	APPLICANT WAS ORDERED TO ISSUE WRITTEN OFFERS OF RESCISSION (TO INCLUDE ALL PRINCIPAL LESS ALL WITHDRAWALS, REDEMPTIONS, INTEREST PAYMENTS OR LIKE PAYMENTS RECEIVED BY THE INVESTOR) TO INVESTORS USING A LETTER AND METHOD APPROVED BY THE DIVISION; AND SUBMIT A DETAILED REPORT TO THE DIVISION, WITHIN 45 DAYS OF THE LAST PAYMENT TO AN INVESTOR, OUTLINING THE ADMINISTRATION OF THE FUNDS AND A DESCRIPTION OF ANY OBJECTIONS RECEIVED IIN CONNECTION WITH THE DISTRIBUTION OF THE RECISSION.

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Firm Statement	SETTLED BY CONSENT ORDER DATED MARCH 24, 2010.

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Reporting Source:	Firm
Current Status:	Final
Allegations:	THE STATE OF NEVADA ALLEGED THAT THE APPLICANT FAILED TO AMEND ITS POLICIES AS PROMISED AFTER A PREVIOUS BRANCH EXAM AND ALLOWED USE OF LANGUAGE IN A REGISTERED REPRESENTATIVE'S BIOGRAPHY THAT THE SECURITIES DIVISION DEEMED DECEPTIVE AND MISLEADING.
Initiated By:	STATE OF NEVADA, OFFICE OF SECRETARY OF STATE, SECURITIES DIVISION
Date Initiated:	01/30/2012
Docket/Case Number:	CI12-010
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Cease and Desist
Other Sanction(s)/Relief Sought:	CIVIL PENALTY: $250.00 INSPECTION OF RECORDS FEE: $1000.00
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	12/26/2012
Sanctions Ordered:	Monetary/Fine $250.00 Cease and Desist/Injunction
Other Sanctions Ordered:	INSPECTION OF RECORDS FEE: $1000.00
Sanction Details:	CIVIL PENALTY: $250.00 INSPECTION OF RECORDS FEE: $1000.00 ASSESSED AMOUNTS WERE PAID PRIOR TO THE ADMINISTRATIVE CONSENT ORDER BEING EXECUTED BY THE SECURITIES DIVISION ON DECEMBER 26, 2012.
Firm Statement	FINAL. NEW ENGLAND SECURITIES, CORPO. MERGED WITH METLIFE SECURITIES, INC. ON 01/01/2015

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	FINRA RULE 2010: FOR OVER TWO YEARS, THE FIRM ENTERED INTO SEVERAL SEPARATE SETTLEMENT AGREEMENTS WITH CUSTOMERS THAT CONTAINED LANGUAGE THAT WAS NOT PERMITTED, IN THAT THE SETTLEMENT AGREEMENTS PURPORTED TO RESTRICT THE ABILITY OF THE SETTLING CUSTOMERS TO PROVIDE INFORMATION TO FINRA. AS SET FORTH IN NOTICES TO MEMBERS 95-87 AND 04-44, THE INCLUSION OF SUCH LANGUAGE IS INCONSISTENT WITH FINRA RULE 2010.
Initiated By:	FINRA
Date Initiated:	02/04/2013
Docket/Case Number:	2010021801001
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	N/A
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	02/04/2013
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Monetary/Fine $25,000.00
Other Sanctions Ordered:	
Sanction Details:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS, THEREFORE THE FIRM IS CENSURED AND FINED $25,000. FINE PAID IN FULL ON 2/22/13.

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Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT, FROM JANUARY 2010 THROUGH APRIL 2012, METLIFE SECURITIES, INC. ENTERED INTO 35 SEPARATE SETTLEMENT AGREEMENTS WITH CUSTOMERS THAT CONTAINED LANGUAGE THAT WAS NOT PERMITTED, IN VIOLATION OF FINRA RULE 2010. WITHOUT ACCEPTING OR DENYING FINRA'S FINDINGS, THE APPLICANT ACCEPTED AND CONSENTED TO THE ENTRY OF THE FINDINGS AND THE IMPOSITION OF FINRA'S SANCTIONS. FINRA ACCEPTED THE AWC ON FEBRUARY 4, 2013. THE FIRM HAS TAKEN CORRECTIVE ACTION REGARDING THE SETTLEMENTS.
Initiated By:	FINANCIAL INDUSTRY REGULATORY AUTHORITY
Date Initiated:	02/04/2013
Docket/Case Number:	20100218010-01
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	FINE OF $25,000
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	02/04/2013
Sanctions Ordered:	Censure Monetary/Fine $25,000.00
Other Sanctions Ordered:	
Sanction Details:	MONETARY FINE OF $25,000 WAS LEVIED AGAINST METLIFE SECURITIES, AND PAID ON 2/15/2013.
Firm Statement	WITHOUT ACCEPTING OR DENYING FINRA'S FINDINGS, THE APPLICANT ACCEPTED AND CONSENTED TO THE ENTRY OF THE FINDINGS AND THE IMPOSITION OF FINRA'S SANCTIONS. FINRA ACCEPTED THE AWC ON FEBRUARY 4, 2013. THE FIRM HAS TAKEN CORRECTIVE ACTION REGARDING THE SETTLEMENT AGREEMENTS IN ACCORDANCE WITH NOTICE TO MEMBERS 04-44. ADDITIONALLY, THE FIRM HAS PROVIDED TRAINING REGARDING SETTLEMENT AGREEMENTS UNDER NOTICES TO MEMBERS 05-87 AND 04-44. IN ACCORDANCE WITH THE AWC, THE FIRM PAID A FINE OF $25,000 ON 2/15/2013.

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	METLIFE SECURITIES INC. FAILED TO REASONABLY SUPERVISE ITS AGENTS.
Initiated By:	PENNSYLVANIA CONTACT: COUNSEL JILL HELBLING (412)-565-5083
Date Initiated:	08/07/2012
Docket/Case Number:	2010-06-07 & 2010-08-14
URL for Regulatory Action:	
Principal Product Type:	Other
Other Product Type(s):	INVESTMENT PROGRAM
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Settled
Resolution Date:	08/07/2012
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Monetary/Fine $175,000.00
Other Sanctions Ordered:	
Sanction Details:	METLIFE SECURITIES INC. IS ORDERED TO PAY A $175,000.00 ADMINISTRATIVE ASSESSMENT AND $15,000.00 INVESTIGATIVE AND LEGAL COSTS WITHIN 30 DAYS FROM THE DATE OF THIS ORDER.
Regulator Statement	FINDINGS OF FACT, CONCLUSIONS OF LAW AND ORDER ISSUED TO METLIFE SECURITIES INC.

Reporting Source:	Firm

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Current Status:	Final
Allegations:	WITHOUT ADMITTING OR DENYING THE ALLEGATIONS, APPLICANT SUBMITTED AN OFFER OF SETTLEMENT TO THE COMMISSION CONSENTING TO COMMISSION'S MAKING FINDINGS AND ASSESSING ADMINISTRATIVE COSTS ON THE FOLLOWING ALLEGATIONS: AT CERTAIN TIMES BETWEEN FEB 1996 AND MAY 2010, THE APPLICANT FAILED TO REASONABLY SUPERVISE TWO OF ITS REGISTERED REPRESENTATIVES. IT WAS ALLEGED THAT THE REPRESENTATIVES MISAPPROPRIATED FUNDS FROM PA RESIDENTS THAT WERE INTENDED FOR INVESTMENT BUT WERE INSTEAD USED BY THE REPRESENTATIVES FOR THEIR OWN PERSONAL USE.
Initiated By:	STATE OF PENNSYLVANIA SECURITIES COMMISSION
Date Initiated:	08/07/2012
Docket/Case Number:	2010-06-07; 2010-08-14
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	NONE
Resolution:	Settled
Resolution Date:	08/07/2012
Sanctions Ordered:	Monetary/Fine $175,000.00
Other Sanctions Ordered:	INVESTIGATIVE AND LEGAL COST REIMBURSEMENT - $15,000.00
Sanction Details:	MSI PAID THE ASSESSED CHARGES ON OR ABOUT AUGUST 7,2012.
Firm Statement	FINAL.

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	METLIFE SECURITIES, INC. EMPLOYED SALES REPS WHO OFFERED AND SOLD VARIABLE ANNUITIES IN DC FROM MAR. - AUG. 2007, AND WERE NOT LICENSED IN DC TO DO SO, IN VIOLATION OF D.C. OFFICIAL CODE § 31-5602.01.

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Initiated By:	DISTRICT OF COLUMBIA
Date Initiated:	05/02/2012
Docket/Case Number:	SB-SC-01-10
URL for Regulatory Action:	
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	ADMINISTRATIVE CONSENT ORDER
Resolution:	Order
Resolution Date:	05/04/2012
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Monetary/Fine $25,000.00
Other Sanctions Ordered:	NONE
Sanction Details:	WITHIN TWENTY-FIVE DAYS OF THE DATE OF THIS ORDER, METLIFE SECURITIES, INC MUST PAY AN ADMINSTRATIVE PENALTY IN THE AMOUNT OF $25,000.00 TO THE DEPARTMENT TO BE DEPOSITED IN THE DISTRICT OF COLUMBIA'S GENERAL FUND, MAY PAYABLE TO THE D.C. TREASURER, PURSUANT TO D.C. OFFICIAL CODE § 1-204.50
Regulator Statement	ON MAY 25, 2012, METLIFE SECURITIES,INC. ENTER INTO AGREEMENT TO PAY IN THE AMOUNT OF $25,000.00 WHICH WAS RECEIVED ON MAY 25, 2012, BY CHECK #001337947.

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE DEPARTMENT FINDS THAT METLIFE SECURITIES, INC., REGISTERED REPRESENTATIVES,OFFERED AND SOLD VARIABLE ANNUITIES IN THE DISTRICT OF COLUMBIA IN THE MARCH THROUGH AUGUST 2007 TIME PERIOD WITHOUT PROCESSING DISTRICT SECURITIES, LICENSES, IN VIOLATION OF D.C. OFFICIAL CODE §31-5602.01(B).

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Initiated By:	GOVERNMENT OF THE DISTRICT OF COLUMBIA, DEPARTMENT OF INSURANCE, SECURITIES AND BANKING
Date Initiated:	05/02/2012
Docket/Case Number:	SB-SC-01-10
Principal Product Type:	Annuity(ies) - Variable
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	05/02/2012
Sanctions Ordered:	Monetary/Fine $25,000.00
Other Sanctions Ordered:	
Sanction Details:	MSI PAID AN ADMINISTRATIVE PENALTY OF $25,000 ON MAY 24, 2012.
Firm Statement	MSI ADVISED THE DEPARTMENT OF THE FAILURE OF CERTAIN OF ITS REPRESENTATIVES TO POSSESS DISTRICT SECURITIES LICENSES WHILE OFFERING/SELLING VARIABLE ANNUITIES IN THE DISTRICT OF COLUMBIA DURING THE TIME PERIOD OF MARCH TO AUGUST 2007. THIS FAILURE WAS BASED ON MSI'S GOOD FAITH RELIANCE ON INFORMATION PROVIDED BY A 3RD-PARTY VENDOR. UPON LEARNING OF THE ISSUE, MSI PROACTIVELY ENHANCED THEIR POLICIES, PROCEDURES, AND CONTROLS SO THAT A SIMILAR INCIDENT WOULD NOT OCCUR. ON MAY 2, 2012, MSI ACCEPTED THE ADMINISTRATIVE CONSENT ORDER, AND AGREED TO PAY AN ADMINISTRATIVE PENALTY OF $25,000 WITHIN 25 DAYS.

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE DEPARTMENT FINDS THAT METLIFE SECURITIES, INC., REGISTERED REPRESENTATIVES,OFFERED AND SOLD VARIABLE ANNUITIES IN THE DISTRICT OF COLUMBIA IN THE MARCH THROUGH AUGUST 2007 TIME PERIOD WITHOUT PROCESSING DISTRICT SECURITIES, LICENSES, IN VIOLATION OF D.C. OFFICIAL CODE §31-5602.01(B).

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Initiated By:	GOVERNMENT OF THE DISTRICT OF COLUMBIA, DEPARTMENT OF INSURANCE, SECURITIES AND BANKING
Date Initiated:	05/02/2012
Docket/Case Number:	SB-SC-01-10
Principal Product Type:	Annuity(ies) - Variable
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	05/02/2012
Sanctions Ordered:	Monetary/Fine $25,000.00
Other Sanctions Ordered:	
Sanction Details:	MSI PAID AN ADMINISTRATIVE PENALTY OF $25,000 ON MAY 24, 2012.
Firm Statement	MSI ADVISED THE DEPARTMENT OF THE FAILURE OF CERTAIN OF ITS REPRESENTATIVES TO POSSESS DISTRICT SECURITIES LICENSES WHILE OFFERING/SELLING VARIABLE ANNUITIES IN THE DISTRICT OF COLUMBIA DURING THE TIME PERIOD OF MARCH TO AUGUST 2007. THIS FAILURE WAS BASED ON MSI'S GOOD FAITH RELIANCE ON INFORMATION PROVIDED BY A 3RD-PARTY VENDOR. UPON LEARNING OF THE ISSUE, MSI PROACTIVELY ENHANCED THEIR POLICIES, PROCEDURES, AND CONTROLS SO THAT A SIMILAR INCIDENT WOULD NOT OCCUR. ON MAY 2, 2012, MSI ACCEPTED THE ADMINISTRATIVE CONSENT ORDER, AND AGREED TO PAY AN ADMINISTRATIVE PENALTY OF $25,000 WITHIN 25 DAYS.

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE DEPARTMENT FINDS THAT METLIFE SECURITIES, INC., REGISTERED REPRESENTATIVES,OFFERED AND SOLD VARIABLE ANNUITIES IN THE DISTRICT OF COLUMBIA IN THE MARCH THROUGH AUGUST 2007 TIME PERIOD WITHOUT PROCESSING DISTRICT SECURITIES, LICENSES, IN VIOLATION OF D.C. OFFICIAL CODE §31-5602.01(B).

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Initiated By:	GOVERNMENT OF THE DISTRICT OF COLUMBIA, DEPARTMENT OF INSURANCE, SECURITIES AND BANKING
Date Initiated:	05/02/2012
Docket/Case Number:	SB-SC-01-10
Principal Product Type:	Annuity(ies) - Variable
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	05/02/2012
Sanctions Ordered:	Monetary/Fine $25,000.00
Other Sanctions Ordered:	
Sanction Details:	MSI PAID AN ADMINISTRATIVE PENALTY OF $25,000 ON MAY 24, 2012.
Firm Statement	MSI ADVISED THE DEPARTMENT OF THE FAILURE OF CERTAIN OF ITS REPRESENTATIVES TO POSSESS DISTRICT SECURITIES LICENSES WHILE OFFERING/SELLING VARIABLE ANNUITIES IN THE DISTRICT OF COLUMBIA DURING THE TIME PERIOD OF MARCH TO AUGUST 2007. THIS FAILURE WAS BASED ON MSI'S GOOD FAITH RELIANCE ON INFORMATION PROVIDED BY A 3RD-PARTY VENDOR. UPON LEARNING OF THE ISSUE, MSI PROACTIVELY ENHANCED THEIR POLICIES, PROCEDURES, AND CONTROLS SO THAT A SIMILAR INCIDENT WOULD NOT OCCUR. ON MAY 2, 2012, MSI ACCEPTED THE ADMINISTRATIVE CONSENT ORDER, AND AGREED TO PAY AN ADMINISTRATIVE PENALTY OF $25,000 WITHIN 25 DAYS.

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	FINRA RULE 2010, NASD RULE 3010 - WHILE A BRANCH OFFICE OF METLIFE SECURITIES WAS IN THE PROCESS OF RELOCATING, BOXES OF FIRM RECORDS THAT INCLUDED CONFIDENTIAL CUSTOMER INFORMATION WERE DISCOVERED IN A GARBAGE DUMPSTER BEHIND THE BUILDING WHERE THE OLD OFFICE WAS LOCATED BY A PERSON NOT EMPLOYED BY

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	THE FIRM. THE FIRM'S WRITTEN SUPERVISORY PROCEDURES (WSPS) CONCERNING SEC REGULATION S-P PROVIDED, IN PART, THAT UNNEEDED DOCUMENTS SHOULD BE DESTROYED BY SHREDDING. CONTRARY TO THE FIRM'S WSPS, CLIENT INFORMATION WAS LEFT UNATTENDED AND UNSECURED, VISITORS WERE IN AREAS WHERE CLIENT INFORMATION WAS ACCESSIBLE AND AN APPROPRIATE NUMBER OF ON-SITE SHREDDERS WERE NOT MAINTAINED ON THE PREMISES. THE CONFIDENTIAL INFORMATION IN THE RECORDS INCLUDED CUSTOMER NAMES, ADDRESSES, POLICY NUMBERS, SOCIAL SECURITY NUMBERS, INCOME TAX BRACKET AND DRIVER'S LICENSE NUMBERS.
Initiated By:	FINRA
Date Initiated:	11/10/2011
Docket/Case Number:	2010021506001
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	
Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/10/2011
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Monetary/Fine $35,000.00
Other Sanctions Ordered:	
Sanction Details:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS; THEREFORE, THE FIRM IS CENSURED AND FINED $35,000.

Reporting Source:	Firm
Current Status:	Final

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Allegations:	FINRA RULE 2010, NASD RULE 3010 - WHILE A BRANCH OFFICE OF METLIFE SECURITIES WAS IN THE PROCESS OF RELOCATING, BOXES OF FIRM RECORDS THAT INCLUDED CONFIDENTIAL CUSTOMER INFORMATION WERE DISCOVERED BY A PERSON NOT EMPLOYED BY THE FIRM, IN A GARBAGE DUMPSTER BEHIND THE BUILDING WHERE THE OLD OFFICE WAS LOCATED. THE FIRM'S WRITTEN SUPERVISORY PROCEDURES (WSPS) CONCERNING SEC REGULATION S-P PROVIDED, IN PART, THAT UNNEEDED DOCUMENTS SHOULD BE DESTROYED BY SHREDDING. CONTRARY TO THE FIRM'S WSPS, CLIENT INFORMATION WAS LEFT UNATTENDED AND UNSECURED, VISITORS WERE IN AREAS WHERE CLIENT INFORMATION WAS ACCESSIBLE AND AN APPROPRIATE NUMBER OF ON-SITE SHREDDERS WERE NOT MAINTAINED ON THE PREMISES. THE CONFIDENTIAL INFORMATION IN THE RECORDS INCLUDED CUSTOMER NAMES, ADDRESSES, POLICY NUMBERS, SOCIAL SECURITY NUMBERS, INCOME TAX BRACKET AND DRIVER'S LICENSE NUMBERS.
Initiated By:	FINANCIAL INDUSTRY REGULATORY AUTHORITY
Date Initiated:	11/10/2011
Docket/Case Number:	2010021506001
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	CENSURE
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/10/2011
Sanctions Ordered:	Censure Monetary/Fine $35,000.00
Other Sanctions Ordered:	
Sanction Details:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS; THEREFORE, THE FIRM IS CENSURED AND FINED $35,000.

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Reporting Source:	Regulator
Current Status:	Final

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Allegations:

NASD RULES 2110, 3010, 3010(A), 3010(B) AND 3010(D)(2): RESPONDENT METLIFE SECURITIES, INC. FAILED TO IMPLEMENT A SUPERVISORY SYSTEM THAT WAS REASONABLY DESIGNED TO ACHIEVE COMPLIANCE WITH NASD CONDUCT RULE 3010(D)(2), AS TO THE REVIEW OF INCOMING AND OUTGOING EMAIL CORRESPONDENCE OF REGISTERED REPRESENTATIVES. THE FIRM'S WRITTEN SUPERVISORY PROCEDURES MANDATED PRINCIPAL REVIEW OF ALL INCOMING AND OUTGOING SECURITIES-RELATED EMAIL COMMUNICATIONS OF REGISTERED REPRESENTATIVES BUT RELIED UPON ITS REGISTERED REPRESENTATIVES TO FORWARD THEIR OWN INCOMING AND OUTGOING EMAILS TO A DESIGNATED PRINCIPAL FOR REVIEW. HOWEVER, THERE WAS NO SYSTEM TO DIRECTLY MONITOR THE EMAIL COMMUNICATIONS OF REGISTERED REPRESENTATIVES IN ORDER TO DETERMINE IF THEY WERE IN FACT FORWARDING THEIR EMAILS AS REQUIRED. INSTEAD THE FIRMS RELIED UPON ANNUAL BRANCH AUDITS AND DISCRETIONARY SPOT-CHECKS OF REPRESENTATIVE'S COMPUTERS TO ENFORCE COMPLIANCE WITH THE EMAIL-FORWARDING REQUIREMENT. NEITHER THE BRANCH AUDITS, WHICH OCCURRED ONLY ANNUALLY AND CONSISTED MAINLY OF REVIEW OF CLIENT FILES TO MONITOR EMAIL TRAFFIC, NOR DISCRETIONARY SPOT CHECKS BY SUPERVISORS OF REPRESENTATIVES' COMPUTERS PROVIDED A RELIABLE MEANS TO TIMELY DETECT IF EMAILS HAD NOT BEEN FORWARDED. AS A RESULT OF THE RESPONDENTS' DEFICIENT SUPERVISORY SYSTEMS AND PROCEDURES FOR EMAIL REVIEW, NUMEROUS EMAILS THAT CONTAINED INDICATIONS OF MISCONDUCT BY REPRESENTATIVES ESCAPED DETECTION. THUS, DURING THE RELEVANT PERIOD, TWO REGISTERED REPRESENTATIVES ENGAGED IN UNDISCLOSED OUTSIDE BUSINESS ACTIVITIES AND PRIVATE SECURITIES TRANSACTIONS WITHOUT DETECTION BY THE FIRM, ALTHOUGH THE MISCONDUCT WAS REFLECTED IN EMAILS THAT WERE SENT OR RECEIVED DURING THAT PERIOD USING FIRM-ASSIGNED EMAIL ADDRESSES. THE FIRM DID NOT DISCOVER THE MISCONDUCT OF EITHER REGISTERED REPRESENTATIVE THROUGH SUPERVISORY REVIEW OF EMAILS BECAUSE THE REPRESENTATIVES DID NOT FORWARD THEIR EMAILS TO THEIR RESPECTIVE SUPERVISORS - A FAILURE THAT THE FIRM DID NOT DISCOVER UNTIL YEARS LATER WHEN INVESTIGATING CUSTOMER COMPLAINTS RELATING TO THOSE REPRESENTATIVES. IN ADDITION, THE FIRM FAILED TO ESTABLISH, IMPLEMENT AND ENFORCE A SUPERVISORY SYSTEM THAT WAS REASONABLY DESIGNED TO MONITOR AND ENFORCE COMPLIANCE WITH NASD CONDUCT RULES 3030 AND 3040, AS TO PARTICIPATION OF ASSOCIATED PERSONS IN OUTSIDE BUSINESS ACTIVITIES AND PRIVATE SECURITIES TRANSACTIONS. AS A RESULT OF THIS INADEQUATE PROCEDURE, EMAIL COMMUNICATIONS CONTAINING CLEAR INDICATIONS OF RULE 3030 AND/OR RULE 3040 VIOLATIONS ESCAPED DETECTION. THE FIRM LATER TRANSITIONED TO AN AUTOMATED EMAIL SURVEILLANCE

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	SYSTEM THAT SCREENS EMAILS THROUGH A LEXICON-BASED SEARCH AND THROUGH RANDOM SAMPLES.
Initiated By:	FINRA
Date Initiated:	11/18/2009
Docket/Case Number:	2006006777801
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	
Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/18/2009
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Monetary/Fine $1,200,000.00
Other Sanctions Ordered:	
Sanction Details:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS; THEREFORE, THE FIRM IS CENSURED AND JOINTLY AND SEVERALLY FINED $1,200,000.

Reporting Source:	Firm
Current Status:	Final
Allegations:	IT IS ALLEGED THAT THE APPLICANT AND FORMER CONTROL AFFILIATES FAILED TO IMPLEMENT A SUPERVISORY SYSTEM THAT WAS REASONABLY DESIGNED TO ACHIEVE COMPLIANCE WITH REGARD TO THE REVIEW OF INCOMING AND OUTGOING EMAIL CORRESPONDENCE OF REGISTERED REPRESENTATIVES. IT IS FURTHER ALLEGED THAT THE APPLICANT AND CONTROL AFFILIATES FAILED TO ESTABLISH, IMPLEMENT AND ENFORCE A SUPERVISORY SYSTEM DESIGNED TO MONITOR AND ENFORCE

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	COMPLIANCE WITH REGARD TO PARTICIPATION OF ASSOCIATED PERSONS IN OUTSIDE BUSINESS ACTIVITIES AND PRIVATE SECURITIES TRANSACTIONS.
Initiated By:	FINANCIAL INDUSTRY REGULATION AUTHORITY ("FINRA")
Date Initiated:	10/26/2006
Docket/Case Number:	AWC NO. 2006006777801
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	FINE IN THE AMOUNT OF $552,000.00
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/18/2009
Sanctions Ordered:	Censure Monetary/Fine $1,200,000.00
Other Sanctions Ordered:	
Sanction Details:	THE APPLICANT AND FORMER CONTROL AFFILIATES WERE FINED $1,200,000, JOINTLY AND SEVERALLY. THE APPLICANT'S PORTION OF THE FINE, WHICH AMOUNTED TO $552,000.00 WAS PAID ON NOVEMBER 24, 2009.
Firm Statement	THE APPLICANT AND FORMER CONTROL AFFILIATES EXECUTED A LETTER OF ACCEPTANCE, WAIVER AND CONSENT DATED OCTOBER 14, 2009, WITHOUT ADMITTING OR DENYING THE FINDINGS. FINRA ACCEPTED THE AWC ON NOVEMBER 18, 2009. THE APPLICANT AND FORMER CONTROL AFFILIATES WERE FINED $1,200,000, JOINTLY AND SEVERALLY. THE APPLICANT'S PORTION OF THE FINE, WHICH AMOUNTED TO $552,000.00, WAS PAID ON NOVEMBER 24, 2009. NEW ENGLAND SECURITIES, CORP. MERGED WITH METLIFE SECURITIES, INC. ON 01/01/2015

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	FAILURE TO REASONABLY SUPERVISE ACTIVITIES OF ITS A SALESPERSON

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Initiated By:	STATE OF ILLINOIS, ILLINOIS SECURITIES DEPARTMENT
Date Initiated:	12/08/2008
Docket/Case Number:	0500696
URL for Regulatory Action:	
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Revocation
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	07/27/2010
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Monetary/Fine $130,000.00
Other Sanctions Ordered:	
Sanction Details:	CONSENT ORDER
Regulator Statement	CONSENT ORDER WAS ISSUED JULY 27, 2010. IF YOU HAVE ANY QUESTIONS PLEASE CONTACT AT 312-793-3023

Reporting Source:	Firm
Current Status:	Final
Allegations:	FAILURE TO REASONABLY SUPERVISE THE SECURITIES ACTIVITIES, AND SPECIFICALLY THE SALE OF VARIABLE ANNUITY PRODUCTS, OF ONE (1) FORMER REGISTERED REPRESENTATIVE. THE CONSENT ORDER ALSO SETTLED ALLEGED VIOLATIONS OF THE BOOKS AND RECORDS REQUIREMENTS OF THE ILLINOIS SECURITIES LAWS.
Initiated By:	STATE OF ILLINOIS, SECRETARY OF STATE, SECURITIES DEPARTMENT

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Date Initiated:	12/08/2008
Docket/Case Number:	FILE NO. 0500696
Principal Product Type:	Annuity(ies) - Variable
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	07/20/2010
Sanctions Ordered:	Monetary/Fine $135,000.00
Other Sanctions Ordered:	
Sanction Details:	THE SIGNED CONSENT ORDER AND FINE WERE SUBMITTED TO THE DEPARTMENT ON JULY 20, 2010.
Firm Statement	THE SIGNED CONSENT ORDER AND FINE WERE SUBMITTED TO THE DEPARTMENT ON JULY 20, 2010.

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	MSRB RULE G-27 - FROM JANUARY 2002 TO DECEMBER 2004 THE FIRM SOLD $150,200,596 OF 529 COLLEGE SAVINGS PLANS. DURING THIS PERIOD, THE FIRM FAILED TO ESTABLISH AND MAINTAIN PROCEDURES, INCLUDING WRITTEN SUPERVISORY PROCEDURES THAT WERE REASONABLY DESIGNED TO ACHIEVE COMPLIANCE WITH SUITABILITY OBLIGATIONS AS THEY RELATE TO THE SALE OF 529 PLANS.
Initiated By:	NASD
Date Initiated:	11/06/2006
Docket/Case Number:	EAF0401020003
Principal Product Type:	Other
Other Product Type(s):	529 COLLEGE SAVINGS PLANS
Principal Sanction(s)/Relief Sought:	

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Other Sanction(s)/Relief Sought:	
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/06/2006
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Monetary/Fine $500,000.00
Other Sanctions Ordered:	REMEDIATION
Sanction Details:	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS; THEREFORE THE FIRM IS CENSURED, FINED $500,000 AND MUST PAY APPROXIMATELY $376,000 IN REMEDIATION TO COMPENSATE CERTAIN CUSTOMERS WHO, DURING THE PERIOD JANUARY 2002 THROUGH DECEMBER 2004, PURCHASED A 529 PLAN FROM THE FIRM AT THE TIME IT DID NOT HAVE ADEQUATE PROCEDURES IN PLACE RELATING TO SUITABILITY DETERMINATIONS FOR THE SALE OF 529 PLANS. SATISFACTORY PROOF OF PAYMENT OF PAYMENT OR OF REASONABLE AND DOCUMENTED EFFORTS UNDERTAKEN TO EFFECT SUCH PAYMENT SHALL BE PROVIDED TO NASD NO LATER THAN 120 DAYS AFTER THE SCHEDULE IS PROVIDED BY NASD. IF FOR ANY REASON THE FIRM CANNOT LOCATE ANY CUSTOMER IDENTIFIED IN THE SCHEDULE AFTER REASONABLE AND DOCUMENTED EFFORTS WITHIN SUCH PERIOD, OR ANY SUCH ADDITIONAL PERIOD AGREED TO BY NASD, THE FIRM SHALL FORWARD ANY UNDISTRIBUTED PAYMENT AND INTEREST TO THE APPROPRIATE ESCHEAT, UNCLAIMED PROPERTY, OR ABANDONED PROPERTY FUND FOR THE STATE OR COUNTRY IN WHICH THE CUSTOMER IS LAST KNOWN TO HAVE RESIDED.

Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT APPLICANT FAILED TO ESTABLISH AND MAINTAIN PROCEDURES, INCLUDING WRITTEN SUPERVISORY PROCEDURES, THAT WERE REASONABLY DESIGNED TO ACHIEVE COMPLIANCE WITH SUITABILITY OBLIGATIONS AS THEY RELATED TO THE SALE OF 529 PLANS.

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Initiated By:	NATIONAL ASSOCIATION OF SECURITIES DEALERS
Date Initiated:	03/24/2004
Docket/Case Number:	EAF0401020003
Principal Product Type:	Other
Other Product Type(s):	529 PLANS
Principal Sanction(s)/Relief Sought:	Censure
Other Sanction(s)/Relief Sought:	A FINE OF $500,000 AND PAYMENT OF $376,000 IN REMEDIATION.
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	11/06/2006
Sanctions Ordered:	Censure Monetary/Fine $500,000.00 Disgorgement/Restitution
Other Sanctions Ordered:	
Sanction Details:	APPLICANT WAS FINED $500,000 AND AGREED TO PAY $376,000 IN REMEDIATION.
Firm Statement	APPLICANT PAID THE FINE ON NOVEMBER 17, 2006. FURTHERMORE, APPLICANT HAS RECEIVED THE REMEDIATION SCHEDULE FROM THE DEPARTMENT OF ENFORCEMENT AND FORESEES PROVIDING PROOF OF PAYMENT TO THE NASD WITHIN THE REQUIRED TIME FRAME.

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	SECTION 17(A) OF THE EXCHANGE ACT, RULE 17A-4 THEREUNDER, AND NASD RULES 2110, 3110, 3010, 8210: IN RESPONSE TO AN NASD INQUIRY CONCERNING LATE TRADING OF MUTUAL FUNDS, RESPONDENT PROVIDED INACCURATE AND MISLEADING RESPONSES DESPITE HAVING LEARNED INFORMATION RAISING SERIOUS QUESTIONS ABOUT THE ACCURACY OF THOSE RESPONSES. THE RESPONSES WERE COORDINATED BY A WORKING GROUP CONSISTING OF EMPLOYEES FROM THE THREE FIRMS, STAFF FROM VARIOUS DEPARTMENTS, AND AN OUTSIDE LAW FIRM. FURTHER, RESPONDENT LEARNED ADDITIONAL FACTS OVER THE NEXT SEVERAL MONTHS THAT CONTRADICTED THEIR ORIGINAL RESPONSES, BUT FAILED UNTIL 14 MONTHS AFTER THEY HAD

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ORIGINALLY RESPONDED - TO PROVIDE NASD WITH CORRECTED INFORMATION.
THE FIRM RESPONDED TO THE NASD REQUESTS BY STATING THAT UPON REASONABLE INQUIRY, IT WAS NOT AWARE OF ANY LATE TRADING TRANSACTIONS; THAT FIRM HAD POLICIES AND PROCEDURES IN PLACE THAT REQUIRED ALL ORDERS PLACED BY CUSTOMERS AFTER 4 P.M. EASTERN TIME TO BE EXECUTED THE FOLLOWING DAY, AND THAT FIRM'S POLICIES AND PROCEDURES INCLUDED "SAFEGUARDS BUILT-IN TO THE COMPUTERIZED ORDER-TAKING SYSTEM UTILIZED BY THE FIRM AND ITS REPRESENTATIVES."
WHILE THE FIRMS MADE THESE AFFIRMATIVE STATEMENTS, THE GROUP HAD INFORMATION THAT EACH OF THESE STATEMENTS WAS INACCURATE OR MISLEADING.
RESPONDENT FAILED TO PRODUCE RESPONSIVE E-MAILS IN A TIMELY FASHION DURING NASD'S INVESTIGATION OF THIS CASE. NASD FOUND THAT RESPONDENT VIOLATED FEDERAL SECURITIES LAWS, SECURITIES AND EXCHANGE COMMISSION RULES AND NASD REGULATIONS BY EXECUTING APPROXIMATELY 800 LATE TRADES; SUBMITTING INACCURATE AND MISLEADING RESPONSES TO REGULATORY INQUIRIES; FAILING FOR MANY MONTHS TO UPDATE, SUPPLEMENT OR CORRECT THOSE RESPONSES; FAILING TO ESTABLISH AND MAINTAIN ADEQUATE SUPERVISORY SYSTEMS AND WRITTEN PROCEDURES TO PREVENT OR DETECT LATE TRADING; FAILING TO CAPTURE THE TIME OF CUSTOMER MUTUAL FUND ORDERS; FAILING TO PRODUCE RESPONSIVE EMAILS IN A TIMELY FASHION, AND FAILING TO RETAIN EMAILS FOR THE REQUIRED TIME.

Initiated By: NASD

Date Initiated: 09/18/2006

Docket/Case Number: EAF0401400001

Principal Product Type: Mutual Fund(s)

Other Product Type(s):

Principal Sanction(s)/Relief Sought:

Other Sanction(s)/Relief Sought:

Resolution: Acceptance, Waiver & Consent(AWC)

Resolution Date: 09/18/2006

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Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Censure Monetary/Fine $5,000,000.00
Other Sanctions Ordered:	UNDERTAKINGS: WITHIN 30 DAYS, AN OFFICER OF THE FIRM SHALL CERTIFY TO NASD THAT THE FIRM HAS REVIEWED ITS PROCEDURES REGARDING E-MAIL RETENTION, THE RECORDING OF THE TIME OF MUTUAL FUND ORDERS, THE PRODUCTION OF E-MAIL IN RESPONSE TO REGULATORY REQUESTS, AND LATE TRADING, AND HAS ESTABLISHED SYSTEMS AND PROCEDURES REASONABLY DESCRIBED TO ACHIEVE COMPLIANCE WITH LAWS, REGULATIONS, AND RULES CONCERNING THOSE MATTERS.
Sanction Details:	WITHOUT ADMITTING OR DENYING THE FINDINGS, RESPONDENT MEMBER FIRM CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS; THEREFORE, FIRM IS CENSURED AND FINED $5,000,000 JOINTLY AND SEVERALLY.

Reporting Source:	Firm
Current Status:	Final
Allegations:	THE AWC INCLUDED FINDINGS THAT APPLICANT AND FORMER CONTROL AFFILIATE EXECUTED LATE TRADES; SUBMITTED INACCURATE RESPONSES TO NASD REGULATORY INQUIRIES; FAILED TO ESTABLISH AND MAINTAIN ADEQUATE SUPERVISORY SYSTEMS AND WRITTEN PROCEDURES TO PREVENT OR DETECT LATE TRADING; FAILED TO CAPTURE THE TIME OF CUSTOMER MUTUAL FUND ORDERS; FAILED TO PRODUCE RESPONSIVE EMAILS IN A TIMELY FASHION; AND, FAILED TO RETAIN EMAILS FOR THE REQUIRED PERIOD.
Initiated By:	NATIONAL ASSOCIATION OF SECURITIES DEALERS
Date Initiated:	12/15/2004
Docket/Case Number:	EAF0401400001
Principal Product Type:	Mutual Fund(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Censure

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Other Sanction(s)/Relief Sought:	APPLICANT AND FORMER CONTROL AFFILIATES (WALNUT STREET SECURITIES, INC.) WERE FINED $5,000,000 JOINTLY AND SEVERALLY.
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	09/18/2006
Sanctions Ordered:	Censure Monetary/Fine $5,000,000.00
Other Sanctions Ordered:	WITHIN 30 DAYS, AN OFFICER OF THE APPLICANT AND FORMER CONTROL AFFILIATE MUST CERTIFY TO THE NASD THAT THE FIRMS HAVE (I) REVIEWED THEIR PROCEDURES RELATED TO EMAIL RETENTION, RECORDING OF THE TIME OF MUTUAL FUND ORDERS, AND, THE PRODUCTION OF EMAIL IN RESPONSE TO REGULATORY REQUESTS AND LATE TRADING, AND (II) ESTABLISHED PROCEDURES DESIGNED TO ACHIEVE COMPLIANCE WITH LAWS, REGULATIONS, AND RULES CONCERNING THOSE MATTERS.
Sanction Details:	THE APPLICANT AND FORMER CONTROL AFFILIATE PAID THE $5,000,000 FINE ON SEPTEMBER 26, 2006.
Firm Statement	WITHOUT ADMITTING OR DENYING THE FINDINGS, THE APPLICANT AND FORMER CONTROL AFFILIATE CONSENTED TO THE DESCRIBED SANCTIONS AND TO THE ENTRY OF FINDINGS. THEREFORE, APPLICANT AND FORMER CONTROL AFFILIATE WERE CENSURED AND FINED $5,000,000 JOINTLY AND SEVERALLY. THE FINE WAS PAID ON SEPTEMBER 26, 2006. NEW ENGLAND SECURITIES, CORP. MERGED WITH METLIFE SECURITIES, INC. ON 01/01/2015

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	THE FIRM FAILED TO SUPERVISE ITS AGENTS AND BRANCHES.
Initiated By:	MISSISSIPPI
Date Initiated:	06/30/2006
Docket/Case Number:	S-04-0321
URL for Regulatory Action:	
Principal Product Type:	No Product
Other Product Type(s):	

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Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	06/30/2006
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	No
Sanctions Ordered:	Monetary/Fine $50,000.00
Other Sanctions Ordered:	
Sanction Details:	$50,000 FINE.
Regulator Statement	1. THE FIRM DID NOT KNOW OR PROVIDED INCORRECT LOCATIONS OF SIX MISSISSIPPI BRANCH OFFICES. 2. ONE BRANCH REFUSED EXAMINATION AS PERSONNEL CLAIMED THEY DID NOT SELL SECURITIES. 3. THE FIRM WAS UNAWARE OF TWO BRANCH OFFICES OUTSIDE BUSINESS ACTIVITIES.

Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT APPLICANT FURNISHED INCORRECT INFORMATION TO THE DIVISION AND FAILED TO ADEQUATELY SUPERVISE ITS REGISTERED REPRESENTATIVES.
Initiated By:	OFFICE OF THE MISSISSIPPI SECRETARY OF STATE, BUSINESS REGULATIONS AND ENFORCEMENT DIVISION
Date Initiated:	12/12/2004
Docket/Case Number:	S-04-0321
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Cease and Desist

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Other Sanction(s)/Relief Sought:	APPLICANT AGREED TO HEIGHTENED SUPERVISION OF ONE REGISTERED REPRESENTATIVE AND TO IMPLEMENT AND CONDUCT TRAINING ON CERTAIN PRODUCTS TO ALL REGISTERED REPRESENTATIVES LOCATED IN MISSISSIPPI. APPLICANT FURTHER AGREED TO PAY AN ADMINISTRATIVE PENALTY OF $50,000.
Resolution:	Order
Resolution Date:	06/30/2006
Sanctions Ordered:	Monetary/Fine $50,000.00 Cease and Desist/Injunction
Other Sanctions Ordered:	APPLICANT AGREED TO HEIGHTENED SUPERVISION OF ONE REGISTERED REPRESENTATIVE AND TO IMPLEMENT AND CONDUCT TRAINING ON CERTAIN PRODUCTS TO ALL REGISTERED REPRESENTATIVES LOCATED IN MISSISSIPPI.
Sanction Details:	A PLAN FOR THE HEIGHTENED SUPERVISION MUST BE SUBMITTED TO THE DIVISION BY JULY 28, 2006. A PLAN FOR SPECIFIC PRODUCT TRAINING MUST ALSO BE SUBMITTED TO THE DIVISION BY JULY 28, 2006.
Firm Statement	THE PLAN FOR THE HEIGHTENED SUPERVISION WAS NOT SUBMITTED, AS THE FIRM INTENDS TO TERMINATE THE REGISTERED REPRESENTATIVE'S CONTRACT. THE PRODUCT TRAINING WAS SUBMITTED TO THE DIVISION ON JUNE 29, 2006. THE ADMINISTRATIVE FINE OF $50,000 HAS BEEN PAID.

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Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT THE APPLICANT EMPLOYED INDIVIDUALS AS SALES REPRESENTATIVES IN RHODE ISLAND WHILE SUCH INDIVIDUALS WERE NOT PROPERLY LICENSED IN THE STATE.
Initiated By:	RHODE ISLAND DIVISION OF SECURITIES
Date Initiated:	08/05/2005
Docket/Case Number:	
Principal Product Type:	Investment Contract(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)

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Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	10/12/2005
Sanctions Ordered:	Monetary/Fine $5,000.00
Other Sanctions Ordered:	
Sanction Details:	ADMINISTRATIVE FINE OF $5000.00.
Firm Statement	AS A RESULT OF AN ADMINISTRATIVE OVERSIGHT, THE APPLICANT EMPLOYED INDIVIDUALS AS SALES REPRESENTATIVES IN RHODE ISLAND, WHILE SUCH INDIVIDUALS WERE NOT PROPERLY LICENSED IN RHODE ISLAND. THE APPLICANT AGREED TO IMMEDIATELY UNDERTAKE TO COMPLY FULLY WITH RHODE ISLAND RULES AND REGULATIONS AND PAID AN ADMINISTRATIVE PENALTY OF $5000.00 TO THE DEPARTMENT. NEW ENGLAND SECURITIES, CORP. MERGED WITH METLIFE SECURITIES, INC. ON 01/01/2015

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Reporting Source:	Regulator
Current Status:	Final
Allegations:	AFTER CONDUCTING BOOKS AND RECORDS AUDIT OF OREGON BRANCH OFFICE, STATE OF OREGON ASCERTAINED THAT A SALESPERSON WAS UNLICENSED FOR A TWENTY-ONE MONTH PERIOD. UNLICENSED ACTIVITY / FAILURE TO SUPERVISE.
Initiated By:	OREGON
Date Initiated:	09/06/2005
Docket/Case Number:	S-05-0006
URL for Regulatory Action:	
Principal Product Type:	Equity Listed (Common & Preferred Stock)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Cease and Desist
Other Sanction(s)/Relief Sought:	CIVIL PENALTY
Resolution:	Consent

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Resolution Date:	09/06/2005
Does the order constitute a final order based on violations of any laws or regulations that prohibit fraudulent, manipulative, or deceptive conduct?	Yes
Sanctions Ordered:	Monetary/Fine $12,000.00
Other Sanctions Ordered:	
Sanction Details:	FIRM ALLOWED SALESPERSON'S LICENSE TO LAPSE. NO LICENSE BETWEEN 1/1/03 AND 9/10/04. FEW SECURITIES SALES MADE, ALTHOUGH SOLICITATIONS ARE BELIEVED TO HAVE BEEN LIKELY.

Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT THE APPLIANT VIOLATED ITS OBLIGATION TO EXERCISE DILIGENT SUPERVISION BY EMPLOYING AN UNLICENSED REPRESENTATIVE FROM JUANUARY 1, 2003 THROUGH SEPTEMBER 9, 2004.
Initiated By:	OREGON DEPARTMENT OF CONSUMER AND BUSINESS SERVICES
Date Initiated:	09/16/2004
Docket/Case Number:	NO. S-05-0006
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Cease and Desist
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	09/06/2005
Sanctions Ordered:	Monetary/Fine $12,000.00 Cease and Desist/Injunction
Other Sanctions Ordered:	
Sanction Details:	APPLICANT ORDERED TO CEASE AND DESIST FROM FURTHER

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	VIOLATIONS OF OREGON SECURITIES LAWS AND REGULATIONS, AND TO PAY A FINE OF $12,000.00
Firm Statement	APPLICANT, IN ERROR, TERMINATED THE OREGON STATE SECURITIES REGISTRATION OF ONE OF ITS EMPLOYEES, WHICH REMAINED TERMINATED FROM 1/1/03 THROUGH 9/9/04. TO THE BEST OF THE APPLICANT'S KNOWLEDGE, THIS EMPLOYEE DID NOT MAKE ANY NEW SALES REQUIRING SECURITIES REGISTRATION IN THE STATE OF OREGON DURING THIS TIME PERIOD. THE STATE OF OREGON FOUND APPLICANT TO HAVE VIOLATED STATE LAW AND REGULATIONS BY (1) EMPLOYING AN INDIVIDUAL WHO HAD THE OPPORTUNITY TO ORRDER AND/OR SELL SECURITIES; (2) FAILED TO PROPERLY SUPERVISE THIS INDIVIDUAL; AND (3) FAILED TO MAINTAIN POLICIES AND PROCEDURES THAT WOULD PREVENT THE LACK OF LICENSURE OF ONE OF ITS SALESPERSONS TO GO UNDETECTED.

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Reporting Source:	Firm
Current Status:	Final
Allegations:	MSI WAS ALLEGED TO HAVE NOT MAINTAINED INFORMATION CONCERNING THE AGE, OCCUPATION, FINANCIAL BACKGROUND, TAX STATUS AND INVESTMENT OBJECTIVES OF CERTAIN CUSTOMERS AND FAILED TO MAINTAIN COPIES OF NEW ACCOUNT FORMS REFLECTING THE SIGNATURE OF THE APPROPRIATE PARY ACCEPTING THE ACCOUNTS IN VIOLATION OF OKLAHOMA SECURITIES RULES.
Initiated By:	STATE OF OKLAHOMA, DEPARTMENT OF SECURITIES
Date Initiated:	11/16/1994
Docket/Case Number:	FILE NO. ODS 95-11
Principal Product Type:	Mutual Fund(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	METLIFE SECURIITES, INC. ("MSI") WAS ASSESSED AN ADMINISTRATIVE PENALTY OF $2000.00.
Resolution:	Settled
Resolution Date:	09/18/1995
Sanctions Ordered:	Monetary/Fine $2,000.00

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Other Sanctions Ordered:	
Sanction Details:	MSI PAID IN FULL THE $2000.00 CIVIL PENALTY ON OR ABOUT AUGUST 22, 1995.
Firm Statement	THE MATTER WAS SETTLED WITHOUT MSI ADMITTING OR DENYING THE ALLEGATIONS DESCRIBED IN QUESTION 7.

Disclosure 37 of 40

Reporting Source:	Regulator
Current Status:	Final
Allegations:	ARTICLE III, SECTION 1 OF THE RULES OF FAIR PRACTICE - RESPONDENT MEMBERS MADE 351 U-5 FILINGS WHICH WERE MORE THAN 30 DAYS AFTER TERMINATION OR WERE INCOMPLETE.
Initiated By:	NATIONAL ASSOCIATION OF SECURITIES DEALERS, INC.
Date Initiated:	08/04/1994
Docket/Case Number:	C10950049
Principal Product Type:	Other
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	07/20/1995
Sanctions Ordered:	Censure Monetary/Fine $75,000.00
Other Sanctions Ordered:	
Sanction Details:	LETTER OF ACCEPTANCE, WAIVER AND CONSENT NO. C10950049 WAS ACCEPTED: THEREFORE, THEY ARE CENSURED AND FINED $75,000, JOINTLY AND SEVERALLY, AND, PERFORM THE FOLLOWING UNDERTAKING: A) WITHIN 30 DAYS OF NOTICE OF ACCEPTANCE OF THIS LETTER OF ACCEPTANCE, WAIVER AND CONSENT, A COPY OF THEIR SUPERVISORY PROCEDURES INDICATING THE NAME OR TITLE OF THE INDIVIDUAL RESPONSIBLE FOR THE ACCURACY AND PROMPT SUBMISSION OF ALL FORM U-5 TRANSMISSIONS WILL BE SUBMITTED TO DISTRICT OFFICE NO. 10; WITHIN 90 DAYS OF NOTICE OF ACCEPTANCE OF

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THIS AWC, BOTH MEMBER FIRMS WILL HAVE AN AUDIT BY AN INDEPENDENT (NON-EMPLOYEE) CONSULTANT OF THE ACCURACY OF THE MEMBERS' CURRENT REGISTRATION RECORDS AND A REVIEW INCLUDING BUT NOT LIMITED TO ALL POLICIES AND PROCEDURES INCLUDING SUPERVISORY ASSIGNMENTS RELEVANT TO THE REPORTING OF TERMINATIONS AND COMPLAINT INFORMATION ON FORM U-5 AND WILL PREPARE A REPORT TO SENIOR MANAGEMENT INDICATING ANY DEFICIENCIES WITH ANY RECOMMENDED CORRECTIVE ACTION. C) WITHIN 120 DAYS OF NOTICE OF ACCEPTANCE OF THIS LETTER OF ACCEPTANCE, WAIVER AND CONSENT, A COPY OF THE ABOVE-REFERENCED AUDIT REPORT WILL BE SUBMITTED TO NASD DISTRICT NO. 10 OFFICE WITH DETAILS OF THE CORRECTIVE ACTION TAKEN AS A RESULT OF THE RECOMMENDATIONS IN THE REPORT; AND D). 18 MONTHS AFTER NOTICE OF THIS LETTER OF ACCEPTANCE, WAIVER AND CONSENT, EACH FIRM WILL PROVIDE NASD WITH A SUMMARY REPORT OUTLINING THE DETAILS OF EVERY LATE OR INCOMPLETE U-5 FILING, IF ANY, MADE WITHIN THE PRIOR SIX MONTHS WITH AN EXPLANATION OF THE CAUSE OF THE DELAY OR INCOMPLETE REPORT AND THE CORRECTIVE ACTION TAKEN. **$75,000.00 J&S * PAID ON 8/8/95 INVOICE #95-10-460**

Regulator Statement

[TOP] ON 07/20/1995, DISTRICT NO. 10 NOTIFIED RESPONDENTS METROPOLITAN LIFE INSURANCE COMPANY AND METLIFE SECURTIES, INC. THAT THE LETTER OF ACCEPTANCE, WAIVER AND CONSENT NO. C10950049 WAS ACCEPTED: THEREFORE, THEY ARE CENSURED AND FINED $75,000, JOINTLY AND SEVERALLY, AND, PERFORM THE FOLLOWING UNDERTAKING: A) WITHIN 30 DAYS OF NOTICE OF ACCEPTANCE OF THIS LETTER OF ACCEPTANCE, WAIVER AND CONSENT, A COPY OF THEIR SUPERVISORY PROCEDURES INDICATING THE NAME OR TITLE OF THE INDIVIDUAL RESPONSIBLE FOR THE ACCURACY AND PROMPT SUBMISSION OF ALL FORM U-5 TRANSMISSIONS WILL BE SUBMITTED TO DISTRICT OFFICE NO. 10; WITHIN 90 DAYS OF NOTICE OF ACCEPTANCE OF THIS AWC, BOTH MEMBER FIRMS WILL HAVE AN AUDIT BY AN INDEPENDENT (NON-EMPLOYEE) CONSULTANT OF THE ACCURACY OF THE MEMBERS' CURRENT REGISTRATION RECORDS AND A REVIEW INCLUDING BUT NOT LIMITED TO ALL POLICIES AND PROCEDURES INCLUDING SUPERVISORY ASSIGNMENTS RELEVANT TO THE REPORTING OF TERMINATIONS AND COMPLAINT INFORMATION ON FORM U-5 AND WILL PREPARE A REPORT TO SENIOR MANAGEMENT INDICATING ANY DEFICIENCIES WITH ANY RECOMMENDED CORRECTIVE ACTION. C) WITHIN 120 DAYS OF NOTICE OF ACCEPTANCE OF THIS LETTER OF ACCEPTANCE, WAIVER AND CONSENT, A COPY OF THE ABOVE-REFERENCED AUDIT REPORT WILL BE SUBMITTED TO NASD DISTRICT NO. 10 OFFICE WITH DETAILS OF THE CORRECTIVE ACTION TAKEN AS A RESULT OF THE RECOMMENDATIONS IN THE REPORT; AND D). 18 MONTHS AFTER NOTICE OF THIS LETTER OF ACCEPTANCE, WAIVER AND CONSENT, EACH FIRM WILL PROVIDE NASD WITH A SUMMARY REPORT OUTLINING

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THE DETAILS OF EVERY LATE OR INCOMPLETE U-5 FILING, IF ANY, MADE WITHIN THE PRIOR SIX MONTHS WITH AN EXPLANATION OF THE CAUSE OF THE DELAY OR INCOMPLETE REPORT AND THE CORRECTIVE ACTION TAKEN - (ARTICLE III, SECTION 1 OF THE RULES OF FAIR PRACTICE - RESPONDENT MEMBERS MADE 351 U-5 FILINGS WHICH WERE MORE THAN 30 DAYS AFTER TERMINATION OR WERE INCOMPLETE). **$75,000.00 J&S * PAID ON 8/8/95 INVOICE #95-10-460**

Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT METLIFE AND MSI WERE FILING LATE OR INCOMPLETE TERMINATION NOTICES FOR REGISTERED REPRESENTATIVES.
Initiated By:	NATIONAL ASSOCIATION OF SECURITIES DEALERS (NASD)
Date Initiated:	08/04/1994
Docket/Case Number:	AWC C10950049
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	METLIFE AND MSI PAID AN ADMINISTRATIVE PENALTY OF $75,000 TO THE NASD AND AGREED TO (1) UNDERGO AN INDEPENDENT AUDIT TO BE FILED WITH THE NASD OF REGISTRATION RECORDS AND A REVIEW OF POLICIES AND PROCEDURES RELATED TO THE REPORTING OF TERMINATIONS AND COMPLAINTS RELATED TO REGISTERED INDIVIDUALS ON TERMINATION NOTICES, AND (2) PREPARE A REPORT FOR THE NASD WITHIN 18 MONTHS WHICH DETAILS LATE OR INCOMPLETE TERMINATION NOTICES WITHIN THE PRIOR SIX MONTHS, REASONS FOR THE DELAY AND CORRECTIVE ACTION TAKEN.
Resolution:	Acceptance, Waiver & Consent(AWC)
Resolution Date:	07/19/1995
Sanctions Ordered:	Monetary/Fine $75,000.00
Other Sanctions Ordered:	SEE RESPONSE TO QUESTION 2 ABOVE.
Sanction Details:	METLIFE AND MSI JOINTLY PAID IN FULL THE $75,000.00 FINE ON AUGUST 3, 1995. IN ADDITION, METLIFE AND MSI UNDERWENT THE INDEPENDENT AUDIT AND PREPARED THE REQUIRED REPORT IN ACCORDANCE WITH

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	THE TERMS OF THE AWC.
Firm Statement	METLIFE AND MSI EXECUTED A LETTER OF ACCEPTANCE, WAIVER AND CONSENT, DATED APRIL 26, 1995, WHICH WAS ACCEPTED BY THE NASD ON JULY 19, 1995, WITHOUT ADMITTING OR DENYING THE ALLEGATIONS CONTAINED THEREIN, IN CONNECTION WITH THE NASD'S INVESTIGATION OF METLIFE'S AND MSI'S LATE AND INCOMPLETE FILING OF TERMINATION NOTICES FOR REGISTERED REPRESENTATIVES.

Disclosure 38 of 40

Reporting Source:	Regulator
Current Status:	Final
Allegations:	FAILURE TO FILE ADVERTISING PURSUANT TO 9 VSA 4234(b).
Initiated By:	VERMONT SECURITIES DIVISION
Date Initiated:	03/16/1994
Docket/Case Number:	93-070-S
URL for Regulatory Action:	
Principal Product Type:	
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	03/16/1994
Sanctions Ordered:	Monetary/Fine $2,500.00
Other Sanctions Ordered:	
Sanction Details:	RESPONDENT ENTERED INTO A CONSENT ORDER SETTLEMENT WHEREIN IT NEITHER ADMITTED NOR DENIED THE DIVISION'S ALLEGATIONS. THE DIVISION ALLEGED THAT RESPONDENT FAILED TO FILE A MASTER ADVERTISMENT RELATING TO ITS METLIFE STATE STREET HIGH INCOME FUND, GOVERNMENT SECURITIES FUND, AND TAX-EXEMPT FUND. THE DIVISION FURTHER ALLEGED THAT RESPONDENT'S

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	PARENT (METROPOLITAN LIFE INSURANCE COMPANY) ADVERTISING DEPARTMENT AUTHORIZED MODIFICATIONS TO THE MASTER ADVERTISEMENT WHICH MATERIALLY ALTERED THE ADVERTISEMENT BY DELETING LANGUAGE PERTAINING TO THE AVAILABILITY OF PROSPECTUSES AND CAUTIONING THE INVESTOR TO READ THE PROSPECTUSES BEFORE INVESTING. THIS ALTERED ADVERTISEMENT WAS NOT FILED WITH THE DIVISION NOR WOULD THE DIVISION APPROVED THE ADVERTISEMENT AS DRAFTED. RESPONDENT AGREED TO PAY A $2,500 FINE AND $250 IN COSTS.
Regulator Statement	CONTACT: ENFORCEMENT ATTORNEY 802-828-3420

Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT MSI HAD FAILED TO FILE WITH AND HAVE APPROVED BY THE STATE SECURITIES DIVISION AN ADVERTISEMENT FOR MUTUAL FUNDS PRIOR TO ITS PUBLICATION IN VIOLATION OF VERMONT STATUTES.
Initiated By:	STATE OF VERMONT, DEPT. OF BANKING, INSURANCE AND SECURITIE
Date Initiated:	12/13/1993
Docket/Case Number:	DOCKET NO. 93-070-S
Principal Product Type:	Mutual Fund(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	MSI WAS ASSESSED AN ADMINISTRATIVE PENALTY OF $2500.00 AND $250.00 FOR THE REIMBURSEMENT OF STATE INVESTIGATION COSTS.
Resolution:	Settled
Resolution Date:	03/17/1994
Sanctions Ordered:	Monetary/Fine $2,500.00
Other Sanctions Ordered:	SEE RESPONSE TO QUESTION 2 ABOVE.
Sanction Details:	MSI PAID IN FULL THE $2500.00 ADMINISTRATIVE PENALTY AND $250.00 TO DEFRAY THE STATE'S INVESTIGATIVE COSTS ON OR ABOUT MARCH 17,

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	1994.
Firm Statement	MSI SETTLED THE MATTER WITHOUT ADMITTING OR DENYING ALLEGATIONS.

Disclosure 39 of 40

Reporting Source:	Regulator
Current Status:	Final
Allegations:	POOLE MADE SALES TO ALABAMA RESIDENTS PRIOR TO BEING REGISTERED IN THIS STATE.
Initiated By:	AL
Date Initiated:	10/20/1993
Docket/Case Number:	C0-93-0058
URL for Regulatory Action:	
Principal Product Type:	
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	10/20/1993
Sanctions Ordered:	
Other Sanctions Ordered:	
Sanction Details:	CONSENT ORDER SENT.
Regulator Statement	SEE ALLEGATIONS

Reporting Source:	Firm
Current Status:	Final
Allegations:	AGENT HAD PASSED APPROPRIATE EXAMINATION BUT STATE APPROVAL HAD NOT BEEN OBTAINED.
Initiated By:	STATE OF ALABAMA, ALABAMA SECURITIES COMMISSION

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Date Initiated:	10/20/1993
Docket/Case Number:	CO-93-0058
Principal Product Type:	Mutual Fund(s)
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	MSI WAS ASSESSED A CIVIL AND ADMINISTRATIVE PENALTY/FINE OF $3000.00 AND $750.00 FOR THE REIMBURSEMENT OF STATE INVESTIGATION COSTS.
Resolution:	Consent
Resolution Date:	10/20/1993
Sanctions Ordered:	Monetary/Fine $3,000.00
Other Sanctions Ordered:	SEE RESPONSE TO QUESTION 2 ABOVE.
Sanction Details:	MSI PAID IN FULL THE $3000.00 ASSESSMENT AND THE $750.00 TO DEFRAY THE STATE'S INVESTIGATIVE COSTS ON OR ABOUT NOVEMBER 20, 1993.
Firm Statement	AGENT HAD PASSED APPROPRIATE EXAMINATION. STATE APPROVAL HAD NOT BEEN OBTAINED. AGENT MISTAKENLY THOUGHT SHE WAS PROPERLY LICENSED. AFTER THE PROCEEDING, THE AGENT WAS NOT PERMITTED TO SELL UNTIL SHE BECAME PROPERLY LICENSED.

Disclosure 40 of 40

Reporting Source:	Regulator
Current Status:	Final
Allegations:	ALLEGES THAT FIRM VIOLATED THE VIRGINIA SECURITIES ACT RULES 303 D.1, 303 D.3, 304 A.2 AND 305 A.3. BY FAILING TO EXERCISE DILIGENT SUPERVISION OVER THE SECURITIES ACTIVITIES OF ITS AGENT, FAILING TO MAINTAIN A CURRENT RECORD OF CUSTOMER INVESTMENT OBJECTIVES AND ALLOWING THE RECOMMENDATION TO A CUSTOMER THE PURCHASE OR SALE OF A SECURITY WITHOUT REASONABLE GROUND TO BELIEVE SUCH RECOMMENDATION TO BE SUITABLE.
Initiated By:	VIRGINIA - STATE CORPORATION COMMISSION DIVISION OF SECURITIES
Date Initiated:	02/12/1993

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Docket/Case Number:	SEC930002
URL for Regulatory Action:	
Principal Product Type:	
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	04/21/1993
Sanctions Ordered:	
Other Sanctions Ordered:	
Sanction Details:	ENTERED INTO AN ORDER, WITHOUT ADMITTING OR DENYING ALLEGATIONS, DEFENDANT AGREED TO OFFER RECISSION AND RESTITUTION TO THE VIRGINIA RESIDENT INVOLVED AND REIMBURSEMENT OF THE COSTS OF INVESTIGATION IN THE AMOUNT OF $750.00.
Regulator Statement	CONTACT HAZEL CHEATHAM, SENIOR BROKER-DEALER EXAMINER, 804-371-2685.

Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT METLIFE SECURITIES, INC. ("MSI") FAILED TO EXERCISE DILIGENT SUPERVISION, FAILED TO MAINTAIN AND KEEP CERTAIN RECORDS AND RECOMMENDED THE PURCHASE OF A SECURITY WITHOUT REASONABLE BASIS IN CONNECTION WITH THE SALE OF $85,000.00 WORTH OF HIGH YIELD MUTUAL FUND SHARES TO VIRGINIA RESIDENT.
Initiated By:	COMMONWEALTH OF VIRGINIA, EX REL. STATE CORPORATION COMMISSION
Date Initiated:	02/09/1993
Docket/Case Number:	CASE NO. SEC 930002
Principal Product Type:	Mutual Fund(s)

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Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Restitution
Other Sanction(s)/Relief Sought:	
Resolution:	Settled
Resolution Date:	04/21/1993
Sanctions Ordered:	
Other Sanctions Ordered:	PURSUANT TO OFFER OF SETTLEMENT, MSI REFUNDED CONSIDERATION PAID BY THE VIRGINIA RESIDENT, TOGETHER WITH SIX PERCENT INTEREST, LESS INCOME RECEIVED OR THE SUBSTANTIAL EQUIVALENT IN DAMAGES FOR SHARES ALREADY REDEEMED. (TOTAL REFUND OF $113,275.00 MINUS THE AMOUNT DESCRIBED ABOVE CAUSED ADDITIONAL PAYMENTS OF $6,540.25 TO INVESTOR.) MSI ALSO PAID $750.00 TO THE STATE FOR COSTS OF THE INVESTIGATION.
Sanction Details:	MSI REFUNDED THE VIRGINIA RESIDENT IN FULL ON OR ABOUT FEBRUARY 9, 1993. MSI ALSO REIMBURSED THE STATE FOR THE COSTS OF THE INVESTIGATION.
Firm Statement	MSI SETTLED THIS MATTER WITHOUT ADMITTING OR DENYING THE ALLEGATIONS DESCRIBED IN QUESTION 7.

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Regulatory - Pending

This type of disclosure event may include a pending formal proceeding initiated by a regulatory authority (e.g., a state securities agency, self-regulatory organization, federal regulatory agency such as the Securities and Exchange Commission, foreign financial regulatory body) for alleged violations of investment-related rules or regulations.

Disclosure 1 of 1

Reporting Source:	Regulator
Current Status:	Pending
Allegations:	DURING THE COURSE OF THE INVESTIGATION REGARDING AN ALABAMA REGISTERED REPRESENTATIVE, INFORMATION WAS OBTAINED THAT A NUMBER OF ALABAMA RESIDENTS HAD PURCHASED VARIABLE LIFE INSURANCE POLICIES THROUGH METLIFE. LATER THIS SAME REPRESENTATIVE, WHILE EMPLOYED WITH PRUCO, HAD THESE ALABAMA INVESTORS TRANSFER THE SAME PRODUCT TO A PRUCO ACCOUNT. LATER, THE REPRESENTATIVE HAD THESE SAME INVESTORS DUMP THEIR PRUCO PRODUCT AND INVEST IN HIS "HEDGE FUND." A CRD DATABASE REVIEW SHOWED 12 COMPLAINTS THROUGH BOTH METLIFE AND PRUCO. IN 2012, BAGWELL, WHILE ACTING AS THE REPRESENTATIVE'S SUPERVISOR, INVESTED IN THE REPRESENTATIVE'S "HEDGE FUND" WITH NOTIFYING PRUCO OF THE OUTSIDE BUSINESS ACTIVITY. A NOTICE OF THE RIGHT TO A HEARING WAS ATTACHED AS PART OF THE ORDER FOR THE RESPONDENTS TO RESPOND TO THE COMMISSION WITHIN 28 DAYS OF RECEIVING THE ORDER.
Initiated By:	ALABAMA SECURITIES COMMISSION
Date Initiated:	11/05/2015
Docket/Case Number:	SC 2015-0023
URL for Regulatory Action:	
Principal Product Type:	Other
Other Product Type(s):	VARIABLE LIFE INS & HEDGE FUND INVESTMENT
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	SHOW CAUSE ORDER
Regulator Statement	CONTACT SA RANDY JONES AT 334-242-2984 FOR FURTHER INFORMATION.

Reporting Source:	Firm
Current Status:	Pending

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Allegations:	DURING THE COURSE OF THE INVESTIGATION REGARDING AN ALABAMA REGISTERED REPRESENTATIVE, INFORMATION WAS OBTAINED THAT A NUMBER OF ALABAMA RESIDENTS HAD PURCHASED VARIABLE LIFE INSURANCE POLICIES THROUGH METLIFE. LATER THIS SAME REPRESENTATIVE, WHILE EMPLOYED WITH PRUCO, HAD THESE ALABAMA INVESTORS TRANSFER THE SAME PRODUCT TO A PRUCO ACCOUNT. LATER, THE REPRESENTATIVE HAD THESE SAME INVESTORS DUMP THEIR PRUCO PRODUCT AND INVEST IN HIS "HEDGE FUND." A CRD DATABASE REVIEW SHOWED 12 COMPLAINTS THROUGH BOTH METLIFE AND PRUCO. IN 2012, BAGWELL, WHILE ACTING AS THE REPRESENTATIVE'S SUPERVISOR, INVESTED IN THE REPRESENTATIVE'S "HEDGE FUND" WITH NOTIFYING PRUCO OF THE OUTSIDE BUSINESS ACTIVITY. A NOTICE OF THE RIGHT TO A HEARING WAS ATTACHED AS PART OF THE ORDER FOR THE RESPONDENTS TO RESPOND TO THE COMMISSION WITHIN 28 DAYS OF RECEIVING THE ORDER.
Initiated By:	STATE OF ALABAMA, ALABAMA SECURITIES COMMISSION
Date Initiated:	11/05/2015
Docket/Case Number:	SC-2015-0023
Principal Product Type:	Options
Other Product Type(s):	VARIABLE LIFE INSURANCE AND HEDGE FUND INVESTMENT
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	SHOW CAUSE ORDER
Firm Statement	THE STATE OF ALABAMA ALLEGES THAT METLIFE FAILED TO EXERCISE DILIGENT SUPERVISION OVER THE SECURITIES ACTIVITIES OF ITS ASSOCIATED PERSON, AND FAILED TO ESTABLISH, MAINTAIN OR ENFORCE WRITTEN PROCEDURES. METLIFE IS RESPONDING TO THE STATE'S ALLEGATIONS.

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Civil - Final

This type of disclosure event involves (1) an injunction issued by a foreign or domestic court within the last 10 years in connection with investment-related activity, (2) a finding by a court of a violation of any investment-related statute or regulation, or (3) an action dismissed by a court pursuant to a settlement agreement.

Disclosure 1 of 1

Reporting Source:	Firm
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT A FORMER CONTROL AFFILIATE OF THE APPLICANT WAS NEGLIGENT AND ALLOWED AN AGENT OF THE AFFILIATE TO ENGAGE IN MISREPRESENTATIONS AND FRAUDULENT BEHAVIOR.
Initiated By:	PRIVATE PLAINTIFF - ROBERT HARTSHORNE V METLIFE, INC., ET AL
Court Details:	LOS ANGELES COUNTY SUPERIOR COURT - CENTRAL CIVIL WEST CASE NO. BC576608
Date Court Action Filed:	07/12/2016
Principal Product Type:	No Product
Other Product Types:	
Relief Sought:	Money Damages (Private/Civil Complaint)
Other Relief Sought:	
Resolution:	Judgment Rendered
Resolution Date:	09/28/2016
Sanctions Ordered or Relief Granted:	Monetary/Fine $2,500,000.00
Other Sanctions:	
Sanction Details:	PLAINTIFF CHRISTINE RAMIREZ SHALL RECOVER IN ECONOMIC DAMAGES AGAINST METLIFE SECURITIES, INC., IN THE AMOUNT OF $239,890.36, ON CAUSES OF ACTION ONE, TWO, THREE AND FIVE, AND IN ADDITION, SHALL RECOVER PREJUDGMENT INTEREST ON SUCH ECONOMIC DAMAGES CALCULATED IN THE AMOUNT OF 7% INTEREST FROM MARCH 4, 2009 TO THE DATE OF ENTRY OF JUDGMENT. IN ADDITION TO THE ABOVE AMOUNTS, PLAINTIFF CHRISTINE RAMIREZ SHALL RECOVER REASONABLE ATTORNEYS' FEES AGAINST METLIFE SECURITIES, INC.
Firm Statement	IT WAS ALLEGED THAT A FORMER CONTROL AFFILIATE OF THE APPLICANT WAS NEGLIGENT AND ALLOWED AN AGENT OF THE AFFILIATE TO ENGAGE IN MISREPRESENTATIONS AND FRAUDULENT BEHAVIOR. THE COURT FOUND THAT A FORMER CONTROL AFFILIATE OF THE APPLICANT WAS NEGLIGENT AND ALLOWED AN AGENT OF THE AFFILIATE TO ENGAGE IN

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MISREPRESENTATIONS AND FRAUDULENT BEHAVIOR. THE COURT FOUND THE FORMER CONTROL AFFILIATE OF THE APPLICANT WAS AWARE OF THE REPRESENTATIVE'S ALLEGED UNFITNESS AND EMPLOYED HIM WITH A KNOWING DISREGARD OF THE RIGHT OR SAFETY OF OTHERS, AND THAT THE FORMER CONTROL AFFILIATE OF THE APPLICANT ALLEGEDLY KNEW OF THE REPRESENTATIVE'S CONDUCT CONSTITUTING MALICE, OPPRESSION OR FRAUD AND ADOPTED OR APPROVED THAT CONDUCT AFTER IT OCCURRED. THE COURT FOUND THAT THE FORMER CONTROL AFFILIATE WAS RESPONSIBLE FOR 7.5% OF THE ACTIONS AND AWARDED THE FOLLOWING SHARE OF DAMAGES TO THE PLAINTIFF FROM THE FORMER CONTROL AFFILIATE: $239,890.36 IN ECONOMIC DAMAGES, PREJUDGMENT INTEREST OF 7% FROM MARCH 4, 2009 TO DATE OF JUDGMENT, AND PUNITIVE DAMAGES OF $2.5 MILLION. ADDITIONALLY, THE PLAINTIFF SHALL RECOVER REASONABLE ATTORNEYS' FEES AND COSTS.

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Arbitration Award - Award / Judgment

Brokerage firms are not required to report arbitration claims filed against them by customers; however, BrokerCheck provides summary information regarding FINRA arbitration awards involving securities and commodities disputes between public customers and registered securities firms in this section of the report.
The full text of arbitration awards issued by FINRA is available at www.finra.org/awardsonline.

Disclosure 1 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-BRCH OF FIDUCIARY DT; ACCOUNT ACTIVITY-SUITABILITY; ACCOUNT RELATED-BREACH OF CONTRACT; ACCOUNT RELATED-NEGLIGENCE
Arbitration Forum:	NASD
Case Initiated:	12/05/2000
Case Number:	00-05072
Disputed Product Type:	COMMON STOCK; NO OTHER TYPE OF SEC INVOLVE
Sum of All Relief Requested:	$207,500.02
Disposition:	AWARD AGAINST PARTY
Disposition Date:	03/19/2002
Sum of All Relief Awarded:	$84,718.44

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 2 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-MANIPULATION; ACCOUNT ACTIVITY-MISREPRESENTATION; ACCOUNT RELATED-BREACH OF CONTRACT; ACCOUNT RELATED-NEGLIGENCE
Arbitration Forum:	NASD
Case Initiated:	04/04/2003
Case Number:	03-02252

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Disputed Product Type:	NO OTHER TYPE OF SEC INVOLVE; MUTUAL FUNDS
Sum of All Relief Requested:	$875,000.00
Disposition:	AWARD AGAINST PARTY
Disposition Date:	07/14/2004
Sum of All Relief Awarded:	$145,000.00

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 3 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-BRCH OF FIDUCIARY DT; ACCOUNT ACTIVITY-MISREPRESENTATION; ACCOUNT ACTIVITY-SUITABILITY; ACCOUNT RELATED-FAILURE TO SUPERVISE
Arbitration Forum:	NASD
Case Initiated:	10/08/2003
Case Number:	03-06177
Disputed Product Type:	ANNUITIES; NO OTHER TYPE OF SEC INVOLVE; MUTUAL FUNDS
Sum of All Relief Requested:	$91,105.00
Disposition:	AWARD AGAINST PARTY
Disposition Date:	12/08/2004
Sum of All Relief Awarded:	$15,081.00

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 4 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-OMISSION OF FACTS; NO OTHER CONTROVERSY INVOLVED
Arbitration Forum:	NASD

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Case Initiated:	12/09/2005
Case Number:	05-04861
Disputed Product Type:	NO OTHER TYPE OF SEC INVOLVE; UNKNOWN TYPE OF SECURITIES
Sum of All Relief Requested:	$21,848.72
Disposition:	AWARD AGAINST PARTY
Disposition Date:	06/01/2006
Sum of All Relief Awarded:	$21,959.04

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 5 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-BRCH OF FIDUCIARY DT; ACCOUNT ACTIVITY-SUITABILITY; ACCOUNT RELATED-NEGLIGENCE; NO OTHER CONTROVERSY INVOLVED
Arbitration Forum:	NASD
Case Initiated:	03/09/2006
Case Number:	06-00227
Disputed Product Type:	NO OTHER TYPE OF SEC INVOLVE; UNKNOWN TYPE OF SECURITIES
Sum of All Relief Requested:	Unspecified Damages
Disposition:	AWARD AGAINST PARTY
Disposition Date:	06/04/2007
Sum of All Relief Awarded:	$105,000.00

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 6 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-MISREPRESENTATION; ACCOUNT ACTIVITY-SUITABILITY; ACCOUNT RELATED-FAILURE TO SUPERVISE; ACCOUNT

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	RELATED-NEGLIGENCE
Arbitration Forum:	NASD
Case Initiated:	04/30/2007
Case Number:	07-01276
Disputed Product Type:	NO OTHER TYPE OF SEC INVOLVE; MUTUAL FUNDS
Sum of All Relief Requested:	$223,924.36
Disposition:	AWARD AGAINST PARTY
Disposition Date:	02/26/2008
Sum of All Relief Awarded:	$21,500.00

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 7 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-BRCH OF FIDUCIARY DT; ACCOUNT ACTIVITY-MISREPRESENTATION; ACCOUNT RELATED-BREACH OF CONTRACT; ACCOUNT RELATED-NEGLIGENCE
Arbitration Forum:	FINRA
Case Initiated:	02/10/2009
Case Number:	09-00612
Disputed Product Type:	NO OTHER TYPE OF SEC INVOLVE; VARIABLE ANNUITIES
Sum of All Relief Requested:	$500,000.00
Disposition:	AWARD AGAINST PARTY
Disposition Date:	03/24/2010
Sum of All Relief Awarded:	$250,000.00

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 8 of 13

Reporting Source:	Regulator

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Type of Event:	ARBITRATION
Allegations:	
Arbitration Forum:	FINRA
Case Initiated:	10/29/2009
Case Number:	09-05483
Disputed Product Type:	
Sum of All Relief Requested:	$25,000.00
Disposition:	AWARD AGAINST PARTY
Disposition Date:	06/24/2010
Sum of All Relief Awarded:	$5,212.50

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 9 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-MISREPRESENTATION; ACCOUNT ACTIVITY-OMISSION OF FACTS; ACCOUNT ACTIVITY-SUITABILITY; ACCOUNT RELATED-FAILURE TO SUPERVISE; ACCOUNT RELATED-NEGLIGENCE; ACCOUNT RELATED-TRANSFER
Arbitration Forum:	FINRA
Case Initiated:	11/12/2010
Case Number:	10-04428
Disputed Product Type:	MUTUAL FUNDS
Sum of All Relief Requested:	$24,000.00
Disposition:	AWARD AGAINST PARTY
Disposition Date:	04/28/2011
Sum of All Relief Awarded:	$802.49

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

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Disclosure 10 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-BRCH OF FIDUCIARY DT; ACCOUNT ACTIVITY-MISREPRESENTATION; ACCOUNT ACTIVITY-OMISSION OF FACTS; ACCOUNT ACTIVITY-OTHER; ACCOUNT ACTIVITY-SUITABILITY; ACCOUNT RELATED-BREACH OF CONTRACT; ACCOUNT RELATED-FAILURE TO SUPERVISE; ACCOUNT RELATED-NEGLIGENCE; ACCOUNT RELATED-OTHER
Arbitration Forum:	FINRA
Case Initiated:	08/08/2014
Case Number:	14-02160
Disputed Product Type:	ANNUITIES; VARIABLE ANNUITIES
Sum of All Relief Requested:	$50,000.00
Disposition:	AWARD AGAINST PARTY
Disposition Date:	03/23/2015
Sum of All Relief Awarded:	$45,129.33

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 11 of 13

Reporting Source:	Regulator
Type of Event:	ARBITRATION
Allegations:	ACCOUNT ACTIVITY-CHURNING; ACCOUNT ACTIVITY-MISREPRESENTATION; ACCOUNT ACTIVITY-SUITABILITY; NO OTHER CONTROVERSY INVOLVED
Arbitration Forum:	NASD
Case Initiated:	03/28/1991
Case Number:	91-00496
Disputed Product Type:	NO OTHER TYPE OF SEC INVOLVE; OPTIONS
Sum of All Relief Requested:	$45,000.00
Disposition:	AWARD AGAINST PARTY

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Disposition Date: 01/10/1992

Sum of All Relief Awarded: $20,000.00

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 12 of 13

Reporting Source: Regulator

Type of Event: ARBITRATION

Allegations: ACCOUNT ACTIVITY-BRCH OF FIDUCIARY DT; ACCOUNT ACTIVITY-MISREPRESENTATION; ACCOUNT ACTIVITY-SUITABILITY; NO OTHER CONTROVERSY INVOLVED

Arbitration Forum: NASD

Case Initiated: 06/04/1991

Case Number: 91-01457

Disputed Product Type: NO OTHER TYPE OF SEC INVOLVE; OTHER TYPES OF SECURITIES

Sum of All Relief Requested: $10,000.00

Disposition: AWARD AGAINST PARTY

Disposition Date: 04/09/1992

Sum of All Relief Awarded: $10,688.00

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

Disclosure 13 of 13

Reporting Source: Regulator

Type of Event: ARBITRATION

Allegations: ACCOUNT ACTIVITY-BRCH OF FIDUCIARY DT; ACCOUNT ACTIVITY-SUITABILITY; ACCOUNT RELATED-BREACH OF CONTRACT; ACCOUNT RELATED-FAILURE TO SUPERVISE

Arbitration Forum: NASD

Case Initiated: 04/07/1997

Case Number: 97-01656

Disputed Product Type: NO OTHER TYPE OF SEC INVOLVE; UNKNOWN TYPE OF SECURITIES

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Sum of All Relief Requested:	$50,000.00
Disposition:	AWARD AGAINST PARTY
Disposition Date:	10/29/1997
Sum of All Relief Awarded:	$63,228.46

There may be a non-monetary award associated with this arbitration.
Please select the Case Number above to view more detailed information.

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Civil Bond

This type of disclosure event involves a civil bond for the brokerage firm that has been denied, paid, or revoked by a bonding company.

Disclosure 1 of 2

Reporting Source:	Firm
Policy Holder:	MML INVESTORS SERVICES, INC.
Bonding Company Name:	NATIONAL FIRE INSURANCE CO. OF PITTSBURGH
Disposition:	Payout
Disposition Date:	12/12/1991
Payout Details:	BONDING COMPANY PAID $240,062.59 TO APPLICANT
Firm Statement	NATIONAL FIRE INSURANCE CO. OF PITISBURGH, FIDELITY BOND CLAIM #004364. REGISTERED REPRESENTATIVE TED R. STARLING, CRD #1025892, FRAUDULENTLY CONVERTED APPROXIMATELY $265,000 OF CUSTOMER FUNDS TO HIS OWN USE. THERE WERE NO ALLEGATIONS AGAINST MML INVESTORS SERVICES, INC. MML INVESTORS SERVICES, INC. SOUGHT RECOVERY OF THESE LOSSES FROM ITS FIDELITY BOND CARRIER.

Disclosure 2 of 2

Reporting Source:	Firm
Policy Holder:	MML INVESTORS SERVICES, INC.
Bonding Company Name:	FEDERAL INSURANCE COMPANY
Disposition:	Denied
Disposition Date:	01/01/1984
Firm Statement	IN 1984, FEDERAL INSURANCE COMPANY DENIED RENEWAL OF REGISTRANT'S BROKERS BOND AND REGISTRANT'S DEALER BONDS POSTED FOR THE FOLLOWING STATES: VERMONT, ALASKA, ARIZONA, IDAHO, SOUTH CAROLINA, HAWAII, NEW MEXICO, OREGON, NORTH DAKOTA, MAINE AND MISSISSIPPI. WE UNDERSTAND THAT FEDERAL INSURANCE COMPANY IMPLEMENTED A POLICY OF NO LONGER WRITING SUCH BONDS FOR FINANCIAL INSTITUTIONS SUCH AS REGISTRANT.

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Disclosure Events for Non-Registered Control Affiliates

All firms registered to sell securities or provide investment advice are required to disclose regulatory actions, criminal or civil judicial proceedings, and certain financial matters in which the firm or one of its control affiliates has been involved. For your convenience, below is a matrix of the number and status of disclosure events involving this brokerage firm or one of its control affiliates. Further information regarding these events can be found in the subsequent pages of this report.

	Pending	Final	On Appeal
Regulatory Event	0	34	0

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Disclosure Event Details

Regulatory - Final

Disclosure 1 of 34

Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	HUD ALLEGED THAT MASSMUTUAL FAILED TO SUBMIT (I) AUDITED FINANCIAL STATEMENTS AND SUPPLEMENTARY REPORTS; (II) THE ANNUAL RECERTIFICATION FEE; (III) THE CALL REPORTS; AND (IV) THE ONLINE CERTIFICATION (COLLECTIVELY, THE "ANNUAL RECERTIFICATION REQUIREMENTS") WITHIN 90 DAYS OF THE CLOSE OF ITS FISCAL YEAR ENDING DECEMBER 2012. HUD REQUIRES THIS DOCUMENTATION AS A CONDITION OF CONTINUED PARTICIPATION IN HUD'S FEDERAL HOUSING ADMINISTRATION ("FHA") TITLE II SINGLE FAMILY MORTGAGE INSURANCE PROGRAM.
Initiated By:	THE UNITED STATES DEPARTMENT OF HOUSING AND URBAN DEVELOPMENT ("HUD") .
Date Initiated:	10/17/2013
Docket/Case Number:	14-1726-MRT
Principal Product Type:	Other
Other Product Type(s):	REAL ESTATE
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	MASSACHUSETIS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL") AGREED TO PAY A CIVIL MONEY PENALTY OF $7,500 FOR FAILING TO COMPLY WITH HUD-FHA'S ANNUAL RECERTIFICATION REQUIREMENTS WITH RESPECT TO FISCAL YEAR ENDING DECEMBER 2012.
Resolution:	Settled
Resolution Date:	11/17/2014
Sanctions Ordered:	Monetary/Fine $7,500.00
Other Sanctions Ordered:	UNDER THE SETTLEMENT AGREEMENT, MASSMUTUAL AGREED TO SUBMIT THE ANNUAL RECERTIFICATION REQUIREMENTS AS DESCRIBED ABOVE AND PAY THE $7,500 CIVIL MONEY PENALTY IN ORDER TO REINSTATE ITS FHA APPROVAL TO PARTICIPATE IN THE TITLE II SINGLE FAMILY MORTGAGE INSURANCE PROGRAM.

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Sanction Details:	MASSMUTUAL SUBMITTED THE REQUIRED DOCUMENTATION AND PAID A $7,500 CIVIL MONETARY PENALTY. $7,500 WAS PAID ON SEPTEMBER 22, 2014.
Firm Statement	HUD'S MORTGAGE REVIEW BOARD ISSUED A NOTICE OF VIOLATION AND A NOTICE OF INTENT TO SEEK CIVIL MONEY PENALTIES INFORMING MASSMUTUAL OF HUD'S INTENT TO TAKE AN ADMINISTRATIVE ACTION OR IMPOSE CIVIL MONEY PENALTIES PURSUANT TO 12 U.S.C. § 1708 AND 1735F-14, AND 24 C.F.R. PARTS 25 AND 30, ON THE BASIS OF MASSMUTUAL'S FAILURE TO COMPLY WITH HUD-FHA'S ANNUAL CERTIFICATION REQUIREMENTS WITH RESPECT TO FISCAL YEAR ENDING DECEMBER 2012. THE BOARD THEN ISSUED A NOTICE OF ADMINISTRATIVE ACTION WITHDRAWING MASSMUTUAL'S FHA APPROVAL. MASSMUTUAL HAS SINCE SUBMITTED THE REQUIRED DOCUMENTATION AND PAID A $7,500 CIVIL MONETARY PENALTY. THE MORTGAGE REVIEW BOARD HAS RESCINDED THE NOTICE OF ADMINISTRATIVE ACTION AND REINSTATED MASSMUTUAL AS AN APPROVED TITLE II MORTGAGEE. ON NOVEMBER 17, 2014, AN ADMINISTRATIVE LAW JUDGE WITH HUD'S OFFICE OF HEARINGS AND APPEALS DISMISSED THE MATTER, WITH PREJUDICE.

Disclosure 2 of 34

Reporting Source:	Firm
Affiliate:	MML INSURANCE AGENCY, INC.
Current Status:	Final
Allegations:	MML INSURANCE AGENCY, INC., A SUBSIDIARY OF MML INVESTORS SERVICES, INC., DID NOT FILE AN ANNUAL REPORT BY THE REQUIRED DATE. THE ANNUAL REPORT WAS REQUIRED EVEN THOUGH MML INSURANCE AGENCY, INC. CONDUCTED NO BUSINESS IN PUERTO RICO FOR THE FILING TIME PERIOD.
Initiated By:	COMMISSIONER OF INSURANCE OF PUERTO RICO
Date Initiated:	05/25/2005
Docket/Case Number:	L-2005-86
Principal Product Type:	Insurance
Other Product Type(s):	ANNUITIES
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	

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Resolution:	Order
Resolution Date:	10/21/2005
Sanctions Ordered:	Monetary/Fine $500.00
Other Sanctions Ordered:	
Sanction Details:	MML INSURANCE AGENCY, INC. PAID THE $500 FINE ON OCTOBER 10, 2005.
Firm Statement	THE COMMISSIONER OF INSURANCE OF PUERTO RICO FOUND THAT MML INSURANCE AGENCY, INC., VIOLATED SECTION 9.370 OF THE INSURANCE CODE OF PUERTO RICO, SECTION 2 OF RULE XV OF THE REGULATIONS OF THE INSURANCE CODE OF PUERTO RICO, AND RULING LETTER NUMBER N-ES-50-2204 BY NOT FILING THE ANNUAL REPORT AND ORDERED PAYMENT OF A $500 FINE.

Disclosure 3 of 34

Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT MASSACHUSETIS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL"), IN CERTAIN INSTANCES, VIOLATED THE PROVISIONS OF SECTION 38.2-610 OF THE CODE OF VIRGINIA, BY FAILING TO PROVIDE APPLICANTS FOR INSURANCE WITH WRITIEN NOTICE OF AN ADVERSE UNDERWRITING DECISION IN THE FORM APPROVED BY THE STATE CORPORATION COMMISSION.
Initiated By:	COMMONWEALTH OF VIRGINIA STATE CORPORATION COMMISSION
Date Initiated:	07/21/2003
Docket/Case Number:	CASE NO. INS-2003-00159
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Cease and Desist
Other Sanction(s)/Relief Sought:	
Resolution:	Decision & Order of Offer of Settlement
Resolution Date:	08/14/2003

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Sanctions Ordered:	Monetary/Fine $15,000.00
Other Sanctions Ordered:	MASSMUTUAL WAS ORDERED TO CEASE AND DESIST FROM ANY CONDUCT WHICH CONSTITUTES A VIOLATION OF SECTION 38.2-610 OF THE CODE OF VIRGINIA.
Sanction Details:	THE STATE CORPORATION COMMISSION OF VIRGINIA ACCEPTED MASSMUTUAL'S OFFER OF SETILEMENT AND PAYMENT OF $15,000. MASSMUTUAL AGREED TO CEASE AND DESIST FROM VIOLATIONS OF SECTION 38.2-610 OF THE CODE OF VIRGINIA AND WAIVED ITS RIGHT TO A HEARING. THE SETILEMENT AMOUNT OF $15,000 WAS SENT TO THE TREASURER OF VIRGINIA ON AUGUST 7, 2003. (COMMONWEALTH OF VIRGINIA AT THE RELATION OF THE STATE CORPORATION COMMISSION V. MASSMUTUAL LIFE INSURANCE COMPANY, DEFENDANT.
Firm Statement	THE STATE CORPORATION COMMISSION OF THE COMMONWEALTH OF VIRGINIA ISSUED A SETTLEMENT ORDER ON AUGUST 14, 2003, RELATING TO ALLEGATIONS THAT MASSMUTUAL VIOLATED SECTION 38.2-610 OF THE CODE OF VIRGINIA ("CODE"), FOR FAILING TO GIVE APPLICANTS WRITTEN NOTICE OF ADVERSE UNDERWRITING DECISIONS IN THE FORM APPROVED BY THE COMMISSION. MASSMUTUAL AGREED TO CEASE AND DESIST FROM CONDUCT VIOLATING CODE SECTION 38.2-610 AND WAIVED ITS RIGHT TO A HEARING. THE COMMISSION ACCEPTED MASSMUTUAL'S OFFER IN SETTLEMENT OF $15,000, WHICH MASSMUTUAL SENT TO THE TREASURER OF VIRGINIA ON AUGUST 7, 2003. MASSMUTUAL ACKNOWLEDGED IT HAD CHANGED ITS PROCEDURES TO ENSURE FUTURE COMPLIANCE WITH CODE SECTION 38.2-610.

Disclosure 4 of 34

Reporting Source:	Firm
Affiliate:	CM ASSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT CM ASSURANCE COMPANY (A CONNECTICUT INSURER WHICH IS A SUBSIDIARY OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL")), VIOLATED CERTAIN STATUTES AND REGULATIONS BY FILING THE STATE PAGE FOR THE CALENDAR YEAR 2000 AFTER THE FILING DUE DATE.
Initiated By:	OREGON DEPT. OF CONSUMER AND BUSINESS SERVICES, INS. DIV.
Date Initiated:	03/15/2001
Docket/Case Number:	CASE NO. INS 01-09-025, FILE NO. 305167

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Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	11/12/2001
Sanctions Ordered:	Monetary/Fine $500.00
Other Sanctions Ordered:	
Sanction Details:	THE STATE OF OREGON DEPARTMENT OF CONSUMER AND BUSINESS SERVICES, INSURANCE DIVISION ORDERED CM ASSURANCE COMPANY TO PAY A $500.00 FINE FOR FAILURE TO TIMELY FILE WITH THE DIRECTOR, A STATE PAGE FOR THE CALENDAR YEAR 2000. CM ASSURANCE COMPANY PAID THE $500.00 FINE AS OF NOVEMBER 12, 2001.
Firm Statement	CM ASSURANCE COMPANY PAID THE $500.00 FINE FOR FAILURE TO TIMELY FILE A STATE PAGE WITH THE DIRECTOR FOR THE CALENDAR YEAR 2000 AS OF NOVEMBER 12, 2001. THIS MATTER IS FINAL.

Disclosure 5 of 34

Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT MASSACHUSETIS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL") VIOL/\TED CERTAIN STATUTES AND REGULATIONS BY FAILING TO CERTIFY AN AGENT'S APPOINTMENT TO REPRESENT MASSMUTUAL, C.M. LIFE INSURANCE COMPANY AND MML BAY STATE LIFE INSURANCE COMPANY WITHIN 30 WORKING DAYS OF APPOINTMENT.
Initiated By:	KANSAS INSURANCE DEPARTMENT
Date Initiated:	03/21/2002
Docket/Case Number:	NONE
Principal Product Type:	Insurance
Other Product Type(s):	

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Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Other
Resolution Date:	06/05/2002
Sanctions Ordered:	Monetary/Fine $250.00
Other Sanctions Ordered:	
Sanction Details:	THE KANSAS INSURANCE DEPARTMENT IMPOSED A FINE OF $250.00 ON MASSMUTUAL FOR PROVIDING IMPROPER NOTICE OF THE APPOINTMENT OF AN AGENT FOR MASSMUTUAL, C.M. LIFE INSURANCE COMPANY AND MML BAY STATE LIFE INSURANCE COMPANY DUE TO A CLERICAL ERROR. MASSMUTUAL TOOK STEPS TO VERIFY THAT NO BUSINESS TRANSACTIONS HAD TAKEN PLACE, TERMINATED THE APPOINTMENT PENDING THE DEPARTMENT'S RESPONSE AND INITIATED RETRAINING ON THE APPOINTMENT PROCEDURES.
Firm Statement	MASSMUTUAL PAID THE FINE OF $250.00 FOR IMPROPERLY NOTIFYING THE KANSAS INSURANCE DEPARTMENT OF AN AGENT'S APPOINTMENT DUE TO A CLERICAL ERROR AS OF JUNE 5, 2002. THIS MATTER IS FINAL.

Disclosure 6 of 34

Reporting Source:	Firm
Affiliate:	MML BAY STATE LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT MML BAY STATE LIFE INSURANCE COMPANY VIOLATED CERTAIN STATUTES AND REGULATIONS BY ALLOWING ONE OF ITS AGENTS TO SOLICIT BUSINESS IN THE STATE OF WISCONSIN PRIOR TO PROPERLY LISTING THE AGENT WITH THE OFFICE OF THE COMMISSIONER OF INSURANCE.
Initiated By:	STATE OF WISCONSIN/OFFICE OF THE COMMISSIONER OF INSURANCE
Date Initiated:	12/18/2000
Docket/Case Number:	CASE NO. 00-C26837
Principal Product Type:	Insurance
Other Product Type(s):	

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Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	CEASE AND DESIST ORDER
Resolution:	Order
Resolution Date:	01/08/2001
Sanctions Ordered:	Monetary/Fine $500.00
Other Sanctions Ordered:	
Sanction Details:	THE STATE OF WISCONSIN/OFFICE OF THE COMMISSIONER OF INSURANCE ORDERED MML BAY STATE LIFE INSURANCE COMPANY TO PAY A FORFEITURE OF $500.00 FOR ALLOWING AN AGENT TO SOLICIT AND SUBMIT INSURANCE APPLICATIONS PRIOR TO PROPERLY LISTING THE INDIVIDUAL WITH THE OFFICE OF THE COMMISSIONER OF INSURANCE. MML BAY STATE LIFE INSURANCE COMPANY PAID THE $500.00 FORFEITURE FOR UTILIZING AN IMPROPERLY LISTED AGENT AS OF JANUARY 8, 2001. THE MATTER IS FINAL.
Firm Statement	MML BAY STATE LIFE INSURANCE COMPANY PAID THE $500.00 FORFEITURE FOR UTILIZING AN IMPROPERLY LISTED AGENT AS OF JANUARY 8, 2001. THE MATTER IS FINAL.

Disclosure 7 of 34

Reporting Source:	Firm
Affiliate:	MASSCHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL") VIOLATED CERTAIN STATUTES AND REGULATIONS AS DESCRIBED IN A MARKET CONDUCT EXAMINATION CONDUCTED BY THE STATE OF CONNECTICUT INSURANCE DEPARTMENT DURING AN ON-SITE EXAMINATION COVERING THE TIME PERIOD OF JANUARY 1, 1999 THROUGH DECEMBER 31, 2000.
Initiated By:	STATE OF CONNECTICUT INSURANCE COMPANY
Date Initiated:	10/01/2001
Docket/Case Number:	DOCKET MC 01-55
Principal Product Type:	Insurance

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Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	10/03/2001
Sanctions Ordered:	Monetary/Fine $31,000.00
Other Sanctions Ordered:	MASSMUTUAL AGREED TO UNDERTAKE A COMPLETE REVIEW OF CERTAIN PRACTICES AND PROCEDURES IDENTIFIED IN THE MARKET CONDUCT REPORT ISSUED BY THE STATE OF CONNECTICUT INSURANCE DEPARTMENT TO ENSURE: (1) THAT NEW BUSINESS IS NOT ACCEPTED FROM NOR COMMISSIONS PAID TO AGENTS NOT PROPERLY LICENSED AND APPOINTED, (2) THAT ADVERTISING MATERIALS COMPLY WITH ALL REQUIRED DISCLOSURES AND, (3) THAT CLAIM RECORDS ARE MAINTAINED IN ACCORDANCE WITH REQUIRED HANDLING PROCEDURES. MASSMUTUAL ALSO AGREED TO PROVIDE A REPORT ON FINDINGS AND ACTIONS TAKEN WITHIN 90 DAYS OF THE DATE OF THE FINAL ORDER.
Sanction Details:	MASSMUTUAL PAID A FINE OF $31,000 TO THE STATE OF CONNECTICUT INSURANCE DEPARTMENT PURSUANT TO A COMPLAINT, STIPULATION AND FINAL ORDER DATED OCTOBER 3, 2001, RESULTING FROM A MARKET CONDUCT EXAMINATION FOR THE TIME PERIOD OF JANUARY 1, 1999 THROUGH DECEMBER 31, 2000. MASSMUTUAL SIGNED THE CERTIFICATION TO THE COMPLAINT, STIPULATION AND FINAL ORDER ON OCTOBER 3, 2001. (COMPLAINT, STIPULATION AND FINAL ORDER, DOCKET MC-01-55, OCTOBER 3, 2001).
Firm Statement	MASSMUTUAL PAID A FINE OF $31,000 TO THE STATE OF CONNECTICUT INSURANCE DEPARTMENT PURSUANT TO A COMPLAINT, STIPULATION AND FINAL ORDER DATED OCTOBER 3, 2001, ISSUED IN CONNECTION WITH A MARKET CONDUCT EXAMINATION COVERING THE TIME PERIOD OF DECEMBER 31, 1999 THROUGH JANUARY 31, 2000 AND CONCERNING VIOLATIONS OF CERTAIN STATUTES AND REGULATIONS. MASSMUTUAL SIGNED THE CERTIFICATION TO THE COMPLAINT, STIPULATION AND FINAL ORDER ON OCTOBER 1, 2001.

Disclosure 8 of 34

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT VIOLATIONS OF THE INSURANCE LAWS OF THE STATE OF NORTH CAROLINA WERE FOUND DURING A MARKET CONDUCT EXAMINATION OF MASSACHUSETIS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL") FOR THE TIME PERIOD OF JANUARY 1, 2002 THROUGH DECEMBER 31, 2002, WITH ANALYSES OF CERTAIN OPERATIONS OF MASSMUTUAL CONDUCTED THROUGH JANUARY 13, 2004.
Initiated By:	NORTH CAROLINA DEPARTMENT OF INSURANCE
Date Initiated:	01/03/2003
Docket/Case Number:	
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Settled
Resolution Date:	05/03/2005
Sanctions Ordered:	Monetary/Fine $97,000.00
Other Sanctions Ordered:	MASSMUTUAL ENTERED INTO A VOLUNTARY SETTLEMENT AGREEMENT, THAT HAS THE FULL FORCE AND EFFECT OF AN ORDER OF THE COMMISSIONER, WITH THE NORTH CAROLINA DEPARTMENT OF INSURANCE AND AGREED TO PAY, NO LATER THAN MAY 25, 2005, A $97,700 ASSESSMENT IMPOSED BY THE NORTH CAROLINA DEPARTMENT OF INSURANCE AS A RESULT OF REPORT ON THE MARKET CONDUCT EXAMINATION OF MASSMUTUAL.
Sanction Details:	MASSMUTUAL PAID THE MONETARY ASSESSMENT OF $97,700 BY MAY 25, 2005 FOR FINDING IN THE REPORT ON MARKET CONDUCT EXAMINATION OF MASSMUTUAL THAT MASSMUTUAL HAD FAILED TO COMPLY WITH STATUTORY AND REGULATORY REQUIREMENTS FOR INSURANCE COMPANIES IN NORTH

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	CAROLINA RELATIVE TO MARKETING AND UNDERWRITING. MASSMUTUAL AGREED TO COMPLY WITH ALL STATUTORY AND REGULATORY REQUIREMENTS FOR INSURANCE COMPANIES DOING BUSINESS IN NORTH CAROLINA.
Firm Statement	MASSMUTUAL PAID BY MAY 25, 2005, THE $97,700 MONETARY ASSESSMENT FOR FINDINGS IDENTIFIED IN THE REPORT ON MARKET CONDUCT EXAMINATION OF MASSMUTUAL CONDUCTED BY THE NORTH CAROLINA DEPARTMENT OF INSURANCE RELATIVE TO MARKETING AND UNDERWRITING. THE MATTER HAS BEEN RESOLVED.

Disclosure 9 of 34

Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED BY THE STATE OF NEVADA DIVISION OF INSURANCE THAT MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL") AND TWO OF ITS LIFE INSURANCE SUBSIDIARIES, MML BAY STATE LIFE INSURANCE COMPANY AND C.M. LIFE INSURANCE COMPANY FAILED TO TIMELY FILE REQUIRED ANNUAL COMPLAINT REPORTS ON OR BEFORE MARCH 1, 2000.
Initiated By:	STATE OF NEVADA DIVISION OF INSURANCE
Date Initiated:	06/15/2001
Docket/Case Number:	CAUSE NO. 01.302;01.494 AND 01.505
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Consent
Resolution Date:	09/27/2001
Sanctions Ordered:	Monetary/Fine $2,500.00
Other Sanctions Ordered:	MASSMUTUAL, MML BAY STATE LIFE INSURANCE COMPANY AND C.M. LIFE INSURANCE COMPANY WERE ORDERED TO PROVIDE THE ANNUAL COMPLAINT REPORT DUE MARCH 1, 2000 WITHIN 30 DAYS OF RECEIPT OF

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	THE ADMINISTRATIVE FINE AND CONSENT TO FINE.
Sanction Details:	MASSMUTUAL PAID A FINE OF $1000, MML BAY STATE LIFE INSURANCE COMPANY PAID A FINE OF $1000 AND C.M. LIFE INSURANCE COMPANY PAID A FINE OF $500 TO THE STATE OF NEVADA DIVISION OF INSURANCE, PURSUANT TO AN ADMINISTRATIVE FINE AND CONSENT TO FINE DATED JUNE 15, 2001, ISSUED TO EACH COMPANY FOR FAILURE TO TIMELY FILE REQUIRED ANNUAL COMPLAINT REPORTS DUE MARCH 1, 2000. MASSMUTUAL, MML BAY STATE LIFE INSURANCE COMPANY AND C.M. LIFE INSURANCE COMPANY FORWARDED PAYMENT OF THE TREE FINES TOTALLING $2500 TO THE STATE OF NEVADA DIVISION OF INSURANCE ON SEPTEMBER 27, 2001, ALONG WITH THREE CONSENTS TO FINE EXECUTED BY MASSMUTUAL, MML BAY STATE LIFE INSURANCE COMPANY AND C.M. LIFE INSURANCE COMPANY ON SEPTEMBER 27, 2001, (RE: ADMINISTRATIVE FINE AND CONSENT TO FINE FAILURE TO FILE ANNUAL COMPLAINT REPORT, CAUSE NO. 01.302; 01.494; AND 01.505).
Firm Statement	MASSMUTUAL, MML BAY STATE LIFE INSURANCE COMPANY AND C.M. LIFE INSURANCE COMPANY PAID FINES TOTALLING %2500 AS OF SEPTEMBER 27, 2001, TO THE STATE OF NEVADA DIVISION OF INSURANCE PURSUANT TO AN ADMINISTRATIVE FINE AND CONSENT TO FINE DATED JUNE 15, 2001, ISSUED TO EACH COMPANY, FOR FAILURE TO TIMELY FILE A REQUIRED ANNUAL COMPLAINT REPORT BY MARCH 1, 2000. EACH COMPANY EXECUTED A CONSENT TO FINE ON SEPTEMBER 27, 2001. EACH COMPANY ALSO FILED REQUIRED ANNUAL COMPLAINT REPORT.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED CERTAIN VIOLATIONS AS DESCRIBED IN A MARKET CONDUCT EXAMINATION OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY ("MASSMUUTAL") BY THE STATE OF COLORADO DIVISION OF INSURANCE RESULTING FROM AN ON-SITE EXAMINATION COVERING THE TIME PERIOD OF JANUARY 1, 2000 THROUGH DECEMBER 31, 2000.
Initiated By:	STATE OF COLORADO DIVISION OF INSURANCE
Date Initiated:	10/18/2001
Docket/Case Number:	FINAL AGENCY ORDER 0-02-125
Principal Product Type:	Insurance
Other Product Type(s):	

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Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	01/16/2002
Sanctions Ordered:	Monetary/Fine $1,000.00
Other Sanctions Ordered:	MASSMUTUAL WAS ORDERED TO REVIEW ITS RECORDS RETENTION PROCEDURES FOR FAILURE TO MAINTAIN ADEQUATE RECORDS AND REPLACEMENT PROCEDURES, TO PROVIDE REQUIRED NOTICE, TO REVIEW LIFE AND ANNUITY ADVERTISING MATERIALS FOR MISLEADING MATERIALS, TAKE CORRECTIVE ACTION FOR FAILURE TO PROVIDE MANDATED RIGHT TO RETURN PROVISION, CORRECT INADEQUATE FRAUD WARNING LANGUAGE, CLEARLY IDENTIFY LENGTH OF SUICIDE EXCLUSIONARY PERIOD AND DEVELOP CONSISTENT CLAIMS PAYMENT PROCEDURES.
Sanction Details:	THE STATE OF COLORADO DIVISION OF INSURANCE ORDERED MASSMUTUAL TO PAY A CIVIL PENALTY OF $1,000. MASSMUTUAL SENT PAYMENT OF THE $1,000 CIVIL PENALTY TO THE STATE OF COLORADO DIVISION OF INSURANCE ON FEBRUARY 1, 2002. (IN THE MATTER OF THE MARKET CONDUCT EXAMINATION OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY, FINAL AGENCY ORDER 0-02-125, JANUARY 16, 2002.)
Firm Statement	MASSMTUAL PAID A CIVIL PENALTY OF $1,000 TO THE STATE OF COLORADO DIVISION OF INSURANCE, UNDER FINAL AGENCY ORDER 0-02-125 ISSUED JANUARY 16, 2002, FOR VIOLATIONS OF CERTAIN COLORADO INSURANCE LAWS AND REGULATIONS FOUND DURING A MARKET CONDUCT EXAMINATION CONDUCTED FOR THE PERIOD OF JANUARY 1, 2000 THROUGH DECEMBER 31, 2000. MASSMUTUAL PAID THE PENALTY AS OF FEBRUARY 1, 2002.

Disclosure 11 of 34

Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED CERTAIN VIOLATIONS AS DESCRIBED IN A MARKET CONDUCT EXAMINATION OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL") BY THE STATE OF WASHINGTON OFFICE OF INSURANCE

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	COMMISSIONER RESULTING FROM AN ON-SITE EXAMINATION COVERING THE TIME PERIOD OF JANUARY 1, 1992 THROUGH DECEMBER 31, 1996.
Initiated By:	STATE OF WASHINGTON OFFICE OF INSURANCE COMMISSIONER
Date Initiated:	02/08/2000
Docket/Case Number:	NO. D02-11
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	CERTAIN VIOLATIONS AS DESCRIBED IN A MARKET CONDUCT EXAMINATION OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY (MASSMUTUAL") BY THE STATE OF WASHINGTON OFFICE OF INSURANCE COMMISSIONER RESULTING FROM AN ON-SITE EXAMINATION COVERING THE TIME PERIOD OF JANUARY 1, 1992 THROUGH DECEMBER 31, 1996.
Resolution:	Order
Resolution Date:	02/13/2002
Sanctions Ordered:	Monetary/Fine $115,000.00
Other Sanctions Ordered:	MASSMUTUAL WAS ORDERED TO COMMIT NO FURTHER VIOLATIONS OF STATUTES AND REGULATIONS CITED IN THE CONSENT ORDER FOR A 24 MONTH PERIOD FROM THE DATE THE ORDER WAS ENTERED. THE VIOLATIONS INCLUDED THE ALTERATION OF APPLICATIONS WITHOUT THE APPLICANT'S WRITTEN CONSENT, ACCEPTANCE OF APPLICATIONS FROM AGENTS NOT LICENSED IN WASHINGTON OR NOT APPOINTED WITH MASSMUTUAL, FAILURE TO PROVIDE INSURANCE REPLACEMENT NOTICE FOR THE SURRENDER OF EXISTING POLICIES, THE EXERCISE OF THE NON-FORFEITURE OPTION, POLICY LOANS AND THE USE OF DIVIDENDS ON EXISTING POLICY TO PAY NEW POLICY'S PREMIUMS.
Sanction Details:	THE STATE OF WASHINGTON OFFICE OF INSURANCE COMMISSIONER ORDERED MASSMUTUAL TO PAY A FINE OF $115000.00, WITH THE AMOUNTOF $57500 SUSPENDED ON CONDITION THAT MASSMUTUAL PAY $57500 WITHIN 30 DAYS OF THE ENTRY OF THE ORDER, COMMIT NO FURTHER VIOLATIONS OF THE STATUTES AND REGULATIONS THAT ARE THE SUBJECT OF THE CONSENT ORDERS FOR 24 MONTHS AND IMPLEMENT AND COMPLY WITH A COMPLIANCE PLAN. MASSMUTUAL SIGNED THE CONSENT ORDER ON FEBRUARY 6, 2002. PAYMENT OF THE $57500 FINE WAS SENT TO THE STATE OF WASHINGTON OFFICE OF THE INSURANCE COMMISSIONER ON FEBRUARY 20, 2002. (IN THE MATTER OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY, NO. D02-11,

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	FEBRUARY 13, 2002.
Firm Statement	MASSMUTUAL PAID A FINE OF $57500 TO THE STATE OF WASHINGTON OFFICE OF INSURANCE COMMISSIONER, UNDER CONSENT AND ORDER TO LEVY FINE NO. D02-11 ISSUED FEBRUARY 13, 2002, FOR VIOLATIONS OF CERTAIN WASHINGTON STATUTES AND REGULATIONS FOUND DURING A MARKET CONDUCT EXAMINATION CONDUCTED FOR THE PERIOD OF JANUARY 1, 1992 THROUGH DECEMBER 31, 1996. MASSMUTAL PAID THE FINE AS OF FEBRUARY 20, 2002.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED CERTAIN VIOLATIONS AS DESCRIBED IN A MARKET CONDUCT EXAMINATION OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL") BY THE COMMONWEALTH OF KENTUCKY DEPARTMENT OF INSURANCE RESULTING FROM AN ON-SITE EXAMINATION COVERING THE TIME PERIOD OF JULY 1, 1996 THROUGH JULY 31, 1999.
Initiated By:	COMMONWEALTH OF KENTUCKY, DEPARTMENT OF INSURANCE
Date Initiated:	07/06/2000
Docket/Case Number:	FILE NO.; MC99-19
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	01/25/2002
Sanctions Ordered:	Monetary/Fine $17,500.00
Other Sanctions Ordered:	MASSMUTUAL WAS ORDERED TO ESTABLISH AND IMPLEMENT PROCEDURES TO ENSURE THE DISCONTINUANCE OF THE PRACTICE OF AGENTS AND OTHER COMPANY REPRESENTATIVES PREPAYING PREMIUMS, THE INCLUSION OF A FRAUD STATEMENT ON ALL APPLICATIONS, NOTICE TO INSUREDS OF SURRENDER VALUES AND

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	OPTIONS, ACCEPTANCE OF BUSINESS ONLY FROM LICENSED, APPOINTED AGENTS, COMMISSION PAYMENTS TO AGENTS LICENSED FOR THE LINE OF BUSINESS PRODUCED, MAINTENANCE OF RECORDS WITH FREE AVAILABILITY TO THE COMMISSIONER AND THE COLLECTION AND ALLOCATION OF LOCAL PREMIUM TAXES TO THE APPROPRIATE TAXING AUTHORITY.
Sanction Details:	THE COMMONWEALTH OF KENTUCKY DEPARTMENT OF INSURANCE ORDERED MASSMUTUAL TO PAY A CIVIL PENALTY OF $17500 UNDER AN AGREED ORDER. MASSMUTUAL SENT PAYMENT OF THE CIVIL PENALTY OF $17500.00 TO THE COMMONWEALTH OF KENTUCKY DEPARTMENT OF INSURANCE ON JANUARY 22, 2002. (IN THE MATTER OF: MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY, FILE NO.: MC-99-19).
Firm Statement	MASSMUTUAL PAID A PENALTY OF $17500 TO THE COMMONWEALTH OF KENTUCKY DEPARTMENT OF INSURANCE AS OF JANUARY 22, 2002, PURSUANT TO AN AGREED ORDER FOR VIOLATIONS OF CERTAIN KENTUCKY INSURANCE STATUTES AND ADMINISTRATIVE REGULATIONS FOUND DURING A MARKET CONDUCT EXAMINATION CONDUCTED FOR THE PERIOD OF JULY 1, 1996 THROUGH JULY 31, 1999.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED CERTAIN VIOLATIONS AS DESCRIBED IN A MARKET CONDUCT EXAMINATION OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY (MASSMUTUAL") AND TWO OF ITS LIFE INSURANCE SUBSIDIARIES, C.M. LIFE INSURANCE COMPANY AND MML BAY STATE LIFE INSURANCE COMPANY, BY THE STATE OF ARIZONA DEPARTMENT OF INSURANCE RESULTING FROM AN ON-SITE EXAMINATION COVERING THE TIME PERIOD OF APRIL 15, 1995 THROUGH APRIL 15, 1998.
Initiated By:	STATE OF ARIZONA DEPARTMENT OF INSURANCE
Date Initiated:	07/09/1998
Docket/Case Number:	DOCKET NO. 01A-036-INS AND 01A-037-INS
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Cease and Desist

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Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	02/07/2001
Sanctions Ordered:	Monetary/Fine $20,000.00
Other Sanctions Ordered:	MASSMUTUAL AND C.M. LIFE INSURANCE COMPANY WERE ORDERED TO CEASE AND DESIST FROM FAILING TO PROVIDE A SUMMARY OF RIGHTS AND NOTICE OF AN ADVERSE UNDERWRITING DECISION, TO SEND A DATED POLICY SUMMARY TO AN EXISTING INSURER WHEN A REPLACEMENT WAS INVOLVED, TO REQUIRE A NOTICE REGARDING REPLACEMENT FROM THE AGENT ON INTERNAL REPLACEMENTS, TO MAINTAIN A POLICY SUMMARY FOR THE PRESCRIBED TIME AND TO USE AN HIV FORM SPECIFYING WAITING PERIODS AND EFFECTIVE DATES. MASSMUTUAL ALSO WAS ORDERED TO CEASE AND DESIST FROM USING AVOCATIONAL ACTIVITIES AS A DEATH BENEFIT EXCLUSION, TESTING FOR HIV PRIOR TO OBTAINING WRITTEN CONSENT AND FAILING TO ADVISE APPLICANTS OF THE RIGHT TO PREMIUM REFUND ON REPLACEMENT OF EXISTING INSURANCE.
Sanction Details:	THE STATE OF ARIZONA DEPARTMENT OF INSURANCE ORDERED MASSMUTUAL TO PAY A CIVIL PENALTY OF $15000 AND C.M. LIFE INSURANCE COMPANY TO PAY A CIVIL PENALTY OF $5000. CONSENT ORDERS WERE SIGNED ON FEBRUARY 1, 2001. BOTH AMOUNTS WERE PAID AND WERE RECEIVED BY THE STATE OF ARIZONA ON FEBRUARY 6, 2001. (IN THE MATTER OF: MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY, DOCKET NO. 01A-036-INS, FEBRUARY 7, 2001; AND IN THE MATTER OF C.M. LIFE INSURANCE COMPANY, DOCKET NO. 01A-037-INS, FEBRUARY 7, 2001.
Firm Statement	MASSMUTUAL PAID A CIVIL PENALTY OF $15000 AND C.M. LIFE INSURANCE COMPANY PAID A CIVIL PENALTY OF $5000 TO THE STATE OF ARIZONA DEPARTMENT OF INSURANCE, UNDER ORDERS ISSUED ON FEBRUARY 7, 2001, FOR VIOLATIONS OF CERTAIN ARIZONA STATUTES AND ADMINISTRATIVE RULES FOUND DURING A MARKET CONDUCT EXAMINATION CONDUCTED FOR THE PERIOD OF APRIL 15, 1995 THROUGH APRIL 15, 1998. MASSMUTUAL AND C.M. LIFE INSURANCE COMPANY SIGNED CONSENT ORDERS ON FEBRUARY 1, 2001 AND THE STATE OF ARIZONA RECEIVED THE PENALTY AMOUNTS ON FEBRUARY 6, 2001, NO PENALTY WAS ASSESSED AGAINST MML BAY STATE LIFE INSURANCE COMPANY.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY AND TWO OF ITS LIFE INSURANCE SUBSIDIARIES, C.M. LIFE INSURANCE COMPANY AND MML BAY STATE LIFE INSURANCE COMPANY EACH FAILED TO TIMELY FILE A $100 FINANCIAL STATEMENT FILING FEE FOR 1999 WITH THE WEST VIRGINIA INSURANCE COMMISSIONER.
Initiated By:	STATE OF WEST VIRGINIA, OFFICES OF THE INSURANCE COMMISSIONER
Date Initiated:	03/21/2000
Docket/Case Number:	00-0442-99AS-35
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	04/26/2000
Sanctions Ordered:	Monetary/Fine $300.00
Other Sanctions Ordered:	
Sanction Details:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY AND TWO OF ITS LIFE INSURANCE SUBSIDIARIES, C.M. LIFE INSURANCE COMPANY AND MML BAY STATE LIFE INSURANCE COMPANY ENTERED INTO CONSECUTIVE ORDERS AND AGREEMENTS AND EACH AGREED TO PAY AN ADMINISTRATIVE PENALTY IN THE AMOUNT OF $100 FOR FAILURE TO TIMELY FILE THE 1999 FINANCIAL STATEMENT FILING FEE WITH THE WEST VIRGINIA INSURANCE COMMISSIONER. (IN RE: MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY, 00-00526-99AS-37, APRIL 26, 2000; AND IN RE:C.M. LIFE INSURANCE COMPANY, 00-00723-99AS-14, APRIL 26, 2000).
Firm Statement	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY, C.M. LIFE INSURANCE COMPANY AND MML BAY STATE LIFE INSURANCE COMPANY EACH PAID THE $100 ADMINISTRATIVE PENALTY FOR FAILURE TO TIMELY FILE THE 1999 FINANCIAL STATEMENT FILING FEE WITH THE WEST VIRGINIA INSURANCE COMMISSIONER.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT VIOLATIONS OF CERTAIN INSURANCE LAWS OR DEPARTMENT REGULATIONS WERE FOUND DURING A MARKET CONDUCT EXAMINATION OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY BY THE STATE OF NEW YORK INSURANCE DEPARTMENT FOR THE PERIOD OF JANUARY 1, 1997 THROUGH DECEMBER 31, 1999.
Initiated By:	STATE OF NEW YORK INSURANCE DEPARTMENT
Date Initiated:	10/31/2000
Docket/Case Number:	NO. S2000-0168N
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Stipulation and Consent
Resolution Date:	10/31/2000
Sanctions Ordered:	Monetary/Fine $10,000.00
Other Sanctions Ordered:	
Sanction Details:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY ("MASSMUTUAL") ENTERED INTO A STIPULATION AND AGREED TO PAY A CIVIL PENALTY OF $10,000 FOR ACTIVITIES FOUND DURING A MARKET CONDUCT EXAMINATION OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY BY THE STATE OF NEW YORK INSURANCE DEPARTMENT FOR THE PERIOD OF JANUARY 1, 1997 THROUGH DECEMBER 31, 1999. (IN THE MATTER OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY, STIPULATION NO. S2000-0168N).
Firm Statement	MASSMUTUAL PAID THE $10000 CIVIL PENALTY FOR ACTIVITIES FOUND DURING A MARKET CONDUCT EXAMINATION BY THE STATE OF NEW YORK INSURANCE DEPARTMENT FOR THE PERIOD OF JANUARY 1, 1997 THROUGH DECEMBER 31, 1999.

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Reporting Source:	Firm
Affiliate:	MML INSURANCE AGENCY, INC.
Current Status:	Final
Allegations:	MML INSURANCE AGENCY, INC. ("MMLIAI") HAD ITS CERTIFICATE OF AUTHORITY REVOKED IN THE STATE OF WASHINGTON FOR FAILURE TO FILE ITS INITIAL LIST OF OFFICERS AND DIRECTORS WITHIN THE ALLOTTED TIME.
Initiated By:	STATE OF WASHINGTON SECRETARY OF STATE
Date Initiated:	12/27/1991
Docket/Case Number:	
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Revocation
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	04/27/1992
Sanctions Ordered:	
Other Sanctions Ordered:	
Sanction Details:	MMLIAI HAD ITS CERTIFICATE OF AUTHORITY REVOKED IN THE STATE OF WASHINGTON FOR FAILURE TO FILE ITS INITIAL LIST OF OFFICERS AND DIRECTORS WITHIN THE ALLOTTED TIME.
Firm Statement	MMLIAI REAPPLIED FOR AND RECEIVED A CERTIFICATE OF AUTHORITY ON APRIL 27, 1992.

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Reporting Source:	Firm
Affiliate:	MML INSURANCE AGENCY, INC.
Current Status:	Final

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Allegations:	MML INSURANCE AGENCY, INC. ("MMLIAI") HAD ITS CERTIFICATE OF AUTHORITY REVOKED IN THE STATE OF SOUTH CAROLINE FOR FAILURE TO FILE ITS ANNUAL REPORT WITHIN THE ALLOTED TIME.
Initiated By:	STATE OF SOUTH CAROLINA SECRETARY OF STATE
Date Initiated:	07/30/1993
Docket/Case Number:	
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Revocation
Other Sanction(s)/Relief Sought:	
Resolution:	Other
Resolution Date:	12/03/1993
Sanctions Ordered:	Revocation/Expulsion/Denial
Other Sanctions Ordered:	
Sanction Details:	MMLIAI HAD ITS CERTIFICATE OF AUTHORITY REVOKED IN THE STATE OF SOUTH CAROLINA FOR FAILURE TO FILE ITS ANNUAL REPORT WITHIN THE ALLOTED TIME.
Firm Statement	MMLIAI REAPPLIED FOR AND RECEIVED A CERTIFICATE OF AUTHORITY IN DECEMBER, 1993.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGED THAT AN AGENT OF MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY IMPROPERLY FAILED TO (1) ADVISE A POLICYHOLDER THAT THE UNIVERSAL LIFE INSURANCE POLICY THEY HAD PURCHASED WAS SUBJECT TO INTEREST RATE FLUCTUATIONS DETERMINED BY THE ECONOMY AND (2) FAILED TO PROVIDE A NOTICE REGARDING REPLACEMENT AT THE TIME THE POLICY WAS PURCHASED.
Initiated By:	STATE OF MARYLAND, MARYLAND INSURANCE ADMINISTRATION

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Date Initiated:	11/28/1999
Docket/Case Number:	MIA NO.: 757-2/99
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Civil and Administrative Penalt(ies) /Fine(s)
Other Sanction(s)/Relief Sought:	
Resolution:	Order
Resolution Date:	03/14/2000
Sanctions Ordered:	Monetary/Fine $100.00
Other Sanctions Ordered:	
Sanction Details:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY (MASSMUTUAL") AGREED UNDER A FINAL ORDER TO PAY A MONETARY FINE OF $100.00 FOR THE FAILURE OF ONE OF ITS AGENTS TO PROVIDE A NOTICE REGARDING REPLACEMENT AT THE TIME OF POLICY PURCHASE. (KOTZ V. MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY, MIA-NO.:757-2/99, MARCH 14, 2000).
Firm Statement	MASSMUTUAL PAID THE $100 MONETARY FINE IMPOSED UNDER THE FINAL ORDER BY THE MARYLAND INSURANCE ADMINISTRATION FOR THE FAILURE OF ONE OF ITS AGENTS TO PROVIDE A NOTICE REGARDING REPLACEMENT AT THE TIME THE POLICYHOLDER PURCHASED A UNIVERSAL LIFE POLICY.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGATIONS WERE THAT THE CONTROL AFFILIATE HAD AN UNAUTHORIZED AGENT SOLICIT TO SELL VARIABLE LIFE INSURANCE; FAILURE TO NOTIFY THE AGENT AND THE POLICYHOLDER THAT SUCH POLICIES WERE SUBJECT TO REPLACEMENT AND FAILURE TO PROVIDE A COPY OF THE REPLACEMENT FORM TO THE POLICY HOLDER.
Initiated By:	INSURANCE COMMISSION OF UTAH

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Date Initiated:	07/27/1999
Docket/Case Number:	DOCKET NO. 1999-299-LF
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	STIPULATION/ORDER AND FINE
Resolution:	Other
Resolution Date:	07/27/1999
Sanctions Ordered:	Monetary/Fine $3,750.00
Other Sanctions Ordered:	STIPULATION AND ORDER
Sanction Details:	CONTROL AFFILIATE ENTERED INTO A STIPULATION AND ORDER AND AGREED TO PAY A FINE IN THE AMOUNT OF $3750.00.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	FAILURE OF CONTROL AFFILIATE'S PREDECESSOR, CONNECTICUT MUTUAL LIFE INSURANCE COMPANY, TO TIMELY PROCESS AND PAY CERTAIN DEATH CLAIMS.
Initiated By:	COMMISSIONER OF INSURANCE OF THE COMMONWEALTH OF PUERTO RICO
Date Initiated:	07/07/1999
Docket/Case Number:	CASE NO. C-97-522
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	ORDER AND FINE

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Resolution:	Other
Resolution Date:	07/07/1999
Sanctions Ordered:	Monetary/Fine $2,900.00
Other Sanctions Ordered:	
Sanction Details:	AN ORDER WAS ENTERED AND CONTROL AFFILIATE AGREED TO PAY A FINE IN THE AMOUNT OF $2900.00.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	FAILURE TO RESPOND TO A REQUEST FROM THE COMMISSIONER FOR INFORMATION ABOUT A CLAIM MATTER.
Initiated By:	INSURANCE COMMISSION OF OKLAHOMA
Date Initiated:	03/11/1999
Docket/Case Number:	CASE NO. 98-08-06190
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	CONDITIONAL ADMINISTRATIVE ORDER AND FINE.
Resolution:	Other
Resolution Date:	03/11/1999
Sanctions Ordered:	Monetary/Fine $500.00
Other Sanctions Ordered:	
Sanction Details:	CONTROL AFFILIATE ENTERED INTO A CONDITIONAL ADMINISTRATIVE ORDER AND AGREED TO PAY A FINE IN THE AMOUNT OF $500.00.

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Reporting Source:	Firm

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Affiliate:	MML BAY STATE LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	CONTROL AFFILIATES FAILED TO SUBMIT VARIABLE LIFE ADVERTISING TO THE MARYLAND INSURANCE ADMINISTRATION BEFORE USING SUCH ADVERTISING.
Initiated By:	MARYLAND INSURANCE ADMINISTRATION
Date Initiated:	02/14/2000
Docket/Case Number:	CASE NO. MIA-80-2/00
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	CONSENT ORDER AND ADMINISTRATIVE PENALTY
Resolution:	Consent
Resolution Date:	02/14/2000
Sanctions Ordered:	Monetary/Fine $2,500.00
Other Sanctions Ordered:	CONSENT ORDER
Sanction Details:	CONTROL AFFILIATE AGREED TO ENTER INTO A CONSENT ORDER AND TO PAY AN ADMINISTRATIVE PENALTY OF $2500.00

Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	CONTROL AFFILIATES FAILED TO SUBMIT VARIABLE LIFE ADVERTISING TO THE MARYLAND INSURANCE ADMINISTRATION BEFORE USING SUCH ADVERTISING.
Initiated By:	MARYLAND INSURANCE ADMINISTRATION
Date Initiated:	02/14/2000
Docket/Case Number:	CASE NO. MIA-80-2/00
Principal Product Type:	Insurance

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Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	CONSENT ORDER AND ADMINISTRATIVE PENALTY
Resolution:	Consent
Resolution Date:	02/14/2000
Sanctions Ordered:	Monetary/Fine $2,500.00
Other Sanctions Ordered:	CONSENT ORDER
Sanction Details:	CONTROL AFFILIATE AGREED TO ENTER INTO A CONSENT ORDER AND TO PAY AN ADMINISTRATIVE PENALTY OF $2500.00

Reporting Source:	Firm
Affiliate:	CM LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	CONTROL AFFILIATES FAILED TO SUBMIT VARIABLE LIFE ADVERTISING TO THE MARYLAND INSURANCE ADMINISTRATION BEFORE USING SUCH ADVERTISING.
Initiated By:	MARYLAND INSURANCE ADMINISTRATION
Date Initiated:	02/14/2000
Docket/Case Number:	CASE NO. MIA-80-2/00
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	CONSENT ORDER AND ADMINISTRATIVE PENALTY
Resolution:	Consent
Resolution Date:	02/14/2000
Sanctions Ordered:	Monetary/Fine $2,500.00
Other Sanctions Ordered:	CONSENT ORDER

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Sanction Details:	CONTROL AFFILIATE AGREED TO ENTER INTO A CONSENT ORDER AND TO PAY AN ADMINISTRATIVE PENALTY OF $2500.00

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	VIOLATIONS OF INSURANCE ADVERTISING REGULATIONS BY MASSMUTUAL AGENTS.
Initiated By:	NEW JERSEY DEPARTMENT OF INSURANCE
Date Initiated:	12/01/1995
Docket/Case Number:	CONSENT ORDER NO. 95-237
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Other
Resolution Date:	12/01/1995
Sanctions Ordered:	Monetary/Fine $1,000.00
Other Sanctions Ordered:	
Sanction Details:	MASSMUTUAL AGREED TO PAY A $1000.00 FINE.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	VIOLATIONS UNCOVERED IN A MARKET CONDUCT EXAMINATION
Initiated By:	MARYLAND INSURANCE ADMINISTRATION

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Date Initiated:	09/09/1998
Docket/Case Number:	CASE NO. MIA-562-9/98
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	ORDER-CONSENT AGREEMENT AND ADMINISTRATIVE PENALTY
Resolution:	Order
Resolution Date:	10/16/1998
Sanctions Ordered:	Monetary/Fine $38,600.00
Other Sanctions Ordered:	ORDER-CONSENT AGREEMENT AND ADMINISTRATIVE PENALTY
Sanction Details:	MASSMUTUAL ENTERED INTO AN ORDER-CONSENT AGREEMENT AND AGREED TO PAY AN ADMINISTRATIVE PENALTY OF $38600.00

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Reporting Source:	Firm
Affiliate:	BABSON AND COMPANY, INC.
Current Status:	Final
Allegations:	THE STATE OF VIRGINIA ALLEGED THAT BABSON TRANSACTED INVESTMENT ADVISER BUSINESS WITHOUT BEING REGISTERED TO DO SO.
Initiated By:	STATE OF VIRGINIA SECURITIES COMMISSION
Date Initiated:	07/15/1991
Docket/Case Number:	ORDER OF SETTLEMENT
Principal Product Type:	Other
Other Product Type(s):	INVESTMENT ADVISER
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	ORDER OF SETTLEMENT FOR PAYMENT OF PENALTY

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Resolution:	Order
Resolution Date:	07/15/1991
Sanctions Ordered:	Monetary/Fine $25,000.00
Other Sanctions Ordered:	
Sanction Details:	BABSON AND COMPANY, INC. CONSENTED TO THE ENTRY OF THE ORDER OF SETTLEMENT AND AGREED TO PAY A PENALTY OF $20000.00 AND INVESTIGATION COSTS OF $5000.00
Firm Statement	WITHOUT ADMITTING OR DENYING THE ALLEGATION, BABSON AND COMPANY, INC. UNDERTOOK NOT TO TRANSACT BUSINESS IN VIRGINIA AS AN INVESTMENT ADVISER UNLESS REGISTERED OR EXEMPT FROM REGISTERING AS AN INVESTMENT ADVISER. SUBSEQUENTLY, BABSON AND COMPANY, INC. HAS BEEN REGISTERED.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	MASSMUTUAL VIOLATED CERTAIN LAWS RELATING TO RATE AND FORM FILING.
Initiated By:	VERMONT DEPARTMENT OF BANKING, INSURANCE AND SECURITIES
Date Initiated:	08/04/1992
Docket/Case Number:	DOCKET NO. 92-054-I
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	CONSENT ORDER AND STIPULATION TO CEASE USING FORMS
Resolution:	Consent
Resolution Date:	12/28/1993
Sanctions Ordered:	Monetary/Fine $10,000.00
Other Sanctions Ordered:	

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Sanction Details:	CONTROL AFFILIATE ENTERED INTO A CONSENT ORDER AND STIPULATION WITH THE VERMONT DEPARTMENT OF BANKING, INSURANCE AND SECURITIES AGREEING TO CEASE USING FORMS THAT HAVE NOT BEEN APPROVED BY THE DEPARTMENT, TO REFUND ANY UNAPPROVED RATE INCREASES FOUND TO BE UNWARRANTED BY THE DEPARTMENT AND PAY A FINE.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	ALLEGATIONS THAT CERTAIN GROUP INSURANCE FORMS HAD NOT BEEN PREVIOUSLY APPROVED BY THE PENNSYLVANIA INSURANCE DEPARTMENT.
Initiated By:	PENNSYLVANIA INSURANCE DEPARTMENT
Date Initiated:	11/13/1992
Docket/Case Number:	DOCKET NO. P92-11-13
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	CONSENT ORDER AND FINE
Resolution:	Consent
Resolution Date:	02/11/1993
Sanctions Ordered:	Monetary/Fine $12,500.00
Other Sanctions Ordered:	CONSENT ORDER
Sanction Details:	MASSMUTUAL ENTERED INTO A CONSENT ORDER THAT THAT CERTAIN GROUP INSURANCE FORMS HAD NOT BEEN PREVIOUSLY APPROVED BY THE PENNSYLVANIA INSURANCE DEPARTMENT AND PAID A FINE OF $12,500.00.

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Reporting Source:	Firm

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Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	CONTROL AFFILIATE FAILED TO FILE A REQUEST OF EXTENSION IN THE TIME ALLOWED UNDER LAW FOR A CLAIM OF PAYMENT
Initiated By:	THE COMMISSIONER OF INSURANCE OF THE COMMONWEALTH OF PUERTO RICO
Date Initiated:	08/13/1997
Docket/Case Number:	CASE NO. AC-1-97-216
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Settled
Resolution Date:	08/13/1997
Sanctions Ordered:	Monetary/Fine $1,000.00
Other Sanctions Ordered:	
Sanction Details:	CONTROL AFFILIATE AGREED TO PAY A $1,000.00 ADMINISTRATIVE FINE.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	VIOLATIONS DESCRIBED IN A MARKET CONDUCT EXAMINATION REPORT.
Initiated By:	PENNSYLVANIA INSURANCE COMMISSIONER
Date Initiated:	03/04/1999
Docket/Case Number:	DOCKET NO. MC99-02-014
Principal Product Type:	No Product
Other Product Type(s):	

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Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	CONSENT ORDER AND CIVIL PENALTY
Resolution:	Settled
Resolution Date:	03/04/1999
Sanctions Ordered:	Monetary/Fine $24,000.00
Other Sanctions Ordered:	MASSMUTUAL ENTERED INTO A CONSENT ORDER AND AGREED TO PAY A CIVIL PENALTY OF $24000.00.
Sanction Details:	MASSMUTUAL ENTERED INTO A CONSENT ORDER AND AGREED TO PAY A CIVIL PENALTY OF $24000.00.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	MASSMUTUAL FAILED TO PROMPTLY RESPOND TO INQUIRIES FROM THE TEXAS STATE BOARD OF INSURANCE REGARDING INSURANCE ADVERTISING MATERIALS.
Initiated By:	TEXAS COMMISSIONER OF INSURANCE
Date Initiated:	10/05/1990
Docket/Case Number:	ORDER NO. 90-1598
Principal Product Type:	No Product
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Other
Resolution Date:	11/09/1990
Sanctions Ordered:	Monetary/Fine $1,000.00
Other Sanctions Ordered:	

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Sanction Details:	A FINE OF $1000.00 WAS IMPOSED ON MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	IT WAS ALLEGED THAT MASSMUTUAL HAD NOT OBTAINED FORMATL WRITTEN PERMISSION FOR AN ASSUMPTION REINSURANCE TRANSACTION.
Initiated By:	CALIFORNIA DEPARTMENT OF INSURANCE
Date Initiated:	09/09/1991
Docket/Case Number:	FILE NO. SF-14961-A
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Other
Resolution Date:	09/09/1991
Sanctions Ordered:	Monetary/Fine $50,000.00
Other Sanctions Ordered:	
Sanction Details:	MASSMUTUAL AGREED TO PAY THE FINE. THE DEPARTMENT OF INSURANCE AGREED TO TAKE NO FURTHER ACTION WITH RESPECT TO THE MATTER.
Firm Statement	THE ASSUMPTION REINSURANCE TRANSACTION INVOLVED THE TRANSFER OF LIFE INSURANCE POLICIES TO MASSMUTUAL FROM ITS WHOLLY-OWNED SUBSIDIARY, MML LIFE INSURANCE COMPANY, IN PREPARATION FOR THE SALE OF THE SUBSIDIARY. AS PART OF THE TRANSACTION, EACH MML LIFE POLICYHOLDER, INCLUDING THE 300 POLICYHOLDERS WHO WERE RESIDENTS OF CALIFORNIA, WAS GIVEN THE OPPORTUNITY TO REMAIN WITH THAT COMPANY. NONE CHOSE TO DO SO. WHILE THE APPROPRIATE FORMS AND FEES CONCERNING THE

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	PROPOSED TRANSACTION WERE FILED IN ADVANCE THE DEPARTMENT CONTENDED THAT MASSMUTUAL HAD NOT OBTAINED FORMAL WRITTEN PERMISSION FOR THE TRANSACTION.

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Reporting Source:	Firm
Affiliate:	MML BAY STATE LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	NONCOMPLIANCE WITH IDAHO INSURANCE DEPOSIT REQUIREMENTS.
Initiated By:	DEPARTMENT OF INSURANCE OF THE STATE OF IDAHO
Date Initiated:	03/23/1989
Docket/Case Number:	DOCKET NO. 857
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Stipulation and Consent
Resolution Date:	03/23/1989
Sanctions Ordered:	Monetary/Fine $2,500.00
Other Sanctions Ordered:	
Sanction Details:	THE DEPARTMENT OF INSURANCE OF THE STATE OF IDAHO, ACTING PURSUANT TO A STIPULATION BETWEEN MML BAY STATE LIFE INSURANCE COMPANY, ("MML BAY STATE") AND THE IDAHO INSURANCE DEPARTMENT, ASSESSED A $2500 FINE ON MML BAY STATE FOR NONCOMPLIANCE WITH IDAHO INSURANCE DEPOSIT REQUIREMENTS. THE STIPULATION NOTED THAT MML BAY STATE'S NONCOMPLIANCE WITH THIS PARTICULAR REQUIREMENT WAS UNINTENTIONAL.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY

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Current Status:	Final
Allegations:	VIOLATION OF A PROVISION OF THE NEW YORK INSURANCE CODE WHICH REQUIRES BENEFIT CLASSIFICATIONS FOR EMPLOYEES IN GROUP INSURANCE POLICIES TO BE BASED ON CONDITIONS PERTAINING TO EMPLOYMENT.
Initiated By:	STATE OF NEW YORK INSURANCE DEPARTMENT
Date Initiated:	10/29/1981
Docket/Case Number:	N/A
Principal Product Type:	Insurance
Other Product Type(s):	
Principal Sanction(s)/Relief Sought:	Other
Other Sanction(s)/Relief Sought:	FINE
Resolution:	Stipulation and Consent
Resolution Date:	10/29/1981
Sanctions Ordered:	Monetary/Fine $1,000.00
Other Sanctions Ordered:	STIPULATION
Sanction Details:	MASSMUTUAL AND THE INSURANCE DEPARTMENT OF THE STATE OF NEW YORK ENTERED INTO A STIPULATION. THE STIPULATION PROVIDED THAT MASSMUTUAL WAS TO PAY A $1000.00 FINE.

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Reporting Source:	Firm
Affiliate:	MASSACHUSETTS MUTUAL LIFE INSURANCE COMPANY
Current Status:	Final
Allegations:	THE COMMISSION FOUND THAT MASSMUTUAL HAD ACCEPTED FUNDS AND A COMPLETED APPLICATION FORM WITH RESPECT TO A CERTAIN GROUP ANNUITY CONTRACT BEFORE THE CONTRACT AND APPLICATION FORM WERE APPROVED BY THE BUREAU OF INSURANCE.
Initiated By:	VIRGINIA CORPORATION COMMISSION
Date Initiated:	12/15/1983
Docket/Case Number:	INS830439

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Principal Product Type:	Other
Other Product Type(s):	GROUP ANNUITY
Principal Sanction(s)/Relief Sought:	Cease and Desist
Other Sanction(s)/Relief Sought:	
Resolution:	Settled
Resolution Date:	12/15/1983
Sanctions Ordered:	Cease and Desist/Injunction
Other Sanctions Ordered:	
Sanction Details:	THE VIRGINIA CORPORATION COMMISSION ACCEPTED MASSMUTUAL'S OFFER OF SETTLEMENT AND ISSUED A CEASE AND DESIST ORDER AGAINST MASSMUTUAL. THE ORDER REQUIRES MASSMUTUAL TO CEASE AND DESIST ISSUING GROUP ANNUITY CONTRACTS UNTIL SUCH CONTRACT FORMS ARE APPROVED OR DEEMED APPROVED BY THE BUREAU OF INSURANCE AS REQUIRED BY VIRGINIA LAW.

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End of Report

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